ENPR6306032

International New Venture

Sessions 1–14 · BINUS

SECONDBRAIN

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ENPR6306032 · INTERNATIONAL NEW VENTURE · BINUS UNIVERSITY

Course walkthrough

This book covers all fourteen sessions of International New Venture (effective period 2025/2026), from what entrepreneurship is to how a venture protects its intellectual property abroad, together with the three cases studied in class: EuroDisneyland, LocalBite and FreshMart. Every chapter is organized the same way: a four-step chain (problem, big idea, tools, result), a plain-words explanation, at least one figure, and then the details to memorize under subheadings. Tags such as "Sessions 3–4" give the class sessions a chapter draws on, and "CILO" stands for course intended learning outcome: CILO 1 is to identify international market opportunities and the international business environment, and CILO 2 is to analyze a business model and strategic plan suitable for international expansion. Every abbreviation is spelled out the first time it appears in each chapter and is listed in the glossary at the back.

CHAPTER 1 · START HERE · COURSE MAP

The shape of the course: from idea to protected international venture

PROBLEM
Seven weeks of slides can feel like a list of unrelated frameworks, from Drucker's questions to patent law.

→

BIG IDEA
The course follows one venture's life: understand entrepreneurship, prepare yourself, find an opportunity, test the industry and market, design the business model, validate the product, and protect what you own.

→

HOW (TOOLS)
Two learning outcomes (CILO 1 and CILO 2), seven weekly decks built on the textbook *Launching New Ventures*, and three cases.

→

RESULT
Each framework has a place in the sequence, so an exam answer can move from one to the next without gaps.

IN PLAIN WORDS

International New Venture is organized as fourteen sessions taught in pairs, one pair per week. The first five weeks serve the first course intended learning outcome (CILO 1): identifying international market opportunities and reading the international business environment. Weeks 1 and 2 look at the entrepreneur, Week 3 at where opportunities come from, Week 4 at the industry and the market an opportunity must survive in, and Week 5 at the business model that turns an opportunity into money. The last two weeks serve CILO 2, analyzing a business model and strategic plan suitable for international expansion: Week 6 covers designing, prototyping and validating the product, and Week 7 covers legal protection of the venture's knowledge at home and abroad.

The order matters because each week supplies what the next one needs. A business model (Week 5) cannot be sketched until the entrepreneur knows the first customer and the competitive forces (Week 4), and those cannot be studied until there is a framed problem worth solving (Week 3). Likewise, intellectual property (IP) protection (Week 7) only makes sense once there is a validated product worth protecting (Week 6).

The three cases test the frameworks in practice. EuroDisneyland, set beside Week 1, shows how a model that worked in the United States and Japan lost money

near Paris. LocalBite, set beside Week 2, is a student founder who believes several of the myths the week dismantles. FreshMart, set beside Week 5, asks students to separate a business model from a value proposition and to choose a profitable change on a limited budget.

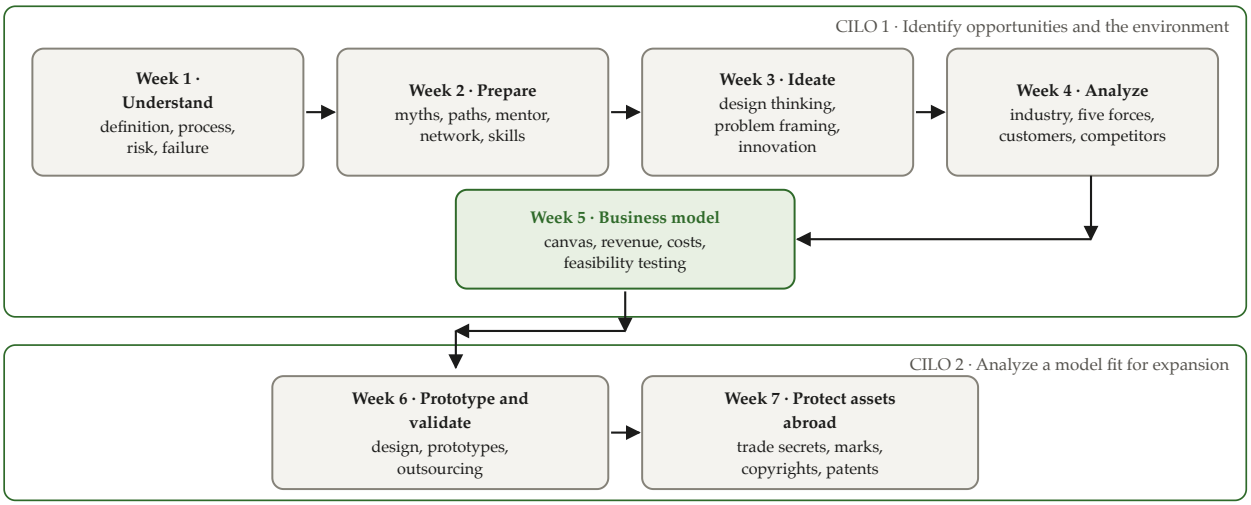


FIGURE 1.1 Weeks 1 to 5 serve CILO 1 (spot international opportunities and read the business environment); Weeks 6 and 7 serve CILO 2 (analyze a business model and plan for expansion). Each week hands its output to the next.

The seven weeks at a glance

WEEK · SESSIONS	DECK TITLE	CILO	CORE QUESTION
Week 1 · Sessions 1–2	Understanding International Entrepreneurship	1	What is entrepreneurship, and why do new ventures succeed or fail?
Week 2 · Sessions 3–4	Preparing for the Global Entrepreneurial Journey	1	Who becomes an entrepreneur, by which path, and how do they prepare?
Week 3 · Sessions 5–6	Global Opportunity Recognition and Ideation	1	How does an idea become an opportunity, and an opportunity an innovation?
Week 4 · Sessions 7–8	Industry and Market Analysis for Global Ventures	1	Can the venture make a profit in this industry, and who is the first customer?
Week 5 · Sessions 9–10	Business Models for International Markets	1	How will the venture create and capture value, and is the model feasible?
Week 6 · Sessions 11–12	Prototyping and Validation Across Cultures	2	How does the product get designed, tested and launched?

Week 7 · Sessions 13–14	Legal Consideration and Asset Protection Abroad	2	Which forms of intellectual property protect the venture, and how far do they reach?

Sources behind the course

- **Main textbook**: *Launching New Ventures* (Chapters 1, 2, 3, 5 and 7 are cited across the decks).
- **Second text**: *Entrepreneurship: Theory, Process, Practice* (Chapters 1, 5 and 9).
- **Readings**: "The Global Entrepreneur" (Harvard Business Review), "15 Steps Entrepreneurs Must Take Before Going Global" (Forbes), "How to Identify Business Opportunities" (Harvard Business School Online), a systematic review on business models of cultural-based product businesses, published by the Institute of Electrical and Electronics Engineers (IEEE), and "Protecting your assets abroad" (Boyletts Law).
- **Cases**: EuroDisneyland (Thunderbird case TB0195, 1999), LocalBite ("From Idea to Action") and FreshMart ("FreshMart's Retail Business Model").

How to use the frameworks together

Most case questions in this course ask the same three things in different words: what the business is and how it makes money, whether it fits its market, and what it should do next. The frameworks line up behind those questions. Weeks 1 to 4 give the vocabulary for the situation (opportunity, risk, industry forces, first customer); Week 5 gives the model and the feasibility test; Weeks 6 and 7 give the next steps (prototype, validate, protect). The synthesis chapter at the end of the book shows the full chain applied to a case answer.

> **Exam tip:** The FreshMart case shows the format used for case work in this course: a short case followed by three questions worth 30, 40 and 30 points, each asking for a framework, an application and a justified recommendation. Practice answering in that shape.

Link to next topic → Everything starts with a definition: before asking how to launch a venture abroad, the course asks what entrepreneurship actually is and how the entrepreneurial process runs.

PART A

WEEK 1 · UNDERSTANDING INTERNATIONAL ENTREPRENEURSHIP

CHAPTER 2 · WEEK 1 · SESSIONS 1–2 · CILO 1

What entrepreneurship is: the definition and the entrepreneurial process

PROBLEM
"Entrepreneur" is often used to mean anyone who opens a shop, which hides what makes entrepreneurial ventures different.

→

BIG IDEA
Entrepreneurship is pursuing opportunity without regard to the resources currently controlled; it is a mindset and a set of behaviors, not only the act of starting a business.

→

HOW (TOOLS)
Stevenson's definition and the three-phase entrepreneurial process: discover, validate, then design and plan.

→

RESULT
A new venture that keeps testing and adapting to a dynamic environment after launch.

IN PLAIN WORDS

Howard Stevenson defines entrepreneurship as "the process by which individuals, either on their own or inside organizations, pursue opportunities without regard to the resources they currently control." The last phrase is the key. An entrepreneur does not start by counting the money, staff and equipment already available; they start from an opportunity and then gather what they need. The definition also says "inside organizations", so entrepreneurship can happen within a large company as well as in a startup.

The slides stress that entrepreneurship is more than starting a business. It is a way of thinking that is opportunity-focused, risk-taking, innovative and growth-oriented, together with the behaviors that follow from that thinking. Someone who opens a copy of an existing café to earn a steady income is running a small business; someone who spots an unserved need and builds a venture designed to grow is acting entrepreneurially.

The entrepreneurial process is not a straight line. The textbook describes it as a dynamic system with moving parts, organized in three phases. In Phase 1 the entrepreneur finds a significant problem, researches the industry, the market and any intellectual property (IP) or regulatory issues, and turns what they learn into hypotheses. In Phase 2 those hypotheses about the customer, the solution and the business model are tested, which reveals the likely sources of revenue and drivers of cost. Only when Phases 1 and 2 give enough confidence does Phase 3 begin:

designing the business, assembling the team and partners, and choosing when to launch. Testing does not stop at launch, because the new venture now lives in an environment that keeps changing.

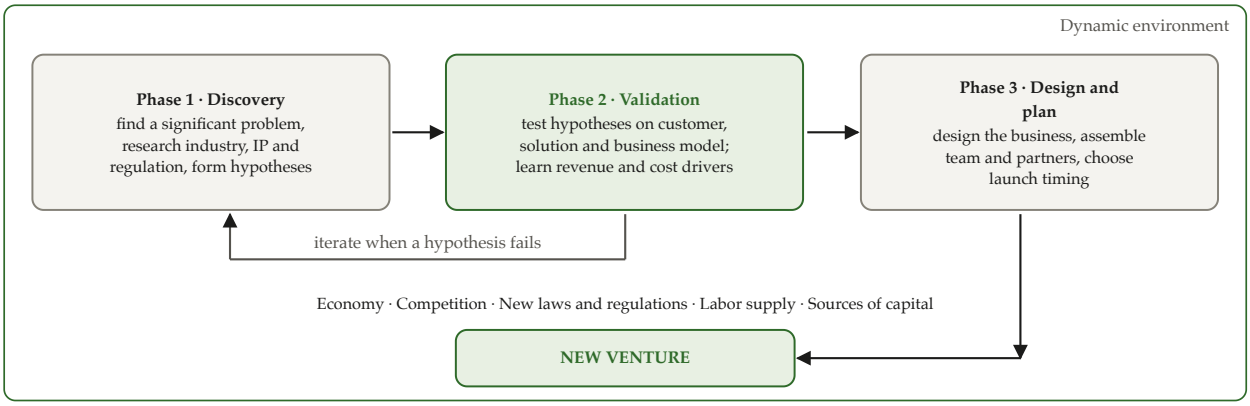


FIGURE 2.1 The three phases feed forward but also loop back: a failed hypothesis in Phase 2 sends the entrepreneur back to Phase 1. The whole system sits inside an environment of economy, competition, laws, labor and capital.

Stevenson's definition, unpacked

- **Process**: entrepreneurship unfolds over time; it is not a single decision.
- **Individuals, alone or inside organizations**: startups and corporate ventures both count.
- **Pursue opportunities**: the starting point is an unmet need or unsolved problem.
- **Without regard to resources currently controlled**: resources are gathered after the opportunity is identified.

The entrepreneurial mindset

The way of thinking the slides attach to entrepreneurship has four traits: it is **opportunity-focused**, **risk-taking**, **innovative** and **growth-oriented**.

The three phases of the entrepreneurial process

1 Phase 1 · Find the problem and research it
Find a significant problem or need in a market or industry; do preliminary research on the industry, the potential market and any issues in intellectual property (IP), regulation or product development; develop

2 Phase 2 · Validate the hypotheses
Test the hypotheses about the customer, the solution and the proposed business model. The results show potential sources of revenue and major drivers of cost.

3 Phase 3 · Design and plan execution
When Phases 1 and 2 give sufficient confidence that the business is feasible, design the business and plan its execution: put the right team and partners in place and choose the best time to launch.

hypotheses from what was learned.		

The dynamic environment after launch

Successful execution of the process produces a new venture, but testing and validation continue because the business responds to variables outside its control:

- **The economic environment**
- **Competition**
- **New laws and regulations**
- **Labor supply**
- **Sources of capital**

> **Exam tip:** When asked to "define entrepreneurship", quote Stevenson and then add the second layer from the slides: it is also a mindset (opportunity-focused, risk-taking, innovative, growth-oriented) and a set of behaviors. Then show the process is iterative by naming the three phases and the loop back from failed hypotheses.

Link to next topic → If entrepreneurs pursue opportunities, the next question is where opportunities come from and what entrepreneurs give back to the economy in return.

CHECK YOURSELF

Answer from memory, then check below.

1. **In Stevenson's definition, entrepreneurs pursue opportunities…**
   - A. only after securing the resources they need
   - B. only when working on their own
   - C. only inside large organizations
   - D. without regard to the resources they currently control
2. **In which phase of the entrepreneurial process are hypotheses about the customer, solution and business model tested?**
   - A. Phase 1
   - B. Phase 3
   - C. Phase 2
   - D. After launch only

3. RECALL Stevenson's definition of entrepreneurship

Answers 1. D **2.** C **3.** "The process by which individuals, either on their own or inside organizations, pursue opportunities without regard to the resources they currently control."

CHAPTER 3 · WEEK 1 · SESSIONS 1–2 · CILO 1

Why entrepreneurship matters: technological change, industries and jobs

PROBLEM
Economies need new jobs and new industries, and old industries do not last forever.

→

BIG IDEA
Entrepreneurs create technological change by acting on shifts in customer needs; that change gives birth to industries and creates jobs.

→

HOW (TOOLS)
The entrepreneurship and technological change model, the industry life cycle, the Global Entrepreneurship Monitor (GEM) economy types, and the three traits of high-impact ventures.

→

RESULT
A clear picture of the role entrepreneurship plays in economic growth, and of what distinguishes a high-impact venture.

IN PLAIN WORDS

Technological change does not appear on its own. It happens when an entrepreneur notices something on the customer side: a new customer segment emerging, a new need, an existing need nobody has satisfied, or a new way to make and distribute products. The entrepreneur combines that insight with resources, builds a new venture, and the new product or process changes how things are done. Repeated across many ventures, this is what drives economic growth.

New industries are born the same way. An industry is simply the people and companies engaged in a category of business activity. When technological change opens a novel opportunity and entrepreneurs seize it, a new industry forms. Like people, industries have life cycles: they are born, grow, decline and die. That is why entrepreneurship is a permanent need in an economy rather than a passing trend.

Entrepreneurs also create jobs. The annual Global Entrepreneurship Monitor (GEM) groups countries into factor-driven, efficiency-driven and innovation-driven economies. Factor-driven economies rely on unskilled labor and natural resources, so many businesses start out of necessity and entrepreneurial activity rates are very high. Across all three groups, the 25–34 age group shows the most intention to start a business. Not every new business has the same impact, though. High-impact ventures are innovative, value-creating and growth-oriented, aiming at regional,

national or global scale, which is the kind of venture an international new venture aspires to be.



FIGURE 3.1 Read the figure left to right: an entrepreneur combines opportunity and resources into a new venture; spotting one of four customer-side signals produces technological change, which drives economic growth and new industries.

Four signals that produce technological change

Technological change happens when an entrepreneur identifies:

1. **New customer segments** that appear to be emerging.
2. **New customer needs**.
3. **Existing customer needs** that have not been satisfied.
4. **New ways of manufacturing and distributing** products and services.

The industry life cycle (Week 1 view)

- **Industry**: the people and companies that engage in a category of business activity.
- **Birth**: new industries are born when technological change produces a novel opportunity that entrepreneurs seize.
- **Life cycle**: industries are born, grow, decline and die. Week 4 breaks this into six named stages.

Global Entrepreneurship Monitor economy types

TYPE	WHAT DRIVES GROWTH	ENTREPRENEURSHIP PATTERN
Factor-driven	Unskilled labor and extraction of natural resources	Businesses created out of necessity; very high entrepreneurial activity rates
Efficiency-driven	Growing economies improving production processes and product quality	Entrepreneurship supports better processes and quality

Innovation-driven	The most advanced economies	Businesses compete on innovation and entrepreneurship

A consistent GEM finding across all three types: more people aged 25 to 34 intend to start a business, and entrepreneurship is a highly regarded activity and career path.

> **Update:** Recent GEM reports group economies by income level (high, middle and low income) rather than by the factor, efficiency and innovation scheme taught here. Answer with the course's three types, which is what the slides use.

Three characteristics of high-impact ventures

1 Innovative
The venture brings something new to the marketplace.

2 Value-creating
It creates new jobs that do not draw from existing businesses and serves customer needs that are currently unserved.

3 Growth-oriented
The entrepreneur sees the business growing to a regional, national or global level.

> **Exam tip:** "Role of entrepreneurship in the economy" questions reward a three-part answer: technological change (with the four signals), birth of industries (life cycle), and job creation (GEM groups). Close by naming the three traits of a high-impact venture.

Link to next topic → High-impact ventures carry high risk, so the next chapter looks at where that risk sits, why new businesses fail, and how the climate for entrepreneurs has shifted over the decades.

CHECK YOURSELF

Answer from memory, then check below.

1. **In which Global Entrepreneurship Monitor (GEM) economy type are businesses most often created out of necessity?**
   - A. Efficiency-driven
   - B. Innovation-driven
   - C. Knowledge-driven
   - D. Factor-driven

2. **A venture that creates jobs not drawn from existing businesses and serves currently unserved needs shows which high-impact trait?**
   - A. Innovative
   - B. Growth-oriented
   - C. Value-creating
   - D. Necessity-driven

3. RECALL The three Global Entrepreneurship Monitor (GEM) economy types

Answers 1. D **2.** C **3.** Factor-driven (unskilled labor, natural resources, necessity entrepreneurship), efficiency-driven (improving production and quality), innovation-driven (compete on innovation and entrepreneurship).

CHAPTER 4 · WEEK 1 · SESSIONS 1–2 · CILO 1

Risk, failure and the changing climate: the fuzzy front end and current trends

PROBLEM
Most new venture risk is taken before launch, when information is thin, and many new businesses fail for avoidable reasons.

→

BIG IDEA
Risk is concentrated in the fuzzy front end; gathering information and testing the business model reduces it.

→

HOW (TOOLS)
The fuzzy front end, the four reasons for new business failure, the decades of entrepreneurship, and the technology trends shaping new ventures.

→

RESULT
An entrepreneur who knows where risk lives, avoids the classic failure patterns and reads the trends that create the next opportunities.

IN PLAIN WORDS

Risk runs through the whole entrepreneurial process, but much of it sits early. The period before launch and startup is called the **fuzzy front end**: activities are unclear and change as information arrives. Nascent entrepreneurs, people in the process of starting a business, use this period to estimate three things: the probability of success, what success would mean as a return on their time, money and effort, and what failure would cost. Because these estimates are highly subjective, the remedy is to gather enough information and test the business model to push the risk down.

Failure has recognizable patterns. Entrepreneurs often start with a solution looking for a problem, with no real need and no customers willing to pay. Or the solution is a "me-too" product with nothing different from what is already on the market. Or the value proposition is not communicated well. Or the business model was never identified and tested. Each failure points to a step in the entrepreneurial process that was skipped.

The climate for entrepreneurs also changes. The word "entrepreneur" only came into popular use in the United States in the 1980s, the "decade of entrepreneurship", even though the country was founded on free enterprise. Since then, the information age and the knowledge economy have opened new fields, and the slides name the technology trends research firms such as Gartner, Forrester and Deloitte see as the foundation for the next generation of ventures: intelligent technology, the digital environment and disruption.

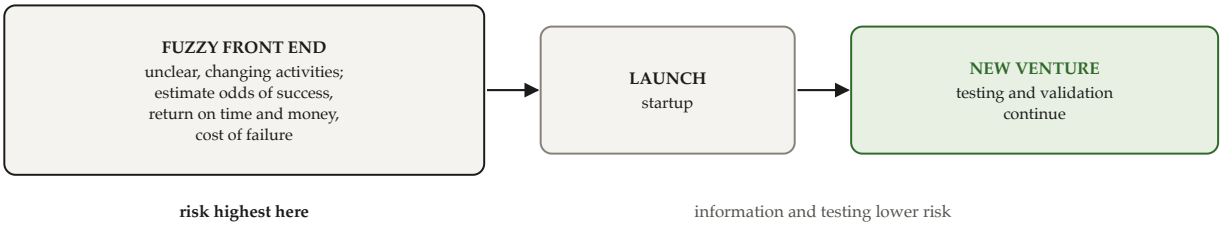


FIGURE 4.1 Most new venture risk sits in the fuzzy front end, before launch. Gathering information and testing the business model is how the entrepreneur moves risk down before committing to launch.

What nascent entrepreneurs calculate in the fuzzy front end

1. **Probability of success** as an entrepreneur.
2. **Return**: what success will mean for the investment of time, money and effort.
3. **Cost of failure**: the risk if it does not work.

Four reasons new businesses fail

1 Solution looking for a problem
No real need in the market, no customers willing to pay.

2 Not unique or compelling
A "me-too" solution offering nothing different from what exists.

3 Value proposition poorly communicated
Customers do not understand why they should buy.

4 Untested business model
No identified and tested business model that actually works.

The decades of entrepreneurship

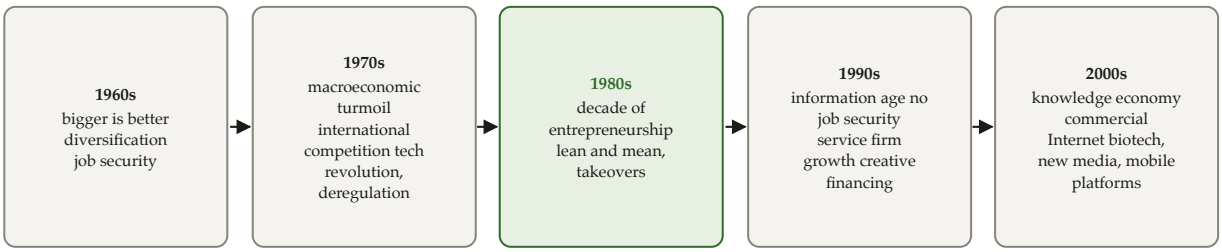


FIGURE 4.2 Each decade shifted the climate for entrepreneurs: from "bigger is better" in the 1960s, through the 1980s "decade of entrepreneurship", to the knowledge economy and the rebirth of the commercial Internet in the 2000s.

The free enterprise principle encouraged entrepreneurs to take on the risk of developing businesses, but popular use of the word "entrepreneur" in the United States dates only from the 1980s.

Current entrepreneurial trends

The previous (2016) edition of the textbook named four trends: **digital anonymity**, **domestic manufacturing**, **big data** and the **lean startup movement**. These continue; for 2018 and beyond the slides add three technology trends:

TREND	WHAT IT COVERS	EXAMPLES FROM THE SLIDES
Intelligent technology	Artificial intelligence (AI), arguably the most important platform technology: machine-learning solutions aimed at a specific task, augmenting human decisions	Self-driving cars in a controlled environment, facial recognition, diagnostics
Digital environment	Immersive experiences (mixed realities, including augmented and virtual reality) and digital twins (a digital replica of a person or real-world entity, fed by connected sensors)	Video games, medical training, military simulations; simulations run on a digital twin
Disruption	Synthetic biology and genomics, and quantum computing	clustered regularly interspaced short palindromic repeats (CRISPR) gene editing (possibly correcting genes linked to Alzheimer's disease); quantum computers to discover medicines and materials

> **Update:** The trend list dates from the 2018 textbook edition. Since then generative AI (large language models) has become the most visible form of intelligent technology. The course's three headings still hold, so use them and cite generative AI only as a current example.

> **Exam tip:** When a case venture fails, map each symptom to one of the four failure reasons and to the skipped phase of the entrepreneurial process. EuroDisneyland, in the next chapter, shows an untested business model and a value proposition that did not fit its customers.

Link to next topic → The EuroDisneyland case puts these ideas to work: a proven model, a new country, and a fuzzy front end in which key assumptions were never retested.

CHECK YOURSELF

Answer from memory, then check below.

1. **What is the "fuzzy front end"?**
   - A. The first year after launch, when cash flow is uncertain
   - B. The period before launch, when activities are unclear and change as information arrives
   - C. The decline stage of the industry life cycle
   - D. The point at which investors join the venture
2. **According to the slides, when did the word "entrepreneur" come into popular use in the United States?**
   - A. The 1960s
   - B. The 1970s
   - C. The 2000s
   - D. The 1980s
3. RECALL **Three technology trend headings for 2018 and beyond**

Answers 1. B **2.** D **3.** Intelligent technology (artificial intelligence), the digital environment (immersive experiences, digital twins), and disruption (synthetic biology and genomics, quantum computing).

CHAPTER 5 · WEEK 1 · CASE · CILO 1

Case study: why EuroDisneyland lost money in its first year

PROBLEM
A theme park model that succeeded in Anaheim, Orlando and Tokyo lost about half a billion dollars within a year of opening near Paris in April 1992.

→

BIG IDEA
A business model proven in one country is only a hypothesis in another; costs, prices and culture all had to be retested and were not.

→

HOW (TOOLS)
The case exhibits (costs, admission rates, visitor profiles, Disney's payoff), the spend-to-admission ratio, and a ranked set of turnaround options.

→

RESULT
A diagnosis with four causes and a turnaround that stabilizes cash first, fixes the offer second and reinvests third.

IN PLAIN WORDS

By 1983 Disney had three successful parks: Disneyland in Anaheim (1955), Walt Disney World in Orlando, and Tokyo Disneyland. Tokyo was a near-exact copy of Anaheim, with signs in English and American food, and it thrived because Japanese visitors wanted the "real thing." Disney took no equity in Tokyo; it licensed the park to the Oriental Land Company and collected 10% of admissions, 5% of food and merchandise sales and licensing fees. Encouraged, Disney chose Marne-la-Vallée, 20 miles from Paris, over Spain for a European park, citing some 300 million people within a day's drive or train ride.

The European deal was structured differently. Disney took a 49% stake for only $160 million of its own capital, kept management control, and collected the same royalties as in Japan plus management fees and 49% of profits. French authorities provided low-interest loans and infrastructure and cut the value added tax (VAT) on tickets from 18.6% to 7%. Disney promised in return to respect and use French culture in its themes. The park opened on 12 April 1992. By September 1992 it had reported a net loss of FFr188 million (French francs), cumulative losses approached $500 million by April 1993, the share price had fallen from FFr166 to about FFr65, and the chairman had been replaced by Philippe Bourguignon.

The puzzle is that attendance (about 10 million a year) exceeded the stated break-even of 7 to 8 million visitors, yet the park lost money. Working through the exhibits resolves it. The break-even figure belonged to the original $1 billion plan, but construction estimates grew to $4.4 billion. Visitors paid the highest adult ticket

of any Disney park but spent the least inside the park. French household leisure budgets and long holiday blocks did not fit an expensive day out. And Disney's fees were charged on revenue, so Disney earned while shareholders lost. Cultural choices, such as banning alcohol in a wine-drinking country and imposing a strict United States appearance code, made the fit worse.

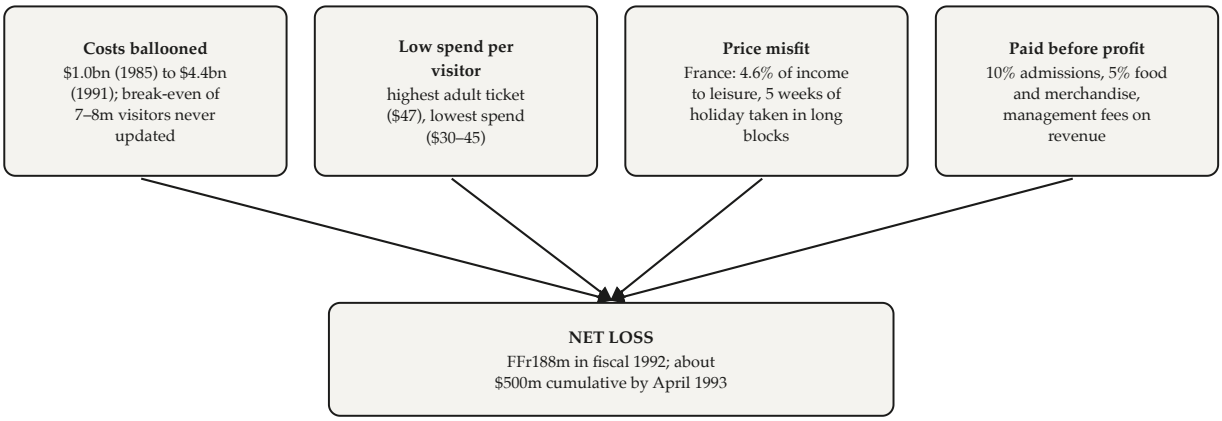


FIGURE 5.1 Four causes from the case combine: costs that grew 4.4 times without an updated break-even, a ticket that left little to spend inside, a price that ignored European leisure budgets, and fees paid to Disney on revenue rather than profit.

Key numbers from the case

INDICATOR	VALUE	WHAT IT SHOWS
Net loss, fiscal year to September 1992	FFr188 million	Losing money from year one
Cumulative losses to April 1993	about $500 million	Losses accelerating, not shrinking
Attendance	about 10 million (target 11 million)	One million short of the goal
Stated break-even	7–8 million visitors	Exceeded, yet still a loss: the target was out of date
French share of visitors (April–September 1992)	29% (forecast 50%)	The home market stayed away
Hotel occupancy, first year	37%	Large fixed assets sitting idle
Construction cost estimates	$1.0bn (1985) to $4.4–4.5bn (1992)	Costs grew about 4.4 times
Cash reserves, May 1993	FFr1.1 billion	Little room to fund Phase Two (FFr8–10bn)

Cause 1: costs grew but the break-even was never updated

Construction cost estimates rose from $1.0 billion in 1985 to $4.4 billion in 1991. French construction costs averaged 20% above similar United States jobs; facades received six coats of paint against one in the United States parks; Le Visionarium ran $8–10 million over; and there were delays and modifications. The break-even of 7 to 8 million visitors was set for the $1 billion version and never recalculated, so the project became unprofitable during construction.

Cause 2: a high ticket left little to spend inside

Spend-to-admission ratio = average in-park spend per person ÷ adult admission
Tokyo: $77.50 ÷ $38 ≈ 2.04× Anaheim: $52.50 ÷ $29 ≈ 1.81×
Orlando: $52.50 ÷ $35 = 1.50× EuroDisney: $37.50 ÷ $47 ≈ 0.80×

Spend figures use the midpoint of each range in Exhibit 6. That column must exclude the ticket, because EuroDisney's figure ($30–45) is below its own $47 ticket. EuroDisneyland therefore charged the highest adult ticket and collected the lowest in-park spend. Counting the ticket as well, a EuroDisney visitor brought in about $84.50 ($47 + $37.50) against about $115.50 in Tokyo ($38 + $77.50). A gap of about $31 a visitor across 10 million visitors is roughly $310 million of revenue a year. That is lost revenue, not lost profit, because food and shops have their own costs, but it is large next to a loss of about $500 million.

Cause 3: the price did not fit European wallets or holidays

Leisure budget = income per head × share for leisure
France: $23,026 × 4.6% ≈ $1,059 a year
A day plus hotel night of about $177 ÷ $1,059 ≈ 16.7%

French visitors also take about five weeks of holiday, usually in long blocks spent away from home, while Japanese and United States visitors take two to three weeks and favor short trips. Tokyo had 30 million people within 30 miles and the gift-giving custom of *omiage* (Disney *omiage* sales in Japan passed $1 billion in 1988); EuroDisney's 300 million people were a day's travel away, so transport ate into the in-park budget.

Cause 4: Disney was paid before profit was measured

DISNEY'S PAYOFF (EXHIBIT 8)	RATE
Royalties on admissions	10%

Royalties on food, merchandise and hotels	5%
Dividends	49% of the park's net income
Base management fees	3% of revenues for the first 5 years, 6% after

Because royalties and fees are charged on revenue, Disney earned even while EuroDisney's other shareholders lost money.

Supporting causes: copying instead of adapting

- **American formula copied**: no alcohol in a wine country, mainly American food, and a United States appearance code challenged under French labor law, which bans restrictions on individual liberties unless they are required by the job.
- **Tokyo's lesson misread**: Japan wanted American culture; French intellectuals called the park a "cultural Chernobyl."
- **Weather**: Paris averages 32–42°F in January against Orlando's 49–70°F; covered walkways and 35 fireplaces were added, but the season stayed short.
- **Local relations**: work-bid adverts first placed only in English; farmers protested land expropriation; the communist-led union federation, the Confédération Générale du Travail (CGT), opposed flexible working hours.

Turnaround options and the recommended sequence

OPTION	WHAT IT MEANS
A · Do nothing and wait	Eisner's view that the park will grow into the culture over time
B · Fix the financial model	New capital, renegotiated debt, Phase Two halted
C · Fix the product	Cut prices, serve alcohol, adapt the offer to the market
D · Sell or license the park	Copy the Tokyo model and earn fees instead of owning
E · B, then C, then reinvest	Stabilize cash, fix the offer, then build a new attraction

No option is marked as the answer in the course materials, so any option can score if its trade-offs are argued with case evidence. Option E is the easiest to defend because it treats both the cash crisis and its causes, in that order: stop the cash drain, fix the offer, then reinvest. This is retrenchment-then-recovery turnaround thinking, and it fits Week 5's rule that a business model must change when field results disprove its hypotheses. Typical actions: ask Disney to waive royalties and fees for a period (they are charged on revenue); use the fact that Disney put in only $160 million of direct capital while lenders had far more at stake to reschedule debt;

freeze Phase Two without cancelling it; cut ticket and hotel prices and add winter pricing; serve wine and beer and add cheaper menus; stress the Paris location; and, once cash is stable, build a major new attraction.

Lessons for international new ventures

1. **Product-market fit comes first**, especially in a foreign country.
2. **Past success does not travel automatically**: a strategy that works in one region may not work in another.
3. **Recalculate break-even on the latest cost estimate**.
4. **Set price to the customer segment**, not only to cover costs.
5. **Heavy debt plus high operating costs** puts a venture at constant risk.

Your assignment answer (student work, kept separate)

> **Not a model answer:** The "Study Case for EuroDisneyland" file in the course folder is your own submitted assignment, not course material. This chapter now rests only on the case and its exhibits. Checked against them, your four causes and your choice of Option E hold up. The points below were wrong or overstated, so do not memorize them from your file. The full check, with sources, is in your assignment review.

IN YOUR ANSWER	CORRECT VERSION
Attendance "10% short" of target	1 million short of 11 million is about 9%
French visitors "31% difference" from the forecast	50% forecast against 29% actual is 21 percentage points (42% below forecast in relative terms)
Debt of FFr421bn, "382×" the cash (and FFr442bn later)	FFr421bn is almost certainly a misprint in the case: it would be about $75bn, far above Disney's total assets of $10.9bn in Exhibit 1. Say only that debt was many times the FFr1.1bn of cash.
"$40 gap × 10 million visitors = $400 million, almost exactly the loss"	With the ticket counted, the revenue gap is about $31 a visitor, roughly $310 million a year, and a revenue gap is not a profit gap
"Lowest total spend per visitor"	Lowest in-park spend; the ticket is not in that column
Cash "barely enough for 1 year runway"	FFr1.1bn is far less than one year of losses at about $500 million, so the runway was shorter than a year
Disney "risks only $160m"	$160 million was Disney's direct capital; Exhibit 1 shows its investment in EuroDisney at $539.5 million in 1992

Reversing retrenchment and recovery is "the most common reason turnarounds fail"	Present this as your own inference, not as a finding of the theory

> **Exam tip:** Quantify every cause with an exhibit. "Prices were too high" earns little; "the spend-to-admission ratio was 0.80× against Tokyo's 2.04×" shows analysis. End with a sequenced recommendation and the reason for the order.

Link to next topic → EuroDisney shows what happens when assumptions go untested at scale. Week 2 turns from the venture to the person behind it, starting with the myths that lead would-be entrepreneurs to wrong assumptions about themselves.

CHECK YOURSELF

Answer from memory, then check below.

1. **EuroDisney's spend-to-admission ratio was about 0.80×, against Tokyo's 2.04×. What does this show?**
   - A. EuroDisney charged the lowest ticket of all Disney parks
   - B. Visitors paid the highest ticket but spent the least inside the park
   - C. Tokyo visitors paid more for admission than EuroDisney visitors
   - D. EuroDisney's visitors spent more on food than on tickets
2. **EuroDisneyland drew about 10 million visitors, above its 7–8 million break-even, yet lost money. The best explanation is that…**
   - A. attendance fell short of the break-even in the first year
   - B. Disney took no royalties from the park
   - C. the break-even was set for the $1 billion plan and never updated as costs rose to $4.4 billion
   - D. the French government withdrew its loans
3. (RECALL) **EuroDisneyland's first-year headline numbers**

Answers 1. B **2.** C **3.** Net loss of FFr188 million for fiscal 1992; about $500 million cumulative losses by April 1993; about 10 million visitors against an 11 million target; French only 29% of visitors (forecast 50%); hotel occupancy 37%.

PART B

WEEK 2 · PREPARING FOR THE GLOBAL ENTREPRENEURIAL JOURNEY

CHAPTER 6 · WEEK 2 · SESSIONS 3–4 · CILO 1

Who becomes an entrepreneur: stereotypes and six myths

PROBLEM	BIG IDEA	HOW (TOOLS)	RESULT
Would-be founders hold back because they believe they lack the right personality, enough money or a brilliant idea.	Research finds no stereotypical entrepreneur, and six common beliefs about entrepreneurship are myths.	The six myths, each answered with the research finding or quotation from the slides.	Entrepreneurship is seen as a learnable discipline open to people of any age and starting capital.

IN PLAIN WORDS

Entrepreneurship begins in the mind of an individual, and from the motivation to start through every decision about growth, customers, facilities, employees and exit, it comes down to people and their needs. That makes it tempting to look for a "type" of person who becomes an entrepreneur. Research has failed to find one: no psychological or sociological characteristic predicts with any certainty who will become an entrepreneur or who will succeed.

Without a stereotype to rely on, beliefs fill the gap, and many are wrong. The slides list six myths. Each one, if believed, either stops a person from starting or pushes them into a costly mistake, such as taking on unnecessary risk because "bigger risk means bigger reward," or spending months on a formal plan before speaking to a customer.

The corrections share one theme: success comes from disciplined behavior that can be learned, not from luck, genes or a single big idea. Great businesses have more often started with a great team than a great idea, investors expect founders to reduce risk, and Peter Drucker called entrepreneurship "a discipline" that, "like any discipline, can be learned."

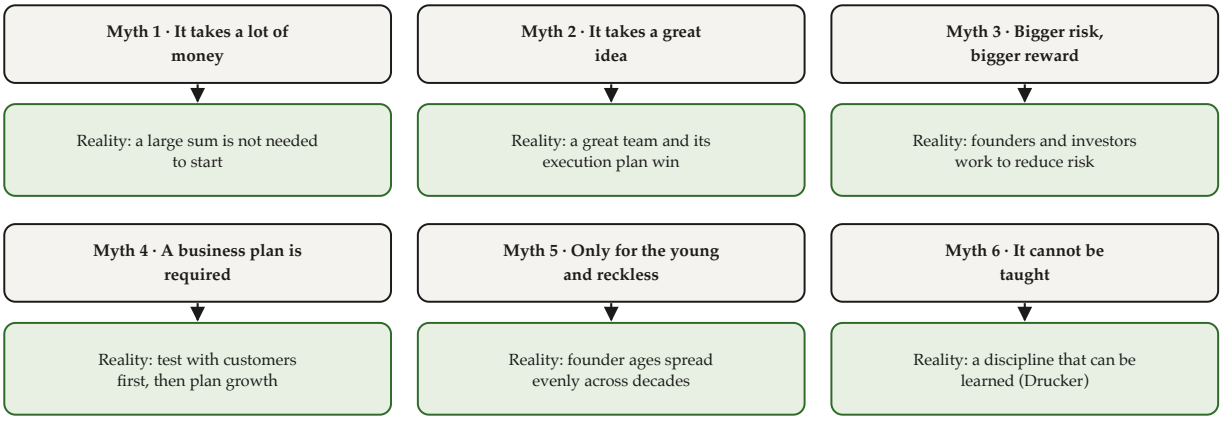


FIGURE 6.1 Each myth (top line) is answered by the research finding beneath it. In an exam, name the myth, then state the reality and the evidence or quotation that supports it.

Saying goodbye to stereotypes

Research has failed to identify a stereotypical entrepreneur. There are no psychological or sociological characteristics that can predict with any certainty who will become an entrepreneur or who will succeed as one.

The six myths and the reality

MYTH	REALITY FROM THE SLIDES
1 · It takes a lot of money to start a business	A false assumption: "Nothing could be further from the truth."
2 · It takes a great idea	Most great businesses successful for at least 50 years started with a great team that wanted to build an enduring company. Usually the execution plan, not the idea, makes the business a success.
3 · The bigger the risk, the bigger the reward	Risk is relative, and the goal of entrepreneurs and investors is to reduce it. Investors expect founders to test the market, acquire the first customer and invest some of their own capital.
4 · A business plan is required for success	Many successful businesses started without a formal plan. Current thinking: (1) get in front of customers to test the idea and (2) have a plan to grow the business.
5 · Entrepreneurship is for the young and reckless	Entrepreneurs' ages are fairly evenly distributed across all decades; entrepreneurship can be a lifetime endeavor.
6 · Entrepreneurship cannot be taught	Drucker: "It's not magic, it's not mysterious, and it has nothing to do with the genes. It is a discipline. And, like any discipline, it can be learned." Specific skills and behaviors can be taught and applied.

Exam tip: Myth questions are usually applied: a case founder says "I need a lot of capital" or "my idea must be unique." Name the myth by number, state the reality, and give the evidence (the 50-year companies, the investors' expectations, the Drucker quotation). The LocalBite case is built exactly this way.

Link to next topic → Once the myths are cleared away, the next question is which route into entrepreneurship a person takes, because the path shapes everything from funding to risk.

CHECK YOURSELF

Answer from memory, then check below.

1. What do the slides say research has found about the "typical entrepreneur"?

A. Most successful entrepreneurs share a high tolerance for risk
B. Entrepreneurs are usually aged 18 to 25
C. Successful entrepreneurs usually come from business families
D. No psychological or sociological traits predict with certainty who will become or succeed as an entrepreneur

2. Peter Drucker is quoted against which myth?

A. It takes a lot of money to start a business
B. Entrepreneurship cannot be taught
C. Entrepreneurship is for the young and reckless
D. The bigger the risk, the bigger the reward

3. (RECALL) **The six myths of entrepreneurship**

Answers 1. D **2.** B **3.** (1) It takes a lot of money; (2) it takes a great idea; (3) the bigger the risk, the bigger the reward; (4) a business plan is required for success; (5) entrepreneurship is for the young and reckless; (6) entrepreneurship cannot be taught.

CHAPTER 7 · WEEK 2 · SESSIONS 3–4 · CILO 1

Paths to entrepreneurship: five routes and the corporate entrepreneur

PROBLEM
Entrepreneurship takes many forms, from a home-based freelancer to a venture team inside a large firm, and each faces different conditions.

→

BIG IDEA
People start out of necessity or opportunity, and they take one of several recognizable paths, each with its own rules.

→

HOW (TOOLS)
The conditions that favor startups, five paths (home-based, serial or portfolio, nonprofit, corporate), the four corporate venturing models, and the challenges and opportunities of the career.

→

RESULT
A founder who can place themselves on a path and weigh its challenges against its opportunities.

IN PLAIN WORDS

People start businesses either out of necessity, because they need income, or because they are driven by an opportunity. The startup route becomes more attractive when entry barriers in the industry are low, the job market is uncertain, investment capital is plentiful, or the opportunity rests on a breakthrough technology that will make older technology obsolete.

The paths differ widely. Home-based businesses include hobby and freelance work but also ventures that compete with brand-name firms, made possible by technology; the Small Business Administration (SBA) reported that 52 percent of small businesses were home-based as of 2014. Serial entrepreneurs start one business after another, building on experience, while portfolio entrepreneurs hold stakes in several ventures at once. Nonprofit entrepreneurs pursue educational, religious or charitable goals and seek tax-exempt status; contrary to popular belief they can and should make a profit, but it stays in the organization. Corporate entrepreneurs innovate inside existing organizations, where projects are risky and uncertain enough to be managed apart from the core business.

Large companies use four models to simulate an entrepreneurial environment, ranging from waiting for champions to building a dedicated, autonomous unit. Whatever the path, the career brings real challenges (uncertainty, long unpaid hours, isolation) alongside real opportunities (independence, wealth, doing good).

Because opportunity is rarely found in stable, predictable settings, would-be entrepreneurs must learn to embrace change and uncertainty.

When people choose the startup route

- **Low industry entry barriers**
- **Uncertainty in the job market**
- **Plentiful investment capital**
- **A breakthrough or disruptive technology** that will make previous technology obsolete

The paths

PATH	DEFINING FEATURES
Home-based entrepreneur	Hobby, consulting and freelance businesses, but also ventures competing with brand-name firms; technology allows work from anywhere and access to help from desktop or mobile; 52 percent of small businesses home-based (Small Business Administration, 2014)
Serial entrepreneur	Starts one business, then moves on to start another, often building on experience or expertise from the first
Portfolio entrepreneur	Owns a minority or majority stake in several ventures; creates churn while hunting new opportunities linked to existing businesses
Nonprofit entrepreneur	Educational, religious or charitable goals; seeks tax-exempt status to attract donations; can and should make a profit, but profit stays in the organization
Corporate entrepreneur	Innovates inside an existing organization; corporate ventures are new to the company, high-risk and uncertain, so often managed separately from core activities

Four models of corporate entrepreneurship

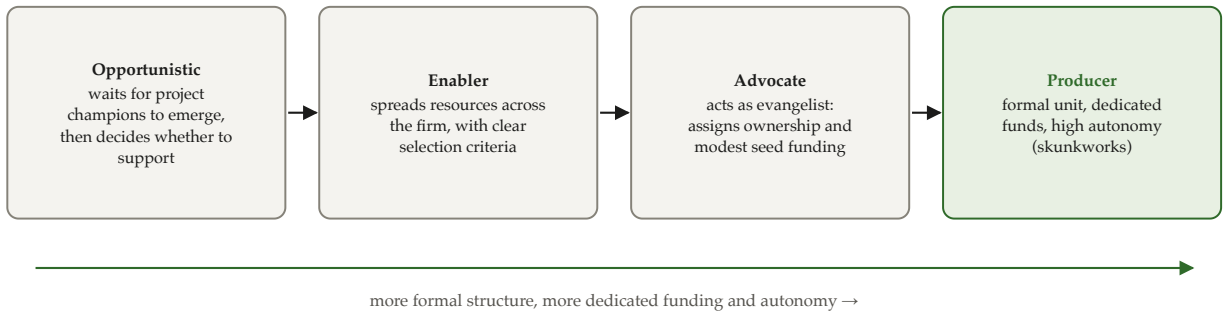


FIGURE 7.1 The four models differ in how much structure and money the company commits, from waiting for champions (opportunistic) to a dedicated, autonomous unit with its own funds (producer, once called a skunkworks).

1 **Opportunistic model**	2 **Enabler model**	3 **Advocate model**	4 **Producer model**
Waits for project champions to emerge and suggest opportunities, then decides whether to support them.	Sprinkles resources throughout the organization to encourage innovation at all levels, with clear criteria for selecting opportunities.	Acts like an evangelist: assigns ownership of a project or new business and provides modest seed funding to test it.	Establishes formal organizations with dedicated funds and significant autonomy; this approach used to be called a **skunkworks** .

Those on the corporate path need to **align with key decision makers**, **work with only the best, most motivated people**, and **do any job needed** to make the project work.

Challenges and opportunities of the entrepreneurial career

Challenges	Opportunities
• Finding the right business opportunity • Working long hours, often without pay • Facing uncertainty and high risk • Making major decisions that affect other people's lives • Relying on others for expertise and resources • Having no previous experience to rely on • Facing failure at some point • Finding the right people to grow the business • Raising capital and other resources • Dealing with isolation and disillusionment	• Becoming independent and taking charge of a career • Creating wealth • Doing well while doing good (social entrepreneurship) • Working in a business environment the entrepreneur creates • Doing something the entrepreneur is passionate about • Making a difference • Creating new jobs • Supporting the community

Entrepreneurs create opportunity first, from unmet needs or unsolved problems, and then gather the resources to exploit it. The slides conclude that the

opportunities seem to outweigh the challenges.

> **Exam tip:** The four corporate models are a favorite "list and explain" item. Keep the order (opportunistic, enabler, advocate, producer) and show the progression in formality and funding; mention that the producer model was once called a skunkworks.

Link to next topic → Choosing a path is not the same as being ready to walk it. The next chapter covers the six steps that prepare a person to become an entrepreneur.

CHECK YOURSELF

Answer from memory, then check below.

1. **A company assigns ownership of a new business idea to a manager and gives modest seed funding to test it. Which corporate entrepreneurship model is this?**
   - A. Advocate model
   - B. Opportunistic model
   - C. Enabler model
   - D. Producer model
2. **What distinguishes a portfolio entrepreneur from a serial entrepreneur?**
   - A. A portfolio entrepreneur only invests and never manages
   - B. A serial entrepreneur runs several businesses at the same time
   - C. A serial entrepreneur only works inside corporations
   - D. A portfolio entrepreneur holds stakes in several ventures at once
3. (RECALL) **The four corporate entrepreneurship models in order**

Answers 1. A **2.** D **3.** Opportunistic (waits for champions), enabler (spreads resources with clear selection criteria), advocate (assigns ownership plus modest seed funding), producer (formal unit, dedicated funds, autonomy; once called a skunkworks).

CHAPTER 8 · WEEK 2 · SESSIONS 3–4 · CILO 1

Getting ready: six steps to prepare for entrepreneurship

PROBLEM
Startups expose founders to extra risk because they are typically undercapitalized, poorly managed and undifferentiated from competitors.

→

BIG IDEA
Specific preparation steps raise the odds of success, and a venture with growth potential repays the effort better than one that yields a single job.

→

HOW (TOOLS)
Six steps: find a mentor, build a professional network, learn about entrepreneurs, understand personality and preferences, acquire critical skills, study an industry.

→

RESULT
A founder with guidance, contacts, self-knowledge, skills and the industry knowledge where the best opportunities are found.

IN PLAIN WORDS

Starting any business takes a tremendous amount of time, effort and resources, so it usually makes sense to start one with the potential to grow large and give a good return, rather than spend the same effort on a business that yields only one job. Research also shows that starting a business is risky because new firms are typically undercapitalized, poorly managed and undifferentiated. Preparation is how a founder works on all three weaknesses before launch.

The six steps begin with people. A mentor is someone already living the life the founder envisions, who acts as guide, sounding board, champion and gateway to people the founder could not otherwise meet. A professional network adds more reach. Here the course draws a useful distinction: strong ties (close friends and family) and weak ties (acquaintances and business contacts). Weak ties matter more than one might expect, because they are not biased by a shared history and so give objective advice that moves the founder forward faster. To make a network large and meaningful, the founder connects with brokers, opinion leaders who act as gateways to other networks.

The remaining steps build knowledge. Learning about entrepreneurs means reading and, most importantly, talking to them. Understanding personality and preferences means facing the six barriers that keep people from self-employment. Acquiring skills means building analysis, critical thinking and communication. Studying an industry, perhaps by working in it, is where the best opportunities

come from, because opportunities can appear anywhere along an industry's value chain.

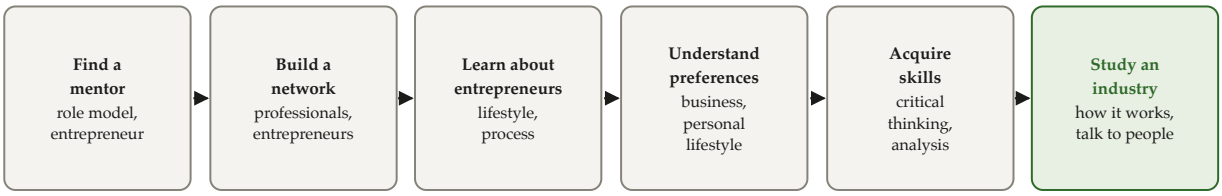


FIGURE 8.1 The six preparation steps from the textbook figure. The steps overlap in practice, but the order moves from people (mentor, network) to self-knowledge and skills, and ends with deep industry knowledge.

Step 1: Find a mentor

A **mentor** is someone leading the type of life the founder envisions, who can act as guide and sounding board as well as champion and gateway to people the founder could not otherwise meet.

Step 2: Build a professional network

- **Networking**: the exchange of information and resources among individuals, groups or organizations whose common goals are to mutually benefit and create value for the members.
- **Strong ties**: close friends and family members.
- **Weak ties**: acquaintances and business contacts; not biased by prior history, so entrepreneurs rely on them for objective advice and move faster with their help.
- **Network brokers**: opinion leaders who exert influence between groups and serve as gateways to other networks.

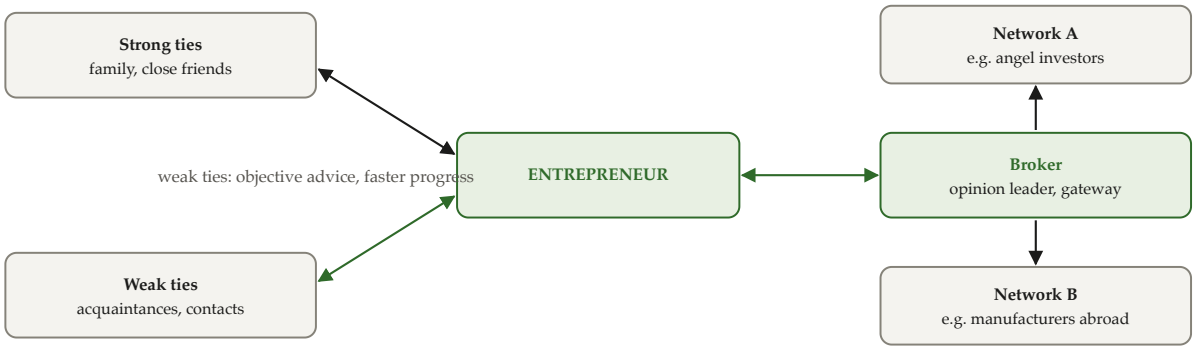


FIGURE 8.2 Strong ties (family, close friends) sit close but carry shared history; weak ties (acquaintances, business contacts) give objective advice. Brokers link the entrepreneur to whole new networks, such as angel investors or overseas manufacturers.

Step 3: Learn about entrepreneurs

Read magazine articles, books, blogs and newspapers, and above all talk to entrepreneurs. Good places to meet them are university entrepreneurship programs, local chambers of commerce, small business development corporations and industry events.

Step 4: Understand personality and business preferences

Research has found six barriers that keep people from becoming self-employed:

1. **Lack of confidence**
2. **Financial needs**
3. **Startup logistics**
4. **Personal or family issues**
5. **Time constraints**
6. **Lack of skills**

Step 5: Improve or acquire critical skills

Entrepreneurs operate in uncertainty, so they must analyze a situation, extract the important and ignore the superfluous, compare outcomes and extrapolate from other experiences, often weighing options in complex situations.

Analysis and critical thinking

- Calculated risk taking
- Embracing uncertainty and ambiguity
- Opportunity creation
- Organizational and time management (details)
- Resource gathering

Written and oral communication

- Storytelling
- Vision
- Persuasion and negotiation
- Decision making
- Leadership and people management

Step 6: Study an industry

An **industry** is a group of companies engaged in a similar or related field. The computer industry, for example, includes every business providing parts, assembly, manufacturing and distribution for computers, that is, the whole value chain. The

best opportunities come from experience and knowledge of an industry, a market or a type of business, and because opportunities are not limited to products and services, studying an industry reveals openings anywhere along its value chain.

> **Exam tip:** When advising a case founder "how to prepare," walk the six steps in order and make each concrete for the case (who the mentor could be, which weak ties or brokers to approach, which industry to study). Explaining why weak ties beat strong ties for advice is a frequent discriminator between good and excellent answers.

Link to next topic → The LocalBite case brings Week 2 together: a student founder who believes three of the myths and needs exactly these preparation steps.

CHECK YOURSELF

Answer from memory, then check below.

1. **Why do entrepreneurs rely on weak ties for advice?**
   - A. Weak ties are usually wealthier than strong ties
   - B. Weak ties are not biased by a prior history with the entrepreneur, so their advice is more objective
   - C. Strong ties refuse to give advice
   - D. Weak ties are bound by confidentiality agreements
2. **In networking, what is a broker?**
   - A. An opinion leader who acts as a gateway between groups or networks
   - B. A close family member who funds the venture
   - C. A lawyer who drafts partnership agreements
   - D. An investor who buys shares in the venture
3. RECALL **Strong ties versus weak ties**

Answers 1. B **2.** A **3.** Strong ties: close friends and family. Weak ties: acquaintances and business contacts, who are not biased by prior history and so give objective advice that helps entrepreneurs move faster.

CHAPTER 9 · WEEK 2 · CASE · CILO 1

Case study: LocalBite, from idea to action

PROBLEM
A 20-year-old student wants to sell modern Indonesian snacks online but thinks he needs a lot of money, a completely unique idea and prior experience.

→

BIG IDEA
Each worry is a Week 2 myth; the right move is to start small from home and test with real customers before investing more.

→

HOW (TOOLS)
The six myths, the preparation steps (mentor, network, industry study, skills), and a low-cost market test with 30–50 customers.

→

RESULT
A clear decision: continue developing LocalBite, and make the first step a cheap customer test.

IN PLAIN WORDS

Raka, a 20-year-old university student, wants to start "LocalBite," selling modern Indonesian snacks through social media and online marketplaces. He sees an opportunity because many young consumers enjoy traditional food presented in a modern way. He has savings of 5 million Indonesian rupiah (IDR). Three concerns hold him back: he thinks he needs a large amount of money before starting, he feels the product idea must be completely unique, and he has no business experience and is worried about failure. "What if it doesn't work?" is on his mind.

The case suggests starting from home and selling through Instagram, TikTok and online marketplaces, and recommends a first step: test the product with 30–50 customers before investing more money. Support and advice are to find a mentor, build a network with entrepreneurs and potential customers, study the food industry and develop digital marketing skills, and test the market before writing a detailed business plan. The decision point is whether Raka should continue, and what he should do first.

Read through Week 2, the answer is straightforward. The money worry is Myth 1; a home-based start on social channels needs little capital. The uniqueness worry is Myth 2; execution, not the idea, makes the business. The fear of failure without experience touches Myth 3 (reduce risk rather than seek it) and Myth 6 (the skills can be learned). The recommended test with 30–50 customers is the course's advice in miniature: get in front of customers first (Myth 4), then plan.

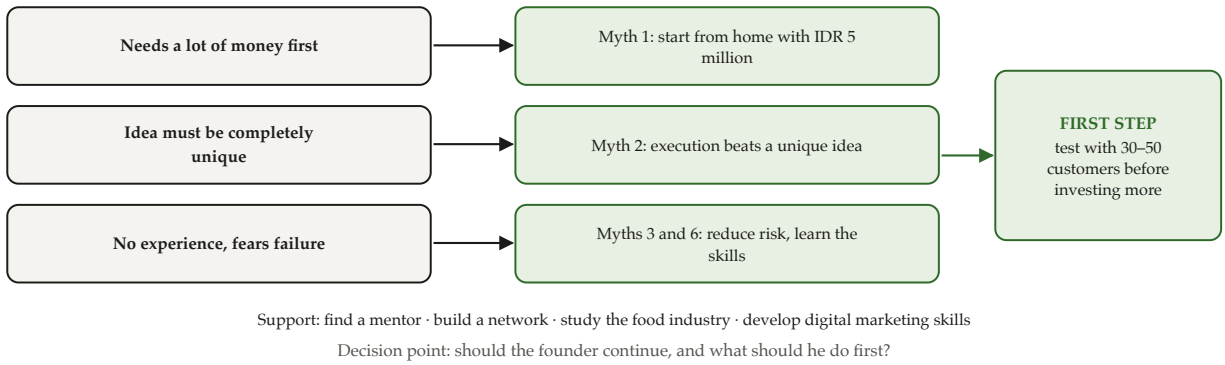


FIGURE 9.1 The case is built so that each worry matches a myth from the week: money (Myth 1), a unique idea (Myth 2) and fear of failure without experience (Myths 3 and 6). The recommended first step turns all three into a cheap test.

Model answer structure

1 Decision
Continue developing LocalBite; the opportunity (traditional flavors, modern presentation for young consumers) is real and the downside is small.

2 Correct the myths
Money (Myth 1), unique idea (Myth 2), risk and learning (Myths 3 and 6).

3 Prepare
Mentor, network of entrepreneurs and potential customers, study the food industry, build digital marketing skills.

4 First step
Test with 30–50 customers before investing more; use the results to refine product, price and channel.

5 Then plan
Write the detailed plan only after the market test, in line with Myth 4.

Exam tip: For a decision-point case, answer the decision in the first sentence, then justify it with the course's frameworks, then give the first concrete step and how its result will be judged. A detailed plan with market sizing and profit projections does not answer this case on its own, because the case's advice is to test before writing one.

Your assignment answer (student work, kept separate)

Not a model answer: The "LocalBite Strategic Blueprint" in the course folder is your own submitted assignment, not course material. It develops LocalBite into a frozen *cireng* snack with chili levels 0–10 sold in Bandung. It is creative and uses later-week tools well, but it never states the decision the case asks for (continue, and test with 30 to 50 customers first), and several figures do not reconcile. The full check, with sources, is in your assignment review.

IN YOUR BLUEPRINT	VERDICT

Low-cost start (Rp 0 design, Rp 3.89 million of the Rp 5 million kept as working capital)	Sound, and it answers Myth 1; name the myth explicitly
Chili levels 0–10 as the differentiator	Sound; it answers the "must be unique" worry (Myth 2) through execution
Mentor role: validation, campus orders, permits	Sound and specific
Serviceable available market Rp 394.3 billion "per month" for 547,648 people	Not plausible as monthly (about Rp 720,000 per person); probably yearly. Check and cite the source.
Channel payouts on a Rp 33,000 pack	Mixed bases: two bars subtract product cost and two do not. After product cost: direct Rp 26,897, ShopeeFood Rp 20,297, GoFood Rp 18,571, GrabFood Rp 16,997. Direct orders still win.
Blended price Rp 35,000	Wrong: a blend cannot exceed every pack price (Rp 28,000 and Rp 33,000), so the Rp 101.2 million obtainable market is overstated
Supermarket consignment from month 3	Too early: frozen processed food generally needs a BPOM MD permit, not a home-industry PIRT

Link to next topic → LocalBite's founder already had an idea; Week 3 asks how entrepreneurs generate and shape ideas in the first place, and how an idea becomes an opportunity.

CHECK YOURSELF

Answer from memory, then check below.

1. What does the LocalBite case recommend as the first step?

A. Write a detailed business plan before selling anything
B. Raise a large amount of capital from investors
C. Test the product with 30–50 customers before investing more money
D. Develop a completely unique snack before launching

2. RECALL **The four pieces of support and advice in the LocalBite case**

Answers 1. C **2.** Find a mentor; build a network with entrepreneurs and potential customers; study the food industry and develop digital marketing skills; test the market before writing a detailed business plan.

PART C

WEEK 3 · GLOBAL OPPORTUNITY RECOGNITION AND IDEATION

CHAPTER 10 · WEEK 3 · SESSIONS 5–6 · CILO 1

From idea to opportunity: design thinking

PROBLEM
Ideas are a commodity; everyone has them, but few turn them into something with commercial potential.

→

BIG IDEA
Design thinking looks at the world from the customer's perspective and moves an idea through inspiration, ideation and implementation until it becomes an opportunity.

→

HOW (TOOLS)
The three groups of design thinking activity, its four core uses, empathy and four further traits of design thinkers.

→

RESULT
An opportunity grounded in a real customer need, ready to become a business.

IN PLAIN WORDS

The week opens with a sharp distinction. An idea is just a thought, and ideas are everywhere. What distinguishes entrepreneurs is that they know how to extract value from ideas and turn them into opportunities with commercial potential. An opportunity, unlike an idea, can turn into a business. Later in the week the course gives the most compact definition: opportunity is the intersection of an idea and a customer.

Design thinking is the process the course uses to make that move. It is an approach that looks at the world from the customer's perspective, and it can be thought of as three groups of related activities: inspiration (creativity), ideation (opportunity development) and implementation (innovation and commercialization). In its simplest form it defines a problem, creates and considers several options, refines them through iteration, and settles on a winning solution.

At the heart of design thinking is empathy: a deep understanding of what customers want. That requires the entrepreneur to embed themselves in the customer's world and see needs as the customer sees them. A founder designing a meal service for busy workers, for example, would spend time in offices at lunchtime rather than guess from a desk. Design thinkers also show integrative thinking, optimism, a taste for experimentation and a habit of collaboration.

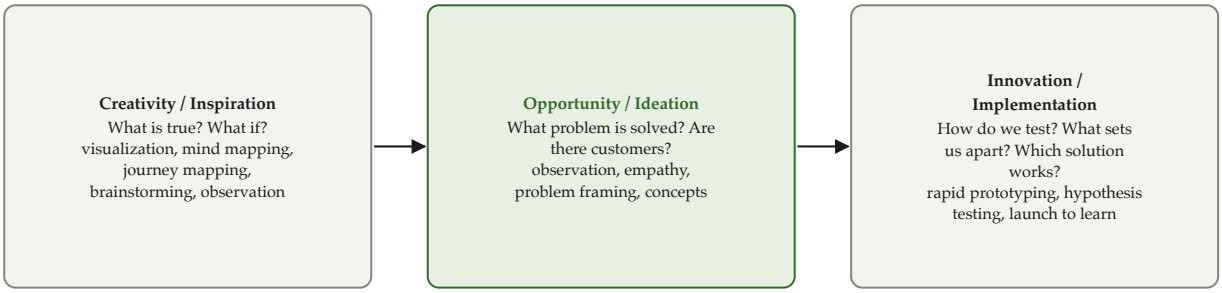


FIGURE 10.1 Design thinking moves from creativity (what is true, what if) to opportunity (what problem, which customers) to innovation (how do we test, which solution works). The tools listed under each group are those named in the figure.

Idea versus opportunity

- **Idea**: a commodity everyone has.
- **Opportunity**: an idea with commercial potential, from which value can be extracted; it can turn into a business. Opportunity is the intersection of an idea and a customer.

Design thinking defined

Design thinking is a process and approach that looks at the world from the customer's perspective, moving from inspiration (creativity) to ideation (opportunity development) to implementation (innovation and commercialization).

The three groups of activity

GROUP	QUESTIONS ASKED	TOOLS
Creativity / inspiration	What is true? What if?	Visualization, mind mapping, journey mapping, brainstorming, observation
Opportunity / ideation	What is possible? What problem is being solved? Are there customers for a solution?	Observation, understanding and empathy, problem framing and solving, concept development
Innovation / implementation	How do we know? How can we test? What sets us apart? Which solution works?	Rapid prototyping, hypothesis testing, launch to learn

What design thinking does, in four steps

1. **Define** a problem.
2. **Create** and consider multiple options.
3. **Refine** those options through iteration.
4. **Settle** on a winning solution.

Characteristics of design thinkers

- **Empathy**: deep understanding of what customers want, gained by embedding in their world.
- **Integrative thinking**
- **Optimism**
- **Experimentation**
- **Collaboration**

> **Exam tip:** If asked how an entrepreneur should develop an idea, structure the answer on the three groups of activity (inspiration, ideation, implementation) and name at least one tool from each. Mention empathy explicitly; it is the heart of the method.

Link to next topic → The first group of design thinking is creativity, so the next chapter looks at how the creative process works, what blocks it, and the tools that unlock it.

CHECK YOURSELF

Answer from memory, then check below.

1. **What is at the heart of design thinking?**
   - A. Cost reduction
   - B. Rapid scaling
   - C. Empathy with what customers want
   - D. Competitive rivalry
2. **Rapid prototyping and hypothesis testing belong to which group of design thinking activity?**
   - A. Creativity / inspiration
   - B. Innovation / implementation
   - C. Opportunity / ideation
   - D. Observation / research
3. RECALL **Definition of design thinking**

Answers 1. C **2.** B **3.** A process and approach that looks at the world from the customer's perspective, moving from inspiration (creativity) to ideation (opportunity development) to implementation (innovation and commercialization).

CHAPTER 11 · WEEK 3 · SESSIONS 5–6 · CILO 1

Creativity and inspiration: the creative process and its tools

PROBLEM
Creativity is the basis of differentiation, but it is hard to study and easily blocked by distractions and self-doubt.

→

BIG IDEA
Creativity follows recognizable stages and can be strengthened with habits and structured tools.

→

HOW (TOOLS)
Wallas's four stages, Seeff's seven stages, the two kinds of roadblock, the five creative skills, idea-generation rules, brainwriting, visualization and journey mapping.

→

RESULT
A steady flow of original ideas from which opportunities can be drawn.

IN PLAIN WORDS

Creativity is the ability to use the imagination to come up with original ideas. It lets entrepreneurs differentiate their businesses so customers notice them. It is also the root of invention, which is discovering something that did not exist before, and of innovation, which is finding a new way to do something or improving an existing product or service. And it is fundamental to problem-solving.

The creative process is hard to study because it happens inside a person's head, often unnoticed even by that person. Graham Wallas offered one of the earliest models with four stages: preparation, incubation, illumination and verification. A more recent view from Norman Seeff traces seven stages that individuals and teams go through, from "hearing the call" through "fear and resistance" to "fulfillment." Seeff's model is useful because it names the emotional dip that makes many people abandon ideas.

Creativity tends to occur naturally, but entrepreneurs often put up roadblocks without meaning to. These are environmental (multitasking is one of the biggest drains on productivity) or personal (needing ideas to seem acceptable or rational to others). Confidence grows with small wins, deep learning about the idea, and knowing when to stop polishing and start acting. Structured tools then help a person or group generate ideas: start individually, aim for quantity, capture everything, and combine ideas only after individual generation.

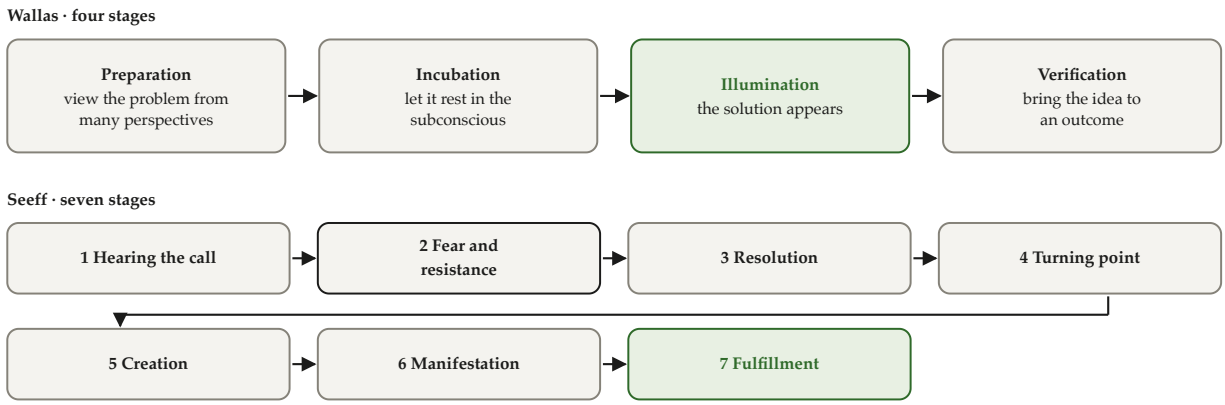


FIGURE 11.1 Wallas (top) describes thinking: prepare, let the problem incubate, find the solution, verify it. Seeff (bottom) describes the emotional journey from hearing the call through fear and resistance to fulfillment.

Creativity, invention and innovation

- **Creativity**: using imagination to come up with original ideas.
- **Invention**: discovering something that did not exist previously.
- **Innovation**: finding a new way to do something or improving an existing product or service.

Wallas's four stages

1 Preparation Looking at a problem from a variety of perspectives.	**2 Incubation** Letting the problem lie in the subconscious for a time.	**3 Illumination** The discovery of a solution.	**4 Verification** Bringing the idea to an outcome.

Seeff's seven stages of the creative process

1 Hearing the call · 2 Fear and resistance · 3 Resolution · 4 Turning point · 5 Creation · 6 Manifestation · 7 Fulfillment (adapted from Norman Seeff Productions).

Challenges to creativity

Environmental

Multitasking is one of the biggest contributors to lowered productivity.

Personal

Needing ideas to be acceptable or seem rational to others. To build confidence: set manageable goals that create small wins; learn everything possible about the idea; learn when to stop improving and move into action mode.

Developing creative skills

SKILL	HOW
Design a creative environment	Minimize distractions; make quiet contemplation a habit; notice where you feel creative; move out of your comfort zone
Log ideas	Keep a journal of thoughts and ideas and revisit it for inspiration
Put the familiar in a new context	Look for opportunity in familiar places; find new applications for a product; brainstorm why a negative event (an economic downturn) might be positive
Use your personal network	Find people in your network who connect you to very different communities
Visualize something	Picture the world in 50 years, or where a technology such as mobile phones or social networking is heading

Rules of thumb for generating ideas

1. **Individual first**: in a group, generate ideas individually before sharing.
2. **Quantity over quality** at the start.
3. **Capture every idea**, however outlandish.
4. **Piggyback**: combine and modify ideas, but only after individual generation.

Three tools

- **Brainwriting**: a form of brainstorming that makes everyone comfortable contributing; ideas go on sticky notes, are organized into themes, and unusual combinations are tried.
- **Visualization**: painting a picture of what you see through graphics and words that reveal patterns in the mass of ideas.

- **Journey mapping**: depicting every touch point a company has with a customer, from purchase to end of product life.

The journey map's touch points

Awareness of need → search → select → order or purchase → finance → pay → receive → install → store and move → use → repair and return → service → final disposal.

> **Exam tip:** Journey mapping is the most "applied" tool of the week. In a case question, walk a customer through the touch points and point to the step where the pain lies; that step is where the opportunity is.

Link to next topic → Creativity produces ideas and problems in quantity. The next step is to recognize which of them are real opportunities and to frame the right problem before solving it.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which tool depicts all touch points a company has with a customer, from purchase to end of product life?**
   - A. Brainwriting
   - B. Force fitting
   - C. Journey mapping
   - D. Attribute identification
2. **When generating ideas in a group, the slides advise that you should…**
   - A. start by combining others' ideas
   - B. judge each idea for quality as it is suggested
   - C. discard outlandish ideas early to save time
   - D. generate ideas individually first, then combine them
3. RECALL **Seeff's seven stages of the creative process**

Answers 1. C **2.** D **3.** Hearing the call; fear and resistance; resolution; turning point; creation; manifestation; fulfillment.

CHAPTER 12 · WEEK 3 · SESSIONS 5–6 · CILO 1

Recognizing opportunity and framing the right problem

PROBLEM
Teams rush to kill "crazy" ideas and jump to the obvious problem, so the real problem gets lost and money is spent on the wrong solution.

→

BIG IDEA
Opportunities are either discovered in market shifts or created by the entrepreneur's own actions; either way, the problem must be found and framed before solutions are developed.

→

HOW (TOOLS)
Discovery and creation theories, affirmative judgment, problem restatement with "how" and "why," attribute identification, force fitting, and explicit and implicit criteria.

→

RESULT
A well-framed problem statement and a shortlist of solutions judged against clear criteria.

IN PLAIN WORDS

Research offers two theories of how opportunities happen. **Discovery theory** says opportunities arise from shifts in external factors, such as regulation, technology or customer preferences, and entrepreneurs are better at spotting them because of alertness: their risk preference, their cognitive differences and the information asymmetries that let them know what others do not. **Creation theory** says opportunities are created by the entrepreneur's actions, reactions and experiments with products, services and business models. There are no "seeds" in the market; if seeds exist, they lie within the entrepreneur.

Whichever theory applies, the hardest part of problem-solving is identifying the right problem, because time and money spent on the wrong one are wasted. After generating ideas, the temptation is to kill the strange ones and rush to judge the best. The course recommends affirmative judgment (look for the strengths of a problem first), predefined criteria for choosing the best problem definition, and patience before concluding, especially from personal experience alone.

Restating the problem is the main technique. Asking "how" and "why" breaks open a statement that is too narrow or too broad. In the textbook example, a firm asking "How can we sell more mobile ultrasound devices?" asks why five times and ends at the real issue: "How can we speed up our product development process?" Attribute identification and force fitting then generate fresh angles, and solutions are judged against explicit criteria (budgets, deadlines) and implicit ones (intuition, team culture, preferences).

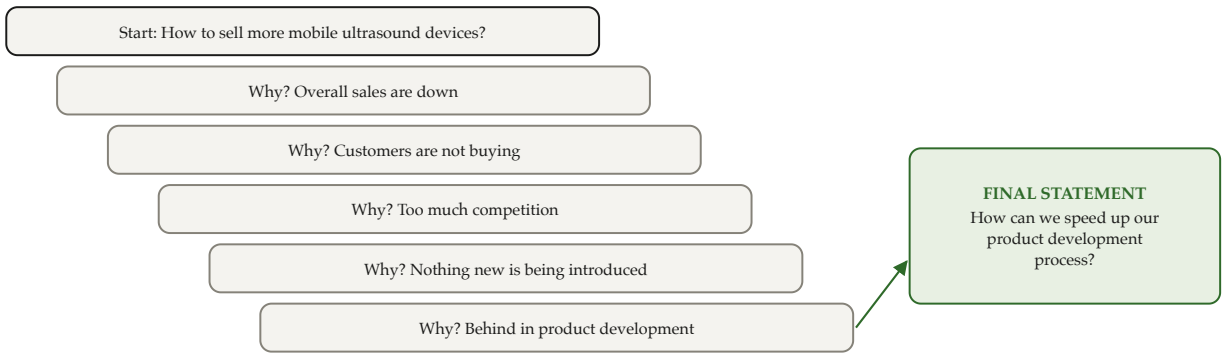


FIGURE 12.1 Asking "why" five times moves the problem statement from a symptom (sales are down) to a root cause the firm can act on. The final statement keeps the four parts: a how question, who is responsible, an action verb and the target outcome.

Two theories of opportunity

Discovery theory

Opportunity arises from shifts in external factors: regulation, technological change, changing customer preferences. Entrepreneurs recognize it through **alertness**, made up of:

- **Risk preference**: how much risk you can tolerate
- **Cognitive differences**: how you learn versus how others learn
- **Information asymmetries**: what the entrepreneur knows that others do not

Creation theory

Entrepreneurs create opportunities through their actions, reactions and experiments around new products, services and business models. There are no "seeds" in the industry or market; any seeds lie within the entrepreneur, so these opportunities do not exist outside the entrepreneur's mind.

Finding and framing the problem

- **Affirmative judgment**: look for the strengths or positive aspects of a problem first.
- **Predefined criteria**: set standards for selecting the best problem definition.
- **No quick conclusions**: especially when based only on personal experience.

Four components of an effective problem statement

1 A "how" question The statement opens with "How can…"	**2 Who is responsible** The party that will deal with the problem ("we").	**3 An action verb** The positive course of action anticipated ("speed up").	**4 The target** The desired outcome ("our product development process").

Two more problem techniques

- **Attribute identification**: break a problem into its elements and generate new approaches or modifications for each.
- **Force fitting**: take a random object, think about its characteristics, and force them onto the problem statement; good ideas often connect things that normally do not go together.

Developing solutions

The same techniques that generate and focus problems also generate and focus solutions. Criteria matter even more here because of constraints on cost, skills and time.

Explicit criteria	Implicit criteria
Formal and stated: time limits, budget constraints and the like.	Unstated but known to matter: intuition, team culture, preferences, prejudices, and perspectives based on previous experience.

> **Exam tip:** To show problem framing, write a weak statement, ask "why" until a root cause appears, and finish with a statement that has all four components. Label each component; examiners look for them by name.

Link to next topic → A well-framed problem with a chosen solution still has to reach customers who will pay. The next chapter covers innovation and commercialization, the process of extracting that value.

CHECK YOURSELF

Answer from memory, then check below.

1. **Intuition, team culture and preferences used to judge solutions are examples of…**
   - A. explicit criteria
   - B. affirmative judgment
   - C. information asymmetries
   - D. implicit criteria

2. **Creation theory holds that opportunities…**
   - A. arise from shifts in regulation and technology
   - B. are created by the entrepreneur's own actions and experiments
   - C. are found by reading industry reports
   - D. exist only in mature industries

3. RECALL **Explicit versus implicit criteria for solutions**

Answers 1. D **2.** B **3.** Explicit: formal, such as time limits and budgets. Implicit: unstated, such as intuition, team culture, preferences, prejudices and experience-based perspectives.

CHAPTER 13 · WEEK 3 · SESSIONS 5–6 · CILO 1

Innovation and commercialization: turning solutions into value

PROBLEM
A good idea earns nothing until someone will pay for it.

→

BIG IDEA
Innovation extracts value that someone will pay for, and commercialization moves the innovation from the laboratory to the market by executing a business strategy.

→

HOW (TOOLS)
Schumpeter's five categories of innovation, the research, outcomes and execution stages of commercialization, incremental versus disruptive innovation, and eight sources of innovation.

→

RESULT
An innovation with a research-backed strategy, the right team and the right market timing.

IN PLAIN WORDS

The process of innovation extracts value from an idea, value that someone will pay for. In the 1930s the economist Joseph Schumpeter named five categories of innovation that still hold: a new product or a substantial change to an existing one, a new process, a new market, new sources of supply, and changes in industrial organization. The list is a reminder that innovation is not only about new gadgets; a new way to reach a market counts too.

Commercialization is the process that moves an innovation from the laboratory to the market by executing a business strategy. It starts with research on the industry, the target market, intellectual property (IP) protection and regulation, the customer, the business model and the business design. That research produces outcomes, decisions that set the startup capital requirements, the revenue sources and the cost drivers. It also guides two critical execution decisions: who is on the management team and when to enter the market.

Innovations fall into two broad groups. Incremental innovations improve on an existing technology or product base, often to differentiate in the market; the Apple iPad is the course example. Disruptive or radical innovations make previous technology or ways of doing things obsolete; the Internet, the birth control pill and artificial intelligence (AI) are the examples. Ideas for either kind come from many sources, from customers and observation to demographic shifts and new laws.

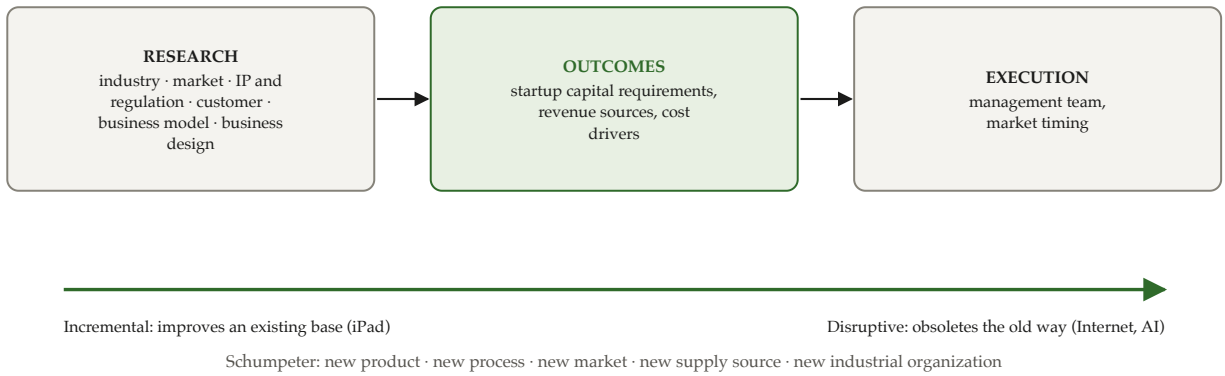


FIGURE 13.1 Research on six areas produces the outcomes (capital needs, revenue sources, cost drivers) that guide two execution decisions: the team and market timing. The lower bar shows where an innovation sits between improving and replacing what exists.

Schumpeter's five categories of innovation

1. **New product** or substantial change in an existing product
2. **New process**
3. **New market**
4. **New sources of supply**
5. **Changes in industrial organization**

Commercialization in three stages

1 Research
On the industry, the market, any IP protection or regulatory requirements, the customer, the business model and the business design.

2 Outcomes
Research informs decisions that drive startup capital requirements, revenue sources and cost drivers.

3 Execution
Research guides two critical decisions: the makeup of the management team and market timing.

Incremental versus disruptive innovation

TYPE	WHAT IT DOES	EXAMPLES
Incremental	Improves an existing technological or product base, often to create differentiation	Apple iPad
Disruptive or radical	Makes previous technology or ways of doing things obsolete	The Internet, the birth control pill, AI

Sources of innovation

SOURCE	EXAMPLE
Customers	Needs and suggestions for improvements or new products and services

Online news sources and magazines	Reveal trends and needs in the market
Observation	Watching the challenges people face in an airport or other busy place
Demographic shifts	The growing Latino population; people moving to the Sun Belt states
New government laws and regulations	New federal tax laws and the need to understand and comply with them
Emerging industries	Mobile and wearable devices, autonomous vehicles, three-dimensional (3D) printing
Trends	Internet of Things (IoT), cybersecurity, blockchain, data analytics
Business operations	New processes that reduce costs and speed up operations

> **Exam tip:** When classifying a case innovation, use both lenses: Schumpeter's category (product, process, market, supply or organization) and incremental versus disruptive. FreshMart's paid membership, for example, is a change in how an existing market is served, an incremental innovation in its business model.

Link to next topic → Commercialization starts with research on the industry and the market. Week 4 turns that research into a method: industry analysis, Porter's five forces and customer discovery.

CHECK YOURSELF

Answer from memory, then check below.

1. **Commercialization research guides which two critical execution decisions?**
   - A. The makeup of the management team and market timing
   - B. The company logo and slogan
   - C. The office location and dress code
   - D. The share price and dividend policy

2. **The slides give the Apple iPad as an example of…**
   - A. disruptive innovation
   - B. incremental innovation
   - C. creation theory
   - D. a statutory class

3. RECALL Incremental versus disruptive innovation, with examples

Answers 1. A **2.** B **3.** Incremental improves an existing base to differentiate (Apple iPad). Disruptive or radical makes previous technology obsolete (the Internet, the birth control pill, artificial intelligence).

PART D

WEEK 4 · INDUSTRY AND MARKET ANALYSIS FOR GLOBAL VENTURES

CHAPTER 14 · WEEK 4 · SESSIONS 7–8 · CILO 1

Reading the industry: sources, life cycle and value chain

PROBLEM	BIG IDEA	HOW (TOOLS)	RESULT
No business operates independently of its external environment, and some industries leave little room to make a profit.	Industry analysis tells the entrepreneur whether a worthwhile profit is possible and where in the industry to stand.	Ten key questions, gross margin, secondary and primary sources, the six-stage industry life cycle and the value chain.	A clear view of the industry's shape, growth, margins and stage, and of the venture's position on the value chain.

IN PLAIN WORDS

An **industry** is a grouping of businesses that interact in a common environment as part of a value chain or distribution channel delivering a particular good. A **market** is different: it is defined by customers, the people who pay for the benefits of the product or service. Industry analysis looks at the first; market research (later in the week) looks at the second. Within the market, the most important early task in a feasibility study is identifying the **primary market**, the customers with the most need for the offer, and the first customer.

There are two reasons to study the industry. It is the business's external environment, and no business is independent of it. And the entrepreneur needs to know whether a profit can be made and whether it will be large enough to justify the effort. Gross margin is a quick test: gross profit divided by sales shows how much is left to pay overhead and make a profit, and therefore how much room there is for mistakes.

Research begins with secondary sources (published material) and moves to primary field data, because secondary sources are rarely the most current. Two frameworks then organize the findings. The industry life cycle shows the stage the industry has reached, from emerging to decline, and each stage brings different activity. The value chain shows every company that contributes to developing and distributing the industry's products; once the venture is located on it, it is easier to see who pays whom and to work out costs and prices. A venture's position on the chain usually reflects the entrepreneur's capabilities and appetite for risk.

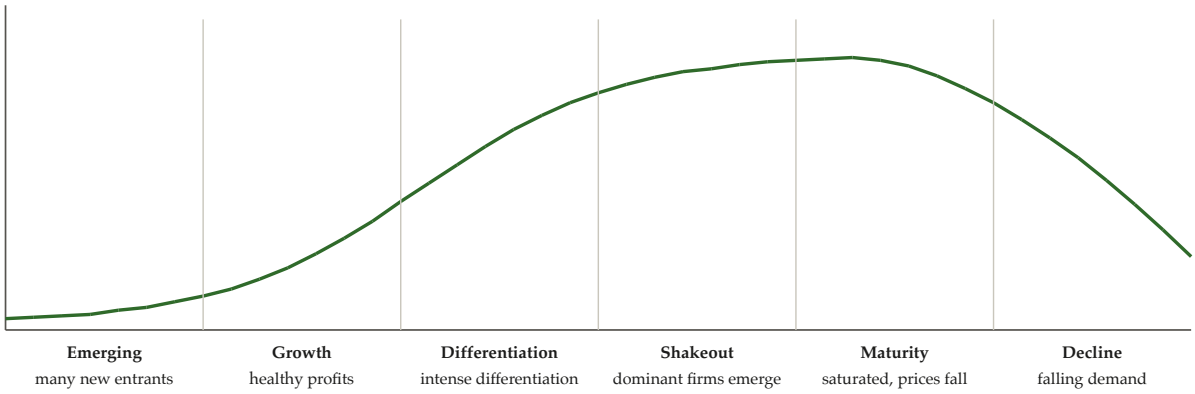


FIGURE 14.1 Six stages from the textbook figure. Many entrants and no dominant player at the start; dominant firms emerge in shakeout; saturated markets and falling prices in maturity; falling demand in decline. Week 1 compresses the same idea into birth, growth, decline and death.

Industry, market and primary market

- **Industry**: businesses interacting in a common environment as part of a value chain or distribution channel delivering a particular good; defined by a product or service.
- **Market**: defined by customers, those who pay for the benefits of the product or service.
- **Primary market**: the customers with the most need for what is offered.

Ten key questions for industry research

1. What does the industry look like?
2. Is the industry growing?
3. Where are the opportunities?
4. How quickly does the industry adopt new technology?
5. How much do industry companies spend on research and development?
6. Who are the opinion leaders in the industry?
7. Are there young, successful firms in the industry?
8. What does the future look like?
9. Are there any threats to the industry?
10. What are the typical margins in the industry?

Gross margin

Gross margin = gross profit ÷ sales
Retailer buys at $10, sells at $19.95:
($19.95 – $10) ÷ $19.95 = $9.95 ÷ $19.95 ≈ 49.9%

The result shows how much money is left to pay overhead and make a profit. A high industry gross margin leaves more room for mistakes.

Sources of industry information

Secondary sources (start here)

- Google
- Wikipedia
- Journals
- Trade magazines
- Industry analysts
- Government publications
- Annual reports of public corporations

For small or new industries also: the business press, trade associations and their journals, organizations listing government and agency resources, and blogs, wikis, websites and social networks. Always use multiple sources and look for patterns.

Primary field data (most current)

- Industry observers and analysts
- Suppliers and distributors
- Customers
- Employees of key firms
- Professionals from service organizations
- Trade shows

The industry life cycle

STAGE	WHAT IS HAPPENING
Emerging	Many new entrants; no dominant players
Growth	Many competitors; healthy profits; some acquisition of small companies
Differentiation	Intense product differentiation
Shakeout	Dominant firms emerge as weaker firms leave
Maturity	Market becoming saturated; prices and profits begin to fall
Decline	Falling demand; products being dropped

The value chain

The **value chain** consists of all the companies that contribute to developing and distributing the industry's products and services. Locating the venture on it shows

who the customer is (who pays whom) and helps set costs and prices.

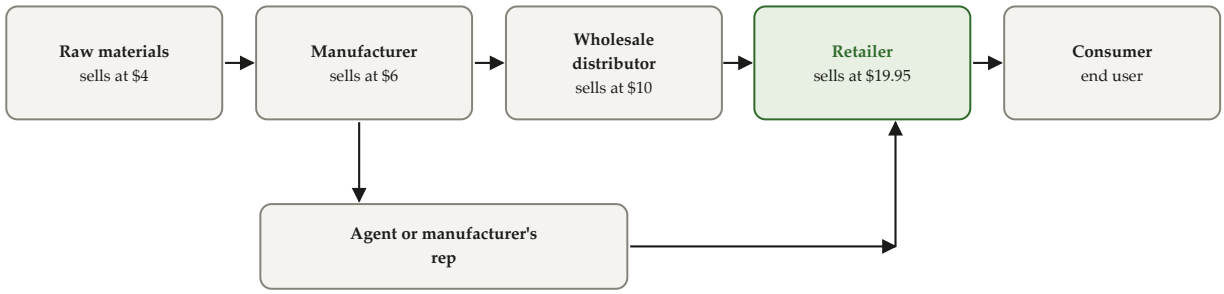


FIGURE 14.2 Locating the business on the value chain shows who pays whom. Each step adds a margin: the item that leaves the supplier at $4 reaches the consumer at $19.95. A manufacturer can also sell through an agent or manufacturer's rep.

Margin added at each step = selling price − buying price
Supplier $4 → manufacturer $6 (+$2) → distributor $10 (+$4)
→ retailer $19.95 (+$9.95): end price ≈ 5 × raw material price

Exam tip: Say which life-cycle stage a case industry is in and what that implies: a mature or shakeout industry favors a niche entry, a growth industry rewards speed. Then place the venture on the value chain and name its direct customer.

Link to next topic → Knowing the industry's stage and chain is the start; Porter's five forces explain why some industries are far more profitable than others.

CHECK YOURSELF

Answer from memory, then check below.

1. **In which life-cycle stage do dominant firms emerge as weaker firms leave?**
   - A. Emerging
   - B. Shakeout
   - C. Growth
   - D. Decline

2. **A retailer buys an item at $10 and sells it at $19.95. What is its gross margin?**
   - A. About 99.5%
   - B. About 50.1%
   - C. About 49.9%
   - D. About 33.3%

3. RECALL Gross margin formula and meaning

Answers 1. B **2.** C **3.** Gross profit ÷ sales; it shows how much is left to pay overhead and make a profit, so how much room there is for mistakes.

CHAPTER 15 · WEEK 4 · SESSIONS 7–8 · CILO 1

Why some industries pay better: Porter's five forces

PROBLEM
Two ventures with equally good products can earn very different returns depending on the industry they enter.

→

BIG IDEA
Five forces in any industry set its long-run profit potential; sustained performance needs a strategy based on how the industry works.

→

HOW (TOOLS)
Barriers to entry, threat of substitutes, buyer power, supplier power and rivalry, plus the attractive versus unattractive industry profile.

→

RESULT
A judgment of industry attractiveness and an entry route, usually a niche, that avoids head-on battles.

IN PLAIN WORDS

Michael Porter's work gives a way to look at an industry's structure and at a company's competitive strength and position within it. His premise is that high performance over time needs a well-thought-out strategy and implementation plan built on knowledge of how the industry works and how attractive its markets are. He identifies five forces that affect a venture's profit potential in terms of long-run return on investment.

Barriers to entry decide how easily new firms can come in; high barriers protect incumbents but can also block the new venture. Substitutes are products from other industries that meet the same need. Buyers with bargaining power make it hard for a newcomer to gain a foothold. Suppliers with power can raise prices, limit quality or quantity, or integrate forward by buying the outlets for their goods. Rivalry among existing firms shows up as price wars and advertising battles.

For a new venture the lesson is practical. Most new ventures cannot win a price war or afford costly advertising. In a highly competitive market they must find a niche that serves an unmet need, entering quietly to gain a foothold. An attractive industry has high entry barriers, weak supplier and buyer power, few substitutes and mild competition; an unattractive one is the opposite.

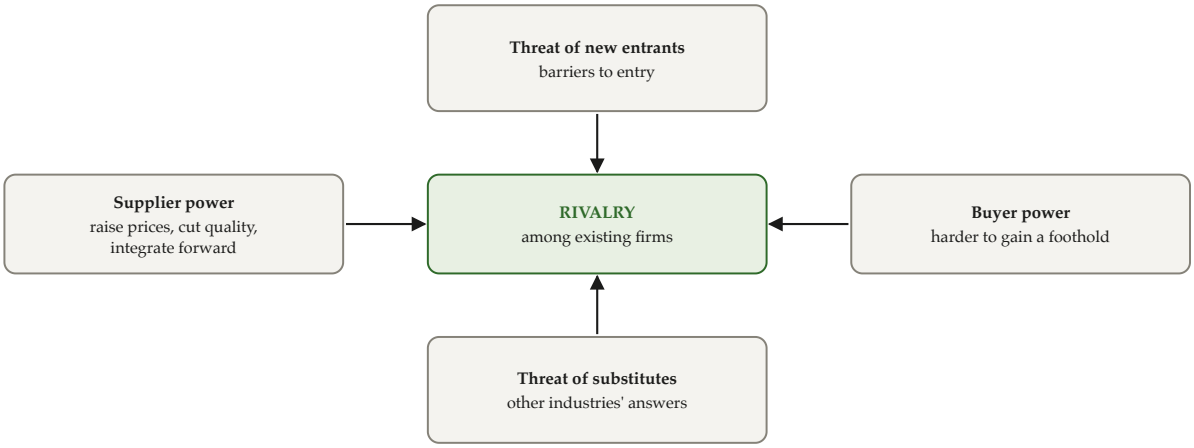


FIGURE 15.1 All four outer forces press on rivalry among existing firms, and together they set the industry's long-run profit potential. An attractive industry has high entry barriers, weak buyers and suppliers, few substitutes and mild rivalry.

The five forces in detail

1. Barriers to entry (threat of new entrants)

Where barriers are high they discourage competitors from entering. Seven barriers:

1. **Economies of scale**
2. **Brand loyalty**
3. **Capital requirements**
4. **Switching costs for the buyer**
5. **Access to distribution channels**
6. **Proprietary factors**
7. **Government regulations**

2. Threat from substitutes

A new venture competes not only with its own industry but with logical substitutes other industries bring to market.

3. Threat from buyers' bargaining power

Where buyers (customers) have bargaining power, it is harder for a new entrant to gain a foothold and grow.

4. Threat from suppliers' bargaining power

Suppliers exert power by threatening to raise prices, limit the quality or quantity of goods, or change the quality of what they supply. They may also **integrate forward**, buying the outlets for their goods and so controlling final prices.

5. Competitive rivalry among existing firms

Firms resort to price wars and advertising skirmishes. New ventures usually cannot compete on price or afford image battles, so they should identify a niche that serves an unmet need and enter quietly.

Attractive versus unattractive industries

FORCE	ATTRACTIVE INDUSTRY	UNATTRACTIVE INDUSTRY
Barriers to entry	High	Low
Supplier and buyer power	Weak	Strong
Substitutes	Few	Many
Competition	Not highly competitive	Intense

> **Exam tip:** Apply every force to the case with a "high, medium or low" rating and one piece of evidence each, then conclude on attractiveness and the entry strategy. FreshMart, for instance, faces strong buyer power (customers switch for discounts) and many substitutes (minimarkets, supermarkets, quick-commerce apps).

Link to next topic → The five forces describe the industry. To find the first customer inside it, the entrepreneur needs market research and customer discovery.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which profile describes an attractive industry under the five forces?**
   - A. Low entry barriers, strong buyers, many substitutes
   - B. High rivalry and many substitutes
   - C. High entry barriers, weak buyer and supplier power, few substitutes, mild rivalry
   - D. Strong suppliers and weak barriers

2. Which is NOT one of the barriers to entry listed in the slides?

A. A large number of substitutes
B. Economies of scale
C. Switching costs for the buyer
D. Government regulations

3. RECALL **Porter's five forces**

Answers 1. C **2.** A **3.** Barriers to entry (threat of new entrants); threat of substitutes; buyers' bargaining power; suppliers' bargaining power; rivalry among existing firms.

CHAPTER 16 · WEEK 4 · SESSIONS 7–8 · CILO 1

Finding the first customer: market research and customer discovery

PROBLEM
First contact with customers usually overturns the entrepreneur's assumptions about who has the problem and what they need.

→

BIG IDEA
Customer discovery forms hypotheses about problems and customers and tests them with real people, cycle after cycle, until the right problem is matched to the right customer.

→

HOW (TOOLS)
Research goals and key questions, secondary customer data, the four-step market data process, the customer discovery hierarchy, ethnography, interviews, focus groups and surveys.

→

RESULT
A profiled first customer, an estimate of their demand, and the next segments to grow into.

IN PLAIN WORDS

Entrepreneurs experiment. They form hypotheses about problems and needs and about the customers who have them, then test those hypotheses with real customers. More often than not, first contact forces a rethink and another round of tests. This iterative process may run several cycles before the entrepreneur is satisfied that the problem is the right one and is matched to the right customer.

For a new company, market research has three goals: identify and profile the first customer, estimate that customer's potential demand, and identify later segments for growth. The **first customer** is the one with a significant problem the venture can solve. It is not necessarily the biggest market; often it is an unserved niche that lets the venture enter without direct competition for a while. The work starts with secondary data (demographics and census figures that size and segment a market) and then moves to primary research, which is where the most valuable insight lies.

In practice, customer discovery means engaging a hierarchy of people with different roles. In a hospital buying a medical device, for example, a purchasing office may be the gatekeeper, senior doctors the influencers, an administrator the decider holding the budget, procurement the purchaser, and nurses the users. Each needs a different conversation. The tools are observation using ethnographic

techniques, interviews, informal focus groups and surveys, each with its own rules to avoid bias.

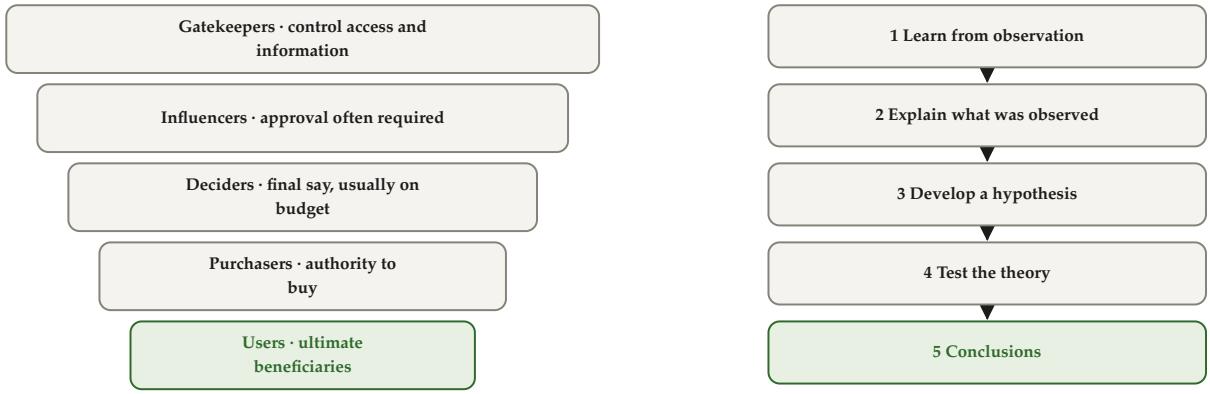


FIGURE 16.1 Left: the five roles an entrepreneur must reach, from gatekeepers who control access to users who benefit. Right: the ethnographic sequence for learning from them (observe, explain, hypothesize, test, conclude).

Goals of market research for a new company

1. **Identify and profile** the first customer.
2. **Estimate** potential demand from that customer.
3. **Identify subsequent segments** to tap later to grow.

Key questions when moving from market to segment

- What are the potential markets? Do they differ in customer needs? How big and how dynamic is each? Is it growing?
- Which customers are most likely to buy at market introduction?
- How much do they buy, how do they buy, and how do they hear about the product?
- How often do they buy, and what is their buying pattern through the year?
- How can the new venture meet their needs?

Secondary customer data

Demographic data (age, income, race, occupation, education) indicate the likelihood that a person will buy and allow the market to be segmented into distinct subgroups. **Census data** estimate how many target customers live within the target market's geographic boundaries; those meeting the demographic requirements can then be segmented out. Data are only as good as the research methods behind them.

A process for gathering market data

1. **Assess information needs**
How will the data be used, what must be collected, which analysis methods, which business designs are under consideration?

2. **Research secondary sources first**
Demographics and psychographics (buying habits), market size and growth, geography, how to reach the market, how competitors reach it, which strategies have worked.

3. **Measure the target market with primary research**
Who is the first customer, would they buy, why, how much, when, where would they like to find it, what do they like about competitors?

4. **Forecast demand**
What substitutes reveal, what customers, end users and intermediaries predict, whether a limited production run or test market is possible.

The customer discovery hierarchy

ROLE	DEFINITION
Gatekeepers	Individuals or companies that hold the key to reaching particular customers; they control the flow of information
Influencers	People who want to affect the purchase decision and whose approval is often required
Deciders	People who make the final purchase decision, usually for a company and based on a budget
Purchasers	Those with the actual authority to buy
Users	The ultimate beneficiaries of the purchase

Four ways to collect primary data

1. Ethnographic observation

Ethnography explores the social culture of groups: it studies customers in their everyday environment, collects data from many sources (the most insightful being observation and informal discussion), and analyzes through descriptions and explanations. The entrepreneur's version has five steps: learn from observation, explain what was observed, develop a hypothesis, test the theory, draw conclusions. The textbook's version phrases the activities as observe (look for confusion, skipped steps, frustration and workarounds), question (avoid leading questions and "Will you buy?"), listen (stay objective; be ready to scrap the plan), and demonstrate (let customers experience the solution through storyboards, videos or prototypes).

2. Structured interviews

More costly and slower than surveys, but they allow clarification and discussion, let the interviewer read nonverbal cues to judge truthfulness, have a high response rate, permit open-ended questions for deeper information, and build the entrepreneur's industry network.

3. Informal focus groups

A representative sample of potential customers is brought together for a presentation and discussion led by a qualified facilitator.

4. Surveys

Online, in person or by phone, drawn from a representative and, to avoid bias, random sample. Questionnaire rules:

- **Short**: plenty of white space so respondents are not intimidated.
- **Neutral**: no leading or biased questions.
- **Easy first**: simple questions before complex ones.
- **Demographics last**: when attention may have waned.

> **Exam tip:** Asked how to validate a first customer, combine the hierarchy (who to talk to) with a method (how). Never propose asking customers "Would you buy this?" as the test; the course warns against it. Propose observation or a demonstration instead.

Link to next topic → Discovery produces a pile of customer data. The next chapter turns it into segments and a customer profile, and adds the missing half of most feasibility studies: the competition.

CHECK YOURSELF

Answer from memory, then check below.

1. **In the customer discovery hierarchy, who makes the final purchase decision, usually based on a budget?**
   - A. Gatekeepers
   - B. Deciders
   - C. Influencers
   - D. Users

2. Which questionnaire practice do the slides recommend?

A. Ask demographic questions last

B. Ask demographic questions first

C. Use leading questions to save time

D. Make the questionnaire long and detailed

3. RECALL **The customer discovery hierarchy**

Answers 1. B **2.** A **3.** Gatekeepers (control access and information); influencers (approval often required); deciders (final decision, usually on budget); purchasers (authority to buy); users (ultimate beneficiaries).

CHAPTER 17 · WEEK 4 · SESSIONS 7–8 · CILO 1

Segments, profiles and competitors: the customer matrix and competitive intelligence

PROBLEM
Entrepreneurs define segments too broadly and underestimate or ignore competitors, the weakest part of most feasibility studies.

→

BIG IDEA
A customer matrix makes segments specific, and systematic competitive intelligence reveals direct, indirect and emerging rivals before they surprise the venture.

→

HOW (TOOLS)
The customer matrix, the customer profile, outcome-based demand questions, three competitor types, hidden-threat checks, good versus bad competition, and sources of competitor information.

→

RESULT
A conclusion on market feasibility backed by a clear segment, a detailed profile and an honest view of the competition.

IN PLAIN WORDS

Customer segmentation matters because it puts the right benefits in front of the right customer. Many entrepreneurs define segments too broadly and then wonder why they capture only a sliver. A **customer matrix** lays out, for each candidate segment, the pain, the benefit, the distribution channel and the competition. The textbook example for a portable ultrasound device compares hospital administrators (who pay and want productivity and lower litigation risk), catheter specialists (who use it and want easier guidance) and rural practitioners in underdeveloped regions (who lack imaging and are reached through government agencies or charities). Each segment needs a different offer and route.

From primary research comes the **customer profile**, a detailed description of the primary customer, consumer or business, that feeds everything from product design to distribution and the strategy to attract them. Demand data come next. Customers can describe their problems and the outcomes they want, but they are poor at describing solutions, so questions should seek outcomes ("How do you want to use a communication device?") rather than features. Finally, raw data must be interpreted and turned into business intelligence and a conclusion on market feasibility.

The competitive analysis is usually the weakest part of a feasibility analysis, because competitors hide their strategies, entrepreneurs underestimate the resources

needed to establish a presence, they miss roadblocks, and they do not know what they do not know. The cure is to name all three competitor types, to check whether firms outside the industry have transferable competencies, and to distinguish good competition (firms making customers unhappy, an opening) from bad competition (firms doing everything right, a wall).

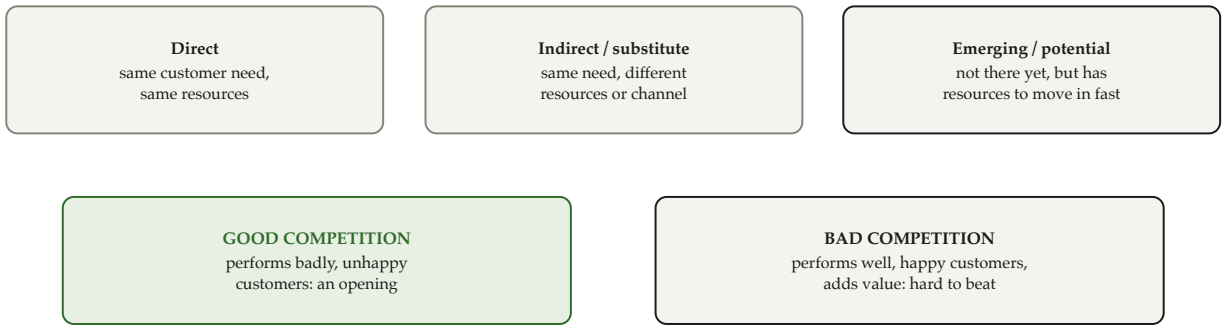


FIGURE 17.1 Direct competitors use the same resources for the same need; indirect ones meet the need differently; emerging ones could move in quickly. Good competition (unhappy customers) is an opening; bad competition (happy customers, strong performance) is a wall.

The customer matrix

CUSTOMER	PAIN	BENEFIT	DISTRIBUTION	COMPETITION
Hospital administration (the customer who pays)	Need to raise productivity and reduce risk in patient procedures	Saves money; lowers potential for litigation	Medical equipment distributor	Siemens (Acuson), General Electric, SonoSite, Zonare, Pocketsonics, Signostics
End user: catheter specialists	Guidance is difficult, causes discomfort, takes time; high reinsertion rate	Easier guidance; higher patient throughput saves time	Medical equipment distributor selling to hospital	Siemens (Acuson), General Electric, SonoSite, Zonare, Pocketsonics, Signostics
Rural practitioners in underdeveloped regions	Scarce imaging; travel for diagnosis is risky	Imaging at village level for basic diagnosis; can save lives	Government agencies or charitable relief agencies	Manufacturers in Brazil, Russia, India and China (BRIC) with home-field advantage

The customer profile

Whether consumer or business, the profile records: **age**, **income level**, **education**, **buying habits** (when, where, how much), **where they typically find** such products

and services, and **how they would like to purchase** them.

Gathering demand data

Customers describe problems and desired outcomes well but solutions poorly. Asking outcome-seeking questions leads to better solution design and prepares the entrepreneur to gather demand data. Data must then be analyzed, synthesized and turned into business intelligence and a conclusion on **market feasibility**.

Why competitive analysis is weak

1. **Incomplete information**: competitors do not reveal their most proprietary strategies and tactics.
2. **Underestimated effort**: the resources and skills needed to establish a market presence.
3. **Missed roadblocks** along the way.
4. **Unknown unknowns**: they do not know what they do not know.

Three types of competitor

- **Direct**: serve the same customer needs with the same types of resources.
- **Indirect or substitute**: serve the same needs with different resources, such as substitute products, services or distribution channels.
- **Emerging or potential**: not serving the same needs yet, but with the resources to move in quickly.

Spotting threats from outside the industry

Determine (1) what the competitor must do to succeed in its own core business, (2) whether it has a competency in the same area as the venture, and (3) which of its core competencies transfer to the venture's business.

Good versus bad competition

Good competition	Bad competition
Companies doing what they do very badly: customers are unhappy. An opening for the new venture.	Companies doing everything right: customers are happy, they add value and they prosper. Hard to displace.

Where to find competitor information

- Visit competitors' websites or the outlets where their products are sold.

- Buy their products to compare features and benefits and see how customers are treated.
- Use Internet search engines to read what customers say.
- For public companies, use Hoover's Online, the Securities and Exchange Commission (SEC) and OneSource as industry benchmarks.

> **Exam tip:** A complete market answer has four parts: segment (with a matrix or bases), first customer profile, competitors by type, and a feasibility conclusion. Your FreshMart assignment scores its three segments out of 25 on five criteria before choosing young working adults, a clear way to show the choice was reasoned.

Link to next topic → With the industry, customer and competition understood, the entrepreneur can design how the venture will create and capture value. Week 5 covers the business model.

CHECK YOURSELF

Answer from memory, then check below.

1. **"Good competition" in the course means competitors that…**
   - A. are profitable and well run
   - B. perform badly and leave customers unhappy
   - C. are small and local
   - D. sell substitute products

2. **A firm not serving your customers today, but with the resources to move in quickly, is…**
   - A. a direct competitor
   - B. an indirect competitor
   - C. an emerging or potential competitor
   - D. good competition

3. RECALL **Good versus bad competition**

Answers 1. B **2.** C **3.** Good: competitors performing badly with unhappy customers, an opening. Bad: competitors doing everything right with happy customers, hard to displace.

PART E

WEEK 5 · BUSINESS MODELS FOR INTERNATIONAL MARKETS

CHAPTER 18 · WEEK 5 · SESSIONS 9–10 · CILO 1

What a business model is: Drucker's questions and the canvas

PROBLEM
A product that meets a real need can still fail if nobody has worked out how the business creates and captures value.

→

BIG IDEA
The business model reflects the strategic decisions and trade-offs an entrepreneur makes to earn a profit; it is the blueprint for running the business.

→

HOW (TOOLS)
Drucker's five questions, the entrepreneur's business model canvas, and its front-end components: value proposition, customer segments, distribution channels, strategic partners, and activities and resources.

→

RESULT
A one-page model whose boxes can each be tested as hypotheses.

IN PLAIN WORDS

Before a product reaches the market, a lot of thought must go into two things: a business concept that meets a real market need, and a business model that can create and capture value. Peter Drucker, often called the greatest management thinker of the last century, pushed entrepreneurs and chief executive officers (CEOs) alike to answer five questions about their business model: What is our mission? Who is our customer? What does our customer value? What are our results? What is our plan?

The term business model has been used in different ways: as the activities a business undertakes, "an analytical device for evaluation and action," or as a "blueprint" for running a business. At its essence it reflects the strategic decisions and trade-offs entrepreneurs make to earn a profit. The course's tool for laying it out is the entrepreneur's business model canvas, based on Alex Osterwalder's canvas and Ash Maurya's Lean Canvas, which places problem, solution, unique value proposition, unfair advantage and customer segments above the cost structure and revenue streams.

The first set of components describes how value is created and delivered. The value proposition is the reason the customer will buy, and the classic mistake is to

describe features (design, physical attributes, functions) instead of benefits (better health, time or money saved, reliability). Customer segments divide the market into meaningful, measurable parts. The distribution channel answers how the benefit reaches the customer, and choosing direct or indirect sales is a real trade-off between control and risk. Strategic partners supply expertise and resources the startup lacks, and the business activities and resources depend on where the venture sits on the value chain.

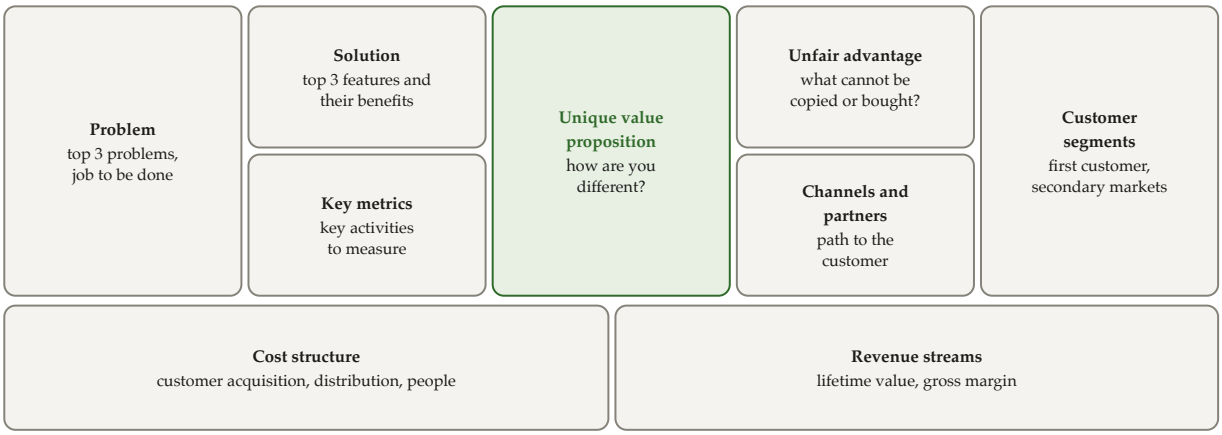


FIGURE 18.1 The canvas in the slides blends Osterwalder's canvas with Ash Maurya's Lean Canvas. Read it as a set of hypotheses: each box is a guess to be tested with customers.

Drucker's five questions

1. **What is our mission?**
2. **Who is our customer?**
3. **What does our customer value?**
4. **What are our results?**
5. **What is our plan?**

Definitions of the business model

- **Activities view**: the activities or tasks a business undertakes, an "analytical device for evaluation and action."
- **Blueprint view**: a "blueprint" for running a business.
- **Essence**: the strategic decisions and trade-offs entrepreneurs make to earn a profit.

Value proposition

The benefit the customer derives from the offer, the reason they will buy. It is the unique mix of **product, price, service, relationship and image** offered to targeted

clients, and it must explain what the company can do for them better or differently from competitors.

Benefits	Features
Intangibles: better health, saving time and money, reliability.	Attributes of the product: design, physical characteristics, functions.

Customer segments

Segmenting divides a market into meaningful and measurable parts based on needs, buyer behaviors and demographics (age, education, income, ethnicity). A segmentation matrix lists the comparison variables down the left side and the segments across the top.

Distribution channels

The **distribution channel** answers "How do you deliver the benefit to the customer?" The best option fulfills the customer's expectations about where and how they want to buy. Most services go direct; products often pass through intermediaries such as distributors and retailers. With an intermediary, the intermediary is the direct customer and the end user is the beneficiary.

	DIRECT TO THE CUSTOMER	INDIRECT THROUGH AN INTERMEDIARY
Advantages	Large upside potential; control over branding, pricing and customer relationship; manages user data and experience	Partner does the build-out and capital investment; partner handles billing and service; cash flow more predictable with a licensing agreement
Disadvantages	Greater risk; unpredictable cash flow; entrepreneur funds build-out and initial investment; responsible for billing and service	Partner gets the upside; partner controls branding, pricing and relationship; partner owns user data and experience

Strategic partners

Startups commonly partner with existing companies to tap expertise and resources they lack. The most common type is the **buyer–supplier relationship**, used to cut costs or share facilities such as manufacturing or warehousing. In industries such as

electronics, competitors may share resources in one area while competing in another.

Business activities and resource requirements

Depending on the value proposition and the venture's value chain position, activities may involve manufacturing, distribution, research and development (R&D), or a network or technology platform. Each has its own functions and so unique resource requirements critical to delivering the value proposition.

> **Exam tip:** Examiners often ask you to distinguish the business model from the value proposition. The value proposition is the promise to the customer; the business model is the whole machine (partners, activities, channels, revenue and costs) that delivers the promise at a profit. Your FreshMart assignment puts it in one line: the promise works, the machine leaks.

Link to next topic → The canvas's bottom row decides whether the venture makes money. The next chapter covers revenue models, cost drivers and how business models change.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which is an advantage of selling through an intermediary rather than direct?**
   - A. The entrepreneur controls branding and pricing
   - B. The partner does the build-out and capital investment
   - C. The entrepreneur owns the user data
   - D. The entrepreneur keeps the full upside
2. **"Saves two hours a week" is an example of a…**
   - A. feature
   - B. channel
   - C. benefit
   - D. cost driver
3. RECALL **The essence of a business model**

Answers 1. B **2.** C **3.** The strategic decisions and trade-offs entrepreneurs make to earn a profit (also described as a blueprint or an analytical device for evaluation and action).

CHAPTER 19 · WEEK 5 · SESSIONS 9–10 · CILO 1

Making money: revenue models, cost drivers and changing models

PROBLEM
A venture with one customer type and one revenue stream is fragile, and one whose costs run ahead of revenue cannot last.

→

BIG IDEA
Healthy models draw revenue from several customer types and products and control the key cost drivers; models must also evolve as conditions change.

→

HOW (TOOLS)
Five revenue models, three kinds of cost, five cost structures, the cost-driven versus value-driven choice, and five ways business models change.

→

RESULT
A capture side of the model that is diversified, cost-aware and ready to adapt.

IN PLAIN WORDS

One of the most important parts of a business model is identifying the revenue streams that flow from the products and services offered. A healthy model supports revenue from multiple types of customers and multiple products and services. The revenue model describes the ways the venture plans to make money, and the course names five common categories: subscription or membership, volume or unit-based, licensing and syndication, transaction fees, and advertising. EuroDisneyland's deal shows the power of the choice: Disney earned licensing-style royalties and fees on revenue while the park itself made losses.

On the cost side, the business that keeps costs low enjoys a significant advantage. Every business has **key cost drivers**, the costs with the biggest impact on total cost. They can be fixed (rent), variable (manufacturing) or nonrecurring (a one-time expense). Depending on the type of business, the cost structure is dominated by marketing or advertising, inventory, office or retail space, a support center, or direct costs.

A strategic choice follows: a cost-driven model keeps costs as low as possible because margins are narrow, while a value-driven model creates premium experiences with personal service and luxury facilities. Your FreshMart assignment argues for moving from cost-driven toward a hybrid: still lean on cost, but paid for saving customers time. Finally, business models are never fixed. They evolve, sometimes radically, through circumstances often beyond the entrepreneur's control.

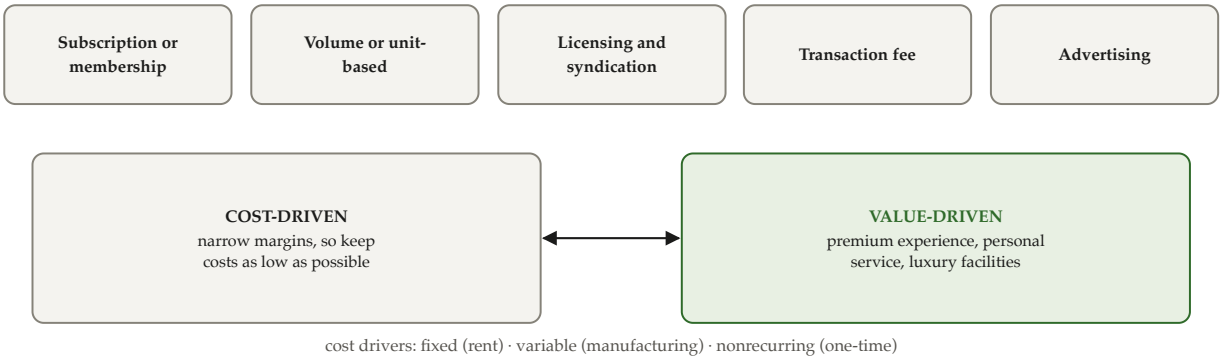


FIGURE 19.1 A healthy model draws revenue from several customer types and products. The cost side then forces a choice: keep costs as low as possible on thin margins, or invest in premium, personalized experiences.

Five revenue models

REVENUE MODEL	HOW THE MONEY COMES IN	EXAMPLE FROM THE COURSE
Subscription or membership	Recurring fee for access	FreshMart Plus at Rp 29,000 a month (your assignment's proposal)
Volume or unit-based	Payment per unit sold	FreshMart's product sales
Licensing and syndication	Fees for the right to use intellectual property (IP) or content	Disney's license to Tokyo Disneyland
Transaction fee	A charge per transaction	FreshMart's per-order delivery fee
Advertising	Advertisers pay to reach users	Social networking sites; the waiting-in-line app

The examples are drawn from the cases in this book. The slides list this topic under the heading "Resource Sources", but its content is the revenue model.

Cost drivers

- **Fixed**: do not change with output, for example rent.
- **Variable**: change with output, for example manufacturing.
- **Nonrecurring**: one-time expenses.

Five cost structures

1. **Marketing or advertising** cost structure
2. **Inventory** cost structure
3. **Office or retail space** cost structure
4. **Support center** cost structure

5. **Direct** cost structure

Cost-driven versus value-driven

Cost-driven model	Value-driven model
Emphasis on keeping costs as low as possible because margins are narrow.	Premium experiences, typically personalized service and luxury facilities and products.

Five ways business models change

1. **Expand incrementally**
   Geographically, into new markets, with new pricing, product lines or channels.
2. **Revitalize**
   Give an established model new life and stave off competition.
3. **Extend**
   Take an existing model into new areas.
4. **Acquire**
   Add new models via acquisition.
5. **Build on core competencies**
   Use existing competencies to create new models.

Break-even units = fixed costs ÷ (price − variable cost per unit)
Fixed costs Rp 3,000,000; price Rp 28,000; variable Rp 9,000
→ 3,000,000 ÷ 19,000 ≈ 158 packs a month

The break-even question appears in the financial part of the feasibility analysis in the next chapter. The figures above are illustrative.

> **Exam tip:** When recommending a model change, name which of the five ways it is (FreshMart Plus revitalizes an existing model; EuroDisney's licensing option would extend Disney's Tokyo model) and show its effect on both revenue streams and cost drivers.

Link to next topic → Every box on the canvas so far is a belief. Feasibility analysis is how the entrepreneur tests those beliefs before committing money.

CHECK YOURSELF

Answer from memory, then check below.

1. A business offering personalized service and luxury facilities follows a…

A. cost-driven model
B. freemium model
C. value-driven model
D. leveraging strategy

2. Rent is an example of which kind of cost?

A. Variable
B. Nonrecurring
C. Direct marketing
D. Fixed

3. RECALL **Cost-driven versus value-driven model**

Answers 1. C **2.** D **3.** Cost-driven keeps costs as low as possible because margins are narrow; value-driven creates premium experiences with personalized service and luxury facilities.

CHAPTER 20 · WEEK 5 · SESSIONS 9–10 · CILO 1

Testing the model: feasibility analysis and the macro environment

PROBLEM
Early business models are filled with guesses, and most guesses are wrong when tested on real customers.

→

BIG IDEA
Feasibility analysis tests, evaluates and validates the proposed business model to assess and reduce risk at startup.

→

HOW (TOOLS)
The four things to understand, the feasibility analysis areas, hypothesis testing in six steps, three critical success questions, macro environmental factors and Taleb's risk barbell.

→

RESULT
A go, rethink or stop decision backed by evidence, and a model built to survive change.

IN PLAIN WORDS

Feasibility analysis is the testing, evaluation and validation of a proposed business model for a new venture, a tool for assessing and reducing risk at startup. To judge an opportunity's future, the entrepreneur must understand four things: their own capabilities, the capabilities and intentions of competitors, the needs and desires of customers, and the bargaining power they hold in the value chain. The more information acquired, the more likely predictions are close to the mark, risk is reduced and uncertainty is managed.

The method is hypothesis testing. At first the canvas boxes are filled in from current knowledge, so they are hypotheses. The textbook's waiting-in-line app shows an unvalidated model: save time and avoid lines for students, sold direct, with advertising and partner subscriptions as revenue. Each hypothesis needs an experiment, a field test with customers, and a look at how the result changes the rest of the model. The cycle repeats until the full model is validated. Alongside the canvas, three critical success questions must be answered: Is there a big enough market to be viable and grow? Do the capital requirements to reach positive cash flow make sense? Can the right founding team be assembled?

Factors outside the entrepreneur's control also bear on the model: industry factors (supply chain, substitutes, barriers, incumbents), market factors (demand, segments, switching costs, competition) and global economic factors (resources, global and capital markets, regulation, infrastructure). No business model survives

first contact with the market unchanged, so the advice is to rethink the model before change forces it. Nassim Taleb's barbell offers a way to do that safely: guard the roughly 90 percent of the business you cannot afford to lose, and take risks with about 10 percent, so the business is antifragile and gains from positive surprises without being destroyed by negative ones.

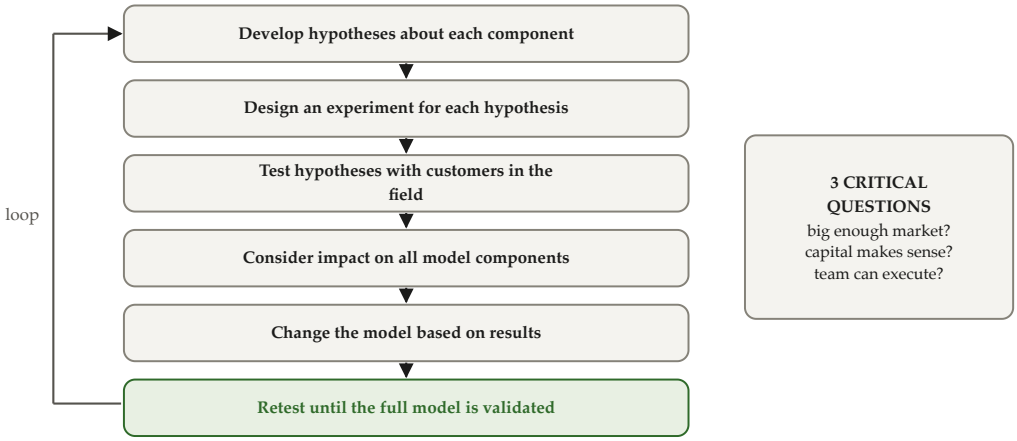


FIGURE 20.1 Every canvas box starts as a hypothesis. Design an experiment, test in the field, trace the effect across the whole model, change it, and retest until the full model holds. Most hypotheses are proven wrong on first contact.

Four things the entrepreneur must understand

1. **Your capabilities**
2. **The capabilities and intentions of the competition**
3. **The needs and desires of customers**
4. **Your bargaining power in the value chain**

Areas of feasibility analysis

AREA	SAMPLE QUESTIONS
Industry and market/customer	Demographics, trends, life-cycle stage; barriers to entry (and any you can set up); technology and research and development (R&D) spending; typical profit margins; opinion leaders; what distributors and competitors say; target market demographics; first customer profile; how customers were approached; competitors and differentiation
Product/service	Features and benefits; development tasks, timeline and costs; window of opportunity; potential for intellectual property rights; differentiation
Founding team	Experience and expertise; gaps and how to fill them
Financial needs assessment	Startup capital; working capital; fixed costs; time to positive cash flow; break-even point; funding requirements, timeline and milestones

Developing and testing hypotheses

Hypotheses are what the entrepreneur believes to be true about each component. Most are proven wrong when tested on real customers, so for each one the entrepreneur must decide how it will be tested.

1. **Develop hypotheses** about each component of the business model.
2. **Design an experiment** for each hypothesis.
3. **Test** hypotheses with customers in the field.
4. **Consider the impact** of field results on all components.
5. **Change the model** based on results.
6. **Retest** new hypotheses until the full model is validated.

Three critical success factors

1. **Market**: is there a customer and market of sufficient size to make the concept viable and able to grow?
2. **Capital**: do the capital requirements to start and operate to a positive cash flow make sense?
3. **Team**: can an appropriate founding team be assembled to execute the concept?

If conditions are not favorable, the tested areas (industry, market, product, pricing and so on) are reviewed to see whether another approach could make the business viable.

Macro environmental factors

FACTOR GROUP	EXAMPLES
Industry factors and trends	Supply chain, substitutes, barriers to entry, stakeholders, trends, incumbents
Market factors and trends	Demand, trends, segments, switching costs, competition
Global economic factors	Resources, global markets, capital markets, regulation, infrastructure

Taleb's risk barbell



FIGURE 20.2 An antifragile business guards what it cannot afford to lose and gains from uncertainty with small bets. One end protects against large negative surprises; the other is positioned to catch large positive ones.

A business is **antifragile** when it guards what it cannot afford to lose (perhaps 90 percent of the business) and takes risks with 10 percent, benefiting from the positive side of uncertainty without suffering the negative side. Every business must take risk to grow: sometimes by changing the model to stay competitive, sometimes in response to macro threats, sometimes to seize opportunity. Deciding how much risk the business can afford is part of designing the model.

Drawing conclusions from feasibility analysis

Feasibility analysis converts an uncertain opportunity by acquiring information that answers the questions behind the uncertainty. At each point the entrepreneur judges whether to proceed; each step reveals conditions needed for feasibility, and together these give a level of confidence about the risk and the ability to execute.

> **Exam tip:** "How would you test this before expansion?" is a feasibility question. Write the hypothesis ("We believe…"), the experiment, the measure and the pass condition, as in the test card of your FreshMart assignment, and link the result back to the model components it would change.

Link to next topic → Testing can show a model is not viable as designed. The next chapter covers how entrepreneurs innovate with business models to find white space, including two hard cases: customers who will not pay and dominant incumbents.

CHECK YOURSELF

Answer from memory, then check below.

1. **In Taleb's barbell, an antifragile business…**
   - A. guards about 90 percent of the business and takes risks with about 10 percent
   - B. takes large risks with the whole business
   - C. avoids all risk
   - D. splits the business evenly between safe and risky activities
2. **After testing a hypothesis with customers in the field, what is the next step in validating the business model?**
   - A. Launch the full business immediately
   - B. Write the final business plan
   - C. Design a new logo
   - D. Consider the impact of the results on all components of the model
3. RECALL **Taleb's antifragile business**

Answers 1. A **2.** D **3.** One that guards what it cannot afford to lose (about 90 percent) and takes risks with about 10 percent, benefiting from positive uncertainty without suffering the negative side.

CHAPTER 21 · WEEK 5 · SESSIONS 9–10 · CILO 1

Innovating with business models: blue oceans, free users and dominant players

PROBLEM
Some markets are crowded, some customers refuse to pay, and some industries are dominated by giants with strong negotiating power.

→

BIG IDEA
Uncertainty is an opportunity to find new places to compete, and certain model designs suit difficult contexts.

→

HOW (TOOLS)
Kim and Mauborgne's blue ocean strategy and its four actions, two-sided platforms with advertising, freemium or sponsorship, and value chain positioning against dominant players.

→

RESULT
A model that competes where others are not, or that captures value despite free users and powerful incumbents.

IN PLAIN WORDS

Entrepreneurs should treat the uncertain future as a chance to find new places to compete. W. Chan Kim and Renée Mauborgne call this "blue ocean strategy": seeking the white spaces where no one is playing, where opportunity lies at the intersection of value and cost. They suggest four actions: eliminate something the industry has always done, reduce something below the industry standard, raise something above it, and create something the industry has never done.

The range of possible business models is endless, but two contexts are especially challenging. The first is where customers do not want to pay. Social networking sites are two-sided platforms: the platform is the intermediary and users provide the content that gives it value. Because users contribute freely, they do not expect to pay, so the entrepreneur must monetize some other way. Advertising has been the traditional answer, but it is under attack from both advertisers and users. Alternatives are a freemium model (basic use free, a subscription for enhanced features) and sponsorship (an entity funds the network so it can stay free to users).

The second context is facing dominant players. Startups competing for value against large firms with strong negotiating power often struggle to find the right position on the value chain, and each position has long-term consequences. In such industries, startups often focus on acquiring intellectual property (IP) and know-

how they control and can develop until it is attractive to one of the dominant firms, as an acquisition or licensing target.



FIGURE 21.1 Kim and Mauborgne's four actions open white space where value rises and cost falls. Eliminate and reduce cut cost; raise and create add value. The FreshMart and EuroDisney cases both show where these choices bite.

Blue ocean strategy: the four actions

1 **Eliminate** something the industry has traditionally done.	2 **Reduce** something below the industry standard.	3 **Raise** something above the industry standard.	4 **Create** something the industry has never done.

When the customer does not want to pay

APPROACH	HOW IT WORKS	LIMITATION NOTED IN THE SLIDES
Advertising	Advertisers pay to reach the platform's users	Recently under attack from both advertisers and users
Freemium	Basic functionality free; subscription fee for enhanced features and benefits	Needs features users value enough to pay for
Sponsorship	An entity provides financial and other resources so the network can offer its value proposition free	Depends on a sponsor's continued support

A **two-sided platform** lets users upload, edit and share content; the platform is the intermediary and users become the content providers who add to its value.

Facing dominant players

The sample value chain for devices runs: research and development → parts suppliers → engineering and design → manufacture and assembly → distribution. A startup must decide where on this chain to stand. Because dominant firms hold

the negotiating power, startups often build controllable IP and know-how and develop it until a dominant firm wants it.

> **Exam tip:** Apply the four actions to a case as a grid: FreshMart Plus, for example, reduces delivery fees for members to zero, raises speed (30-minute delivery), and creates a member meal-price tier, while non-members keep paying. Showing all four cells, even if one is empty, demonstrates the framework.

Link to next topic → FreshMart brings every Week 5 tool into one case: the business model, value creation and capture, a trade-off, and a model change tested before expansion.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which is one of Kim and Mauborgne's four blue ocean actions?**
   - A. Copy the market leader
   - B. Cut prices below cost
   - C. Create something the industry has never done
   - D. Merge with a competitor
2. **Startups facing dominant players often focus on…**
   - A. acquiring intellectual property and know-how attractive to a dominant firm
   - B. starting price wars
   - C. building the largest factory
   - D. avoiding all partnerships
3. RECALL **Three ways to monetize a platform whose users will not pay**

Answers 1. C **2.** A **3.** Advertising (under attack from advertisers and users); freemium (basic free, paid enhanced features); sponsorship (an entity funds free access).

CHAPTER 22 · WEEK 5 · CASE · CILO 1

Case study: FreshMart's retail business model

PROBLEM
A 25-store grocer loses money on small delivery orders, wastes unsold fresh food and loses customers to discounts, with a limited budget to fix it.

→

BIG IDEA
Separate the promise (the value proposition) from the machine (the business model), then choose a model change that fixes the leaks and test it before scaling.

→

HOW (TOOLS)
Week 5: business model components, revenue models, cost drivers, cost-driven versus value-driven models, hypothesis testing; Week 4: segmentation and targeting.

→

RESULT
Answers that name the model, quantify a trade-off and propose a test before expansion.

IN PLAIN WORDS

FreshMart is a fictional chain of 25 stores near residential areas and university campuses. It sells fresh food, household products and ready-to-eat meals to university students and young working adults who want convenient shopping at affordable prices. It buys from suppliers and resells; main revenue is product sales, so profit depends on selling prices and purchasing costs. Its own-brand snacks and cleaning supplies offer lower prices and higher margins. Customers shop in store or order through an app for pickup, or for delivery at an extra fee, and free membership gives points and personalized offers. The challenges are high delivery costs on small orders, unsold fresh food and customers switching for discounts. Students want smaller, affordable packs; working adults want quick access to ready-to-eat meals. Management is weighing paid membership with delivery benefits and a minimum order, weekly meal bundles ordered in advance, or discounted food nearing expiry.

The case asks three questions. Question 1 (30 points): identify the main business model, explain how purchasing, sales channels and revenue sources support it, and distinguish the business model from the customer value proposition. Question 2 (40 points): choose one target market, explain two customer benefits and two ways FreshMart earns revenue or improves profit, and identify one trade-off between customer value and company profit. Question 3 (30 points): select an option or suggest another, explain changes to the value proposition, activities or partnerships,

and revenue or costs, and discuss one major risk and how to test the idea before expansion.

Week 5 supplies the tools. The business model is the set of strategic decisions and trade-offs that earn a profit; the value proposition is the reason the customer buys, which is only one part of it. Revenue models (here unit-based sales, transaction fees and possibly a subscription), cost drivers (here delivery and waste) and hypothesis testing decide which change to make and how to check it. Your own answer to this case is set out separately below. It was checked against the case, Week 5 and its cited sources, and it is correct.

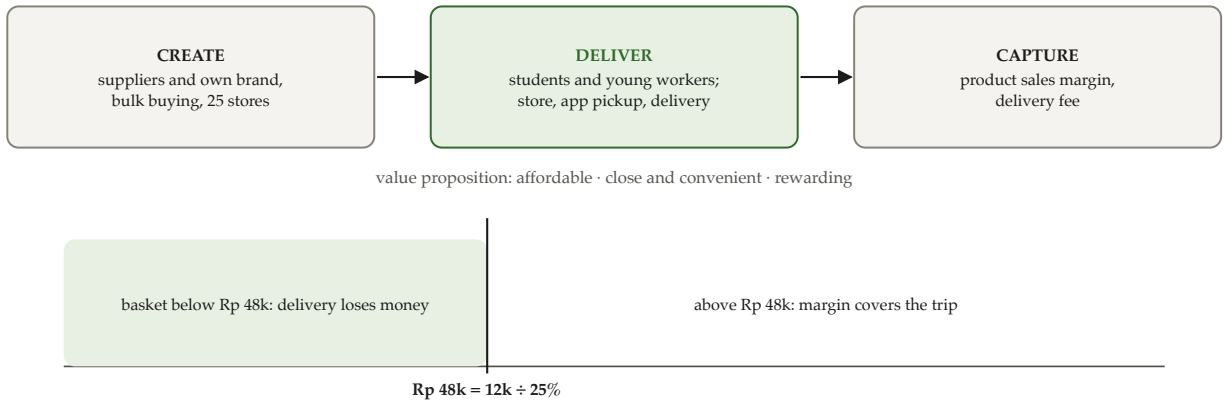


FIGURE 22.1 One way to read the business model, used in your assignment: create (purchasing), deliver (channels) and capture (revenue), with the value proposition at the center. The delivery trade-off rests on one number: Rp 12k per trip divided by a 25% margin gives a Rp 48k break-even basket.

What each question needs

1 Question 1 (30 points)
Name the model (a reseller earning a margin on unit sales), show how purchasing, channels and revenue support it, and state that the value proposition is the promise while the business model is the whole system that delivers it at a profit.

2 Question 2 (40 points)
Pick one segment with a reason from the case, give two benefits and two profit levers, and quantify one trade-off between customer value and profit.

3 Question 3 (30 points)
Choose an option, show what changes in the value proposition, activities or partners, and revenue or costs, name the biggest risk, and design a small test before expansion.

Your assignment answer (student work, kept separate)

> **Not a model answer:** Everything from here to the exam tip summarizes your own submitted "FreshMart Case Analysis", not course material. It was checked and is correct on all three questions. Two gaps to close: say what a member pays on an order between Rp 50,000 and Rp 75,000, and say how the plan reduces unsold fresh food. The full check is in your assignment review.

Your Question 1: business model versus value proposition

PART OF THE MODEL	WHAT IT IS AT FRESHMART	HOW IT SUPPORTS THE MODEL
Purchasing (create)	Suppliers and own-brand makers; bulk buying and assortment; 25 well-placed stores and member data	Low purchase cost and higher-margin own brand keep prices affordable without killing margin
Sales channels (deliver)	Students and young working adults; walk-in, app pickup, app delivery; self-service with free points	One stock pool reaches the customer wherever they want to buy
Revenue sources (capture)	Product sales (unit-based), own-brand margin, small per-order delivery fee	Margin times volume pays for the stores; weak spot: proximity and own brand are easy to copy

Profit = (price − cost) × volume − store, delivery and waste costs

Customer value proposition (the promise)

- **Affordable**
- **Close and convenient**
- **Rewarding**

Business model (the machine)

- Bulk purchasing and higher-margin own brand
- 25 stores near demand, sold through three channels
- Free membership data that targets offers

Your Question 2: segment, target, position, then give and keep

	BUDGET STUDENTS	YOUNG WORKING ADULTS	YOUNG HOUSEHOLDS
Who	Undergraduates near campus, 18–23	Single professionals, 23–30	Couples and young parents, 27–35

Income	Allowance or part-time, irregular	Monthly salary, stable	Dual income, stable
Core need	Cheap snacks, small packs	Quick meals, restock without a trip	Weekly fresh produce and household stock
Basket	Small, frequent	Medium, weekday routine	Large, weekly
Price focus	Very high; switches for deals	Medium; pays to save time	Value for money
Score out of 25 (analyst's assessment)	9	21	19

Young working adults are the target: steadier income makes a fee or minimum order no barrier, they buy time rather than discounts, and the case names their need (ready-to-eat meals, FreshMart's most value-added line). Students stay welcome in store but are not the design center. The positioning statement: "For busy young working adults near our stores, FreshMart is the neighborhood grocer that gets dinner and daily essentials to you in 30 minutes at everyday prices, because every store doubles as a delivery hub with its own ready meals and own brand."

- **Benefit 1, time back**: dinner and essentials picked up after work or delivered in 30 minutes. **Capture**: ready meals carry a convenience premium and pull drinks and snacks into the basket.
- **Benefit 2, reliable value**: own-brand basics at lower prices and offers matched to weekday routines. **Capture**: personalized offers shift routine spend to higher-margin own brand.

The trade-off: cheap delivery versus profit

```
Break-even basket = delivery cost per trip ÷ gross margin
Rp 12,000 ÷ 25% = Rp 48,000
Below Rp 48,000, every delivered order loses money.
```

Your answer cites real-world evidence: quick-commerce "dark stores" in Paris were estimated to need about 1,500 orders a day to break even (a Bain estimate; managers interviewed put it at 600 to 700) but managed 150 to 250 (Schorung).

Your Question 3: FreshMart Plus

Your answer rates paid membership with a minimum order strong on fixing small-order delivery cost, reducing discount switching, fitting young working adults and working on a limited budget. Weekly bundles need a week of planning; near-expiry discounts train customers to wait for deals. It borrows the logic of the Indonesian quick-commerce firm Astro (15-minute delivery from dark stores, about 10% of sales from own brands, Rp 25,000 for five free-delivery vouchers with a Rp 75,000 minimum order) without its spending: existing stores as hubs, courier partners instead of a fleet, a 30-minute promise.

- **Price**: Rp 29,000 a month, cancel anytime (a hypothesis for the pilot, set just above Astro's Rp 25,000 pack).
- **Free 30-minute delivery** on orders from Rp 75,000 within about 3 km of a store.
- **Member meal prices** on weekday ready-to-eat deals ordered by 4 pm.
- **Double points on own brand**, moving routine spend to higher-margin lines.
- **Non-members** still welcome: they pay the delivery fee, minimum order Rp 50,000.

COMPONENT	TODAY	WITH FRESHMART PLUS
Value proposition	Convenient and affordable	Groceries and dinner in 30 minutes, free delivery for members
Key activities	Store selling, ad hoc delivery	In-store picking zone, order batching, meal demand forecasting
Key partners	Suppliers, couriers per order	Courier partners on volume terms, e-wallets for auto-renewal, nearby offices
Revenue	Product sales, delivery fee	Adds a recurring fee and bigger baskets
Costs	High cost per small delivery	Lower cost per order; adds app and picking cost

The major risk: cannibalized store trips

Walk-in, Rp 100,000 basket: Rp 25,000 profit − Rp 0 delivery = Rp 25,000
Same basket delivered free: Rp 25,000 − Rp 12,000 = Rp 13,000
Sales unchanged, profit roughly halved.

Limits: the minimum order keeps each delivery profitable; bonus points for in-store pickup; batched delivery slots at peak hours; judging success by extra spend per member, not sign-ups.

Testing before expansion

1 Weeks 1–2 · Fake-door test
A FreshMart Plus page with a waitlist button; count taps and sign-ups before building anything.

2 Weeks 3–10 · Pilot
Real price and perks in 2 stores near offices, with 2 similar stores as a control group.

3 Week 11 · Decide
Scale, adjust price or minimum order, or stop. If it fails, 92% of the network (23 of 25 stores) never feels it.

Test card: *we believe* working adults will pay Rp 29,000 a month and spend more in total; *we measure* conversion, extra monthly spend per member against their own past spend, and profit after delivery; *we are right if* profit per member is positive and most renew in month two.

> **Exam tip:** Mirror the point weights: Question 2 (40 points) deserves the most space. Every claim should carry a number from the case or a calculation (break-even basket, cannibalization arithmetic). Close Question 3 with a test card; it shows feasibility thinking from this week.

Link to next topic → FreshMart Plus has to be designed and piloted before it scales. Week 6 moves from the business model to the product itself: design, development, prototypes and validation.

CHECK YOURSELF

Answer from memory, then check below.

1. **Your FreshMart assignment proposes a paid membership with free delivery. What is the biggest risk of that kind of offer?**
   - A. Students cancel their free membership
   - B. Members move store trips into free delivery, halving profit on those baskets
   - C. Suppliers refuse own-brand orders
   - D. Delivery partners raise their fees to zero

2. **In the FreshMart example, with an assumed 25% gross margin and Rp 12,000 per delivery trip, what is the break-even basket for delivery?**
   A. Rp 12,000
   B. Rp 25,000
   C. Rp 75,000
   D. Rp 48,000

3. RECALL **FreshMart's value proposition versus business model**

Answers 1. B **2.** D **3.** Value proposition (the promise): affordable, close and convenient, rewarding. Business model (the machine): purchasing creates, channels deliver, revenue captures value.

PART F

WEEK 6 · PROTOTYPING AND VALIDATION ACROSS CULTURES

CHAPTER 23 · WEEK 6 · SESSIONS 11–12 · CILO 2

Designing new products and why they fail

PROBLEM
Between 70 and 90 percent of new consumer products fail, and startups develop products with limited budgets, people and time.

→

BIG IDEA
Design decides features, reliability, price, appeal and up to 80 percent of final cost; most failures trace back to weak market and industry analysis and to resource shortfalls.

→

HOW (TOOLS)
The definition of product design and its seven elements, the product life cycle, the innovation pipeline, the main reasons for failure and the five consequences of resource shortfalls.

→

RESULT
A product strategy that strengthens its weakest link before launch.

IN PLAIN WORDS

Every business, large or small, product or service, is involved in design and development at every stage of its life. The goal of product development is to bring new products to market at the right time and cost, so customers pay a price that reflects the value they perceive. That is hard for startups, which are limited by budgets, people and time.

Product design transforms a set of requirements into an integrated whole: form, texture, color, fit, user interfaces, production and assembly processes, and the methods for joining the parts. Design determines features and performance, reliability, price and appeal, and above all cost, as much as 80 percent of the final cost. Technology has shortened product life cycles, so entrepreneurs must manage an ongoing innovation pipeline rather than a single product, and must find the weakest link in their new product strategy.

Failure rates for new consumer products sit between 70 and 90 percent, varying by industry and product. The main reason is a lack of good market and industry analysis. Innovators may create value for customers but fail to capture enough of it, so imitators and makers of complementary products take the returns. Other reasons are the industry's architecture (a firm offering only part of the solution, like an independent film studio acting as a system integrator, may see the film make money while the studio does not), technical problems from a poorly defined problem, and insufficient resources for research and development (R&D). Shortfalls in new product development (NPD) resources produce five common problems.



FIGURE 23.1 Too many projects and no mechanism to kill weak ones starve each project of resources. Execution suffers, products are simplified and market research is skipped, so products reach market late, fail more often and return less.

Product design and its elements

Product design: the activity that transforms a set of requirements into a format that brings all the elements into an integrated whole or system. The system consists of:

1. **Form**
2. **Texture**
3. **Color**
4. **Fit**
5. **User interfaces**
6. **Production and assembly processes** to make the parts
7. **Methods for joining** the parts together

Why design matters

- Determines **features and performance, reliability, price and customer appeal**.
- Determines **cost**: as much as 80 percent of the final cost.
- **Product life cycle**: like an industry life cycle, with new product development, market introduction, growth, maturity and decline; technology has shortened it.
- **Innovation pipeline**: staying competitive means a continuing flow of products, not one product.

Reasons for new product failure

REASON	EXPLANATION
Poor market and industry analysis	The principal reason; value is created but not captured, so imitators, complementary providers and others in the value chain take the returns

Industry architecture	A vertical architecture (controlling the complete solution and its complements) versus offering only part of the solution; independent film studios are system integrators that do not own content or proprietary technology
Technical problems	Too little time defining the problem, so the product definition is wrong or offers features customers do not value
Insufficient resources	The dilemma of building a high-quality engineered prototype quickly and cheaply with limited R&D resources

Five problems caused by too few NPD resources

1. **Poor execution**
2. **Longer time to market**
3. **Missed first-to-market opportunities**
4. **Simplified projects** so more can be done with less
5. **Declining team morale**

> **Exam tip:** When a case asks why a product might fail abroad, start with the principal reason (weak market and industry analysis) and then the create-versus-capture distinction. EuroDisneyland created value for visitors but captured too little per visitor, while Disney itself captured fees on revenue.

Link to next topic → Failure is avoided by following a disciplined development cycle. The next chapter maps the eight tasks from idea to market.

CHECK YOURSELF

Answer from memory, then check below.

1. **According to the slides, design determines as much as what share of a product's final cost?**
   - A. 80 percent
   - B. 20 percent
   - C. 50 percent
   - D. 95 percent

2. **Which is one of the five problems caused by a lack of new product development resources?**
   - A. Higher team morale
   - B. Shorter time to market
   - C. Missed first-to-market opportunities
   - D. More complex projects

3. RECALL **The seven elements of the product design system**

Answers 1. A **2.** C **3.** Form; texture; color; fit; user interfaces; production and assembly processes; methods for joining the parts.

CHAPTER 24 · WEEK 6 · SESSIONS 11–12 · CILO 2

From idea to market: the product development cycle

PROBLEM
Products built before the customer and solution are validated waste scarce money and time.

→

BIG IDEA
Product development runs eight tasks in three groups (customer discovery, customer validation and design, business creation), often in parallel or out of order.

→

HOW (TOOLS)
The eight tasks, six solution checks, the new product checklist, prototypes, four ways to commercialize, and the product development trade-offs.

→

RESULT
A tested product and business model ready for a launch strategy.

IN PLAIN WORDS

The product development cycle is a series of tasks leading to the product's introduction. All the tasks happen, but often in parallel or out of order. The eight tasks fall into three categories, each answering one question. Customer identification or discovery: who is the primary customer and what do they need? Customer validation and design: how can we design, develop and test the product, market and business model? Business creation: what should the launch strategy be?

Discovery starts with a problem, which may point to an unserved niche, an improvement on an existing product, or a breakthrough. Validation checks whether the solution already exists, whether it really solves the problem, whether it can be produced and protected, what it will cost and how long it will take. Preliminary drawings support cost estimates and, for technology, patent applications. The prototype that follows usually works like the final product even if it does not look like it. For service, retail or wholesale businesses the prototype is a design, storyboard or flowchart of how the service reaches the customer. A prototype can be field-tested with users where the product would normally be used; for software, a beta version goes to a limited group of early adopters.

The final phase is the go-to-market strategy. The entrepreneur chooses how to commercialize: license the technology, start a business to make and distribute it, sell the technology, or form a joint venture with a company that has the needed resources. The operations, marketing and funding plans built along the way come together in a complete, tested business model. Throughout, trade-offs must be made

among features, cost, capital expenditure, development cost and timing: something must be sacrificed to gain something else.

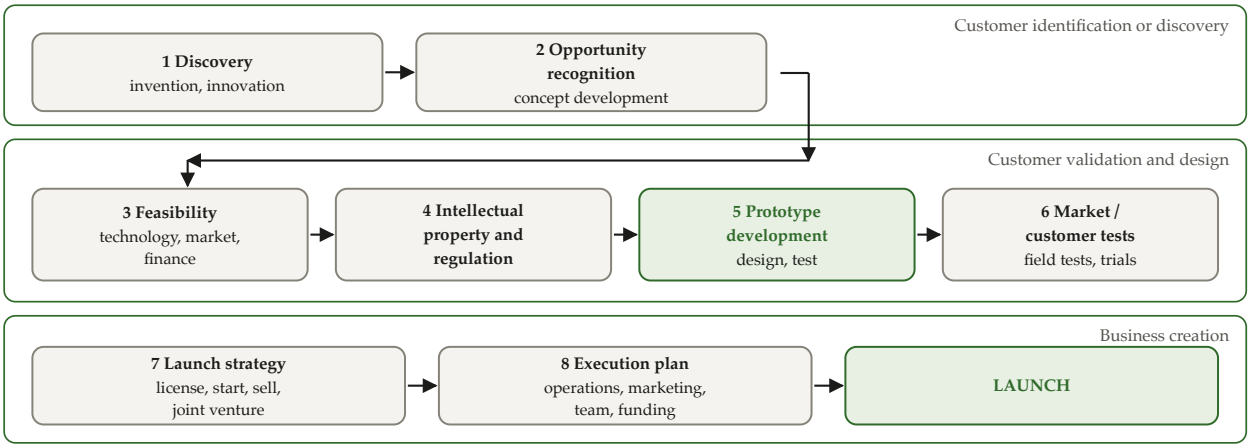


FIGURE 24.1 The eight tasks run in three groups but often overlap or happen out of order. Rework loops (rework concept, refine and redesign) send the team back when tests disagree with assumptions.

Three categories and eight tasks

CATEGORY	QUESTION	TASKS
Customer identification or discovery	Who is the primary customer and what are their needs?	1 Discovery (invention, innovation); 2 Opportunity recognition (invention disclosure, concept development)
Customer validation and design	How can we design, develop and test the product, market and business model?	3 Feasibility (technology, market, initial financial metrics); 4 Intellectual property and regulatory requirements; 5 Prototype development (platform, design, applications, testing); 6 Market and customer tests (field tests, applications, testing, clinical trials)
Business creation	What should the launch strategy be?	7 Launch strategy (license, start a business, sell or joint venture); 8 Execution plan (operations and marketing plans, management, funding)

Validating the solution: six checks

1. **Exists?** Does the solution already exist in some form?
2. **Solves?** Does it actually solve the problem?
3. **Producible?** Can it be produced?
4. **Protectable?** Can it be protected?
5. **Cost?** How much will it cost to produce?
6. **Time?** How long will it take to reach market?

The new product checklist

Each question is answered yes, no or needs more study.

SECTION	QUESTIONS
The market	Existing need and a first customer? First in the market? Will it disrupt the market? Protectable through intellectual property rights? Can entry barriers be erected? Path to multiple customers? Which highly valued benefits, validated by primary research? Must customers change behavior to adopt it?
Strengths, weaknesses, opportunities and threats (SWOT)	Do strengths exceed weaknesses? Various opportunities to commercialize? Significant threats to development? Does it create network effects?
Design, development, manufacturing	Innovative? Quick to a market-ready state? Easily manufactured? Resources to manufacture? More practical to subcontract? Ways to enhance it over time? Spin-off or complementary products?
Financial	Return sufficient for the effort? Development costs reasonable? Can outsourcing minimize manufacturing investment while keeping quality and control? Money available to produce it? High gross margins possible? A viable business model?

What prototypes are for

- **Communicate** the form, fit and function of the solution to customers.
- **Provide an example** to a vendor for a quotation.
- **Facilitate quick changes** in a design.

Physical prototypes can be three-dimensional models, a mockup of a mobile app or a storyboard of a process. Non-manufacturing businesses prototype with a design, storyboard or flowchart.

Four ways to commercialize

1. **License** the technology to another company to develop applications.
2. **Start a business** to make and distribute the product.
3. **Sell** the technology.
4. **Joint venture** with a company that has the resources needed.

Product development trade-offs

The factors traded off are **product features, cost, capital expenditures, development costs and timing**. Most trade-offs allocate limited resources to find the

best balance.

TRADE-OFF	ISSUES TO CONSIDER
Features versus product cost	Put most product cost into features that matter most to customers; cut features that add no value
Features versus development costs	Features needing the most development talent should add the most customer value
Features versus schedule	Effect of seasonality on launch; racing a window to be first to market?
Product cost versus capital expenditures	Buy equipment and make in-house, or outsource or partner?
Product cost versus development costs	Initial margins may be slim due to development costs; will economies of scale improve them?

Exam tip: "Across cultures" in the week's title is a cue: a prototype validated at home must be field-tested with users in the target country, where the product will typically be used. Tokyo Disneyland's phones installed too high for Japanese guests are the classic example of a detail only local testing reveals.

Link to next topic → The cheapest way to field-test is often a minimum viable product, and the cheapest way to build one may be to outsource. Both are covered next.

CHECK YOURSELF

Answer from memory, then check below.

1. **For a service business, the prototype is usually…**
   - A. a three-dimensional physical model
   - B. a patent application
   - C. a finished product sold at full price
   - D. a design, storyboard or flowchart of how the service is delivered

2. **Prototype development belongs to which category of the product development cycle?**
   - A. Customer identification or discovery
   - B. Customer validation and design
   - C. Business creation
   - D. Post-launch review

3. RECALL Four ways to commercialize a technology

Answers 1. D **2.** B **3.** License it; start a business to make and distribute it; sell it; form a joint venture with a company that has the resources.

CHAPTER 25 · WEEK 6 · SESSIONS 11–12 · CILO 2

Building a minimum viable product and outsourcing development

PROBLEM
Building a complete product before learning what customers want is slow and costly, but an overly simple test product can mislead.

→

BIG IDEA
A minimum viable product (MVP) carries just enough functionality to attract early adopters whose feedback shapes the final product; how minimal it can be depends on where the idea sits on the innovation spectrum.

→

HOW (TOOLS)
The MVP definition and goals, the innovation spectrum, rules for outsourcing product development, and its risks.

→

RESULT
Faster, cheaper validation with the right partners, without losing control of the customer or the intellectual property.

IN PLAIN WORDS

A **minimum viable product (MVP)** is the version of a product with just enough functionality and value proposition to attract early adopters, who give feedback and help shape the final product for the mass market. The MVP aims to attract initial customers who can guide the product; the final product aims to attract passionate users who refer it to others. If early adopters dislike the MVP, that does not necessarily mean the product is not viable; different customer groups may have different needs.

The MVP approach does not suit every product. Near the incremental end of the innovation spectrum, customers have real problems, quickly judge whether a solution works, and have alternatives from major competitors, so a simple MVP will not get useful feedback; going out with a complete product may make more sense. Near the disruptive end, there is no direct competition at first and customers do not expect perfection from something novel, so building the MVP in stages from feedback is more valuable. Either way, the number of iterations does not create a viable product; recognizing when customers say it is viable does.

Many companies outsource all or part of product development to keep pace with fast innovation and short windows of opportunity. Outsourcing can reduce risk, lower costs and cut cycle times by 60 to 90 percent, and it gives a young firm a network of expertise it could not afford to hire. But the course adds clear rules and

warnings: do not hand both design and development to one firm unless it specializes in both, never choose on price alone, keep core research and development close to the customer, and be careful about intellectual property in regions where piracy is rampant.



FIGURE 25.1 Where the idea sits on the spectrum decides how minimal the minimum viable product can be. Near the incremental end, customers have alternatives, so go out with a fuller product; near the disruptive end, there is time to build in stages.

The MVP

- **Definition**: the version of a product with just enough functionality and value proposition to attract early adopters who give feedback and help develop the final mass-market product.
- **Goal of the MVP**: attract initial customers who can guide the product's direction.
- **Goal of the final product**: attract passionate users and customers who refer it to others.
- **Mixed feedback**: early adopters disliking the MVP does not prove it is not viable; needs may differ by customer group.
- **Finishing**: once the MVP fits the target market, complete the product so it reflects what testing taught.

The innovation spectrum

	INCREMENTAL END	DISRUPTIVE END
Nature	Known, knowable, built on existing technology	Unknown, unknowable, new to the world
Customers	Real problems; quickly grasp whether the solution works; have alternatives	No direct alternatives; do not expect the MVP to be perfect
Competition	Typically a lot, from major players	None directly at first, so there is time

MVP approach	Build more than a simple MVP; a complete product may make more sense	Build the MVP in stages based on customer feedback

Outsourcing product development

Outsourcing can reduce risk, lower costs and decrease cycle times by 60 to 90 percent, and it provides a network of expertise. Offshore outsourcing generally aims to cut costs or, for medical products, speed up clinical trials.

Areas suitable for outsourcing

- Component design
- Materials specifications
- Machinery to process
- Ergonomic design
- Packaging design
- Assembly drawings and specifications
- Parts and material sourcing (suppliers)
- Operator's and owner's manuals

Rules of thumb for using development service firms

1. **Split design and development** between firms unless one firm specializes in both.
2. **Spend enough time on design** before building or coding.
3. **Break development into meaningful parts** so early tests are cheap.

Is outsourcing right for the business?

- **Never choose on price alone**: the lowest prices often carry the highest risk.
- **Keep core research and development close to the customer**: development is fueled by customer needs and insights.
- **Distance is costly**: managing teams at a distance, or scattered around the globe, is harder and more expensive than onsite.
- **Protect intellectual property**: patents, trade secrets and copyrights are hard to protect where piracy is rampant.

> **Exam tip:** Decide the MVP question by placing the case product on the spectrum first. A frozen snack or a grocery membership is incremental (rivals exist, customers compare), so the "MVP" should be close to complete, as in FreshMart's two-store pilot with real prices and perks.

Link to next topic → Outsourcing's last warning, protecting intellectual property, leads into Week 7: what can be protected, how, and how far protection reaches abroad.

CHECK YOURSELF

Answer from memory, then check below.

1. **For a product near the incremental end of the innovation spectrum, the slides suggest…**
   - A. building a very minimal MVP in stages
   - B. skipping customer feedback entirely
   - C. building more than a simple MVP, perhaps a complete product, because customers have alternatives
   - D. waiting for competitors to launch first
2. **Which outsourcing rule appears in the slides?**
   - A. Never choose an outsourced partner based solely on price
   - B. Always give design and development to the same firm
   - C. Keep research and development far from customers
   - D. Outsource first, design later
3. RECALL **Definition of a minimum viable product (MVP)**

Answers 1. C **2.** A **3.** The version of a product with just enough functionality and value proposition to attract early adopters who give feedback and help develop the final mass-market product.

PART G

WEEK 7 · LEGAL CONSIDERATION AND ASSET PROTECTION ABROAD

CHAPTER 26 · WEEK 7 · SESSIONS 13–14 · CILO 2

What a venture knows and owns: knowledge, intellectual property and trade secrets

PROBLEM
A venture's most valuable assets are often intangible, and intangible assets are easy to lose or copy.

→

BIG IDEA
Knowledge rises from tacit intellectual capital to documented intellectual assets to intellectual property (IP), which carries legal rights; every business has some IP.

→

HOW (TOOLS)
The three categories of knowledge, the nature of IP rights, the IP pyramid, and trade secrets with their protection and remedies.

→

RESULT
An inventory of what the venture knows and which parts deserve which level of protection.

IN PLAIN WORDS

The course distinguishes three categories of knowledge by level of protection and value. **Intellectual capital** is the most common: tacit knowledge acquired in the daily activity of doing business, such as how an experienced cook judges a batch. **Intellectual assets** are explicit knowledge, documented in a physical form that is easy to communicate and share, such as a written recipe or procedures manual. **Intellectual property (IP)** is the highest form of protection and the most valuable, because it carries exclusive legal rights with remedies through the courts for protecting intangible assets.

Every business, however small, has IP rights: a trademark on its name or brand, copyright on its advertising design, perhaps a patent on a device, and trade secrets such as its customer list. IP resembles personal property: it can be bought, sold, donated, licensed or exchanged, and its owner has the right and the duty to defend it against infringement or theft. The striking difference is that IP is intangible; it is a right under the law. To exercise the right, the owner must put the IP into some physical form.

The IP pyramid ranks the four forms by degree of protection: trade secrets at the base, then copyrights, trademarks, and patents at the top. Trade secrets are the least protected because no patent or trademark law covers them; the only protection is confidentiality agreements or contracts. If someone who signed such an agreement misappropriates the secret, the owner can sue and, if successful, obtain

an injunction, damages and attorney's fees, within a statute of limitations that varies by state.

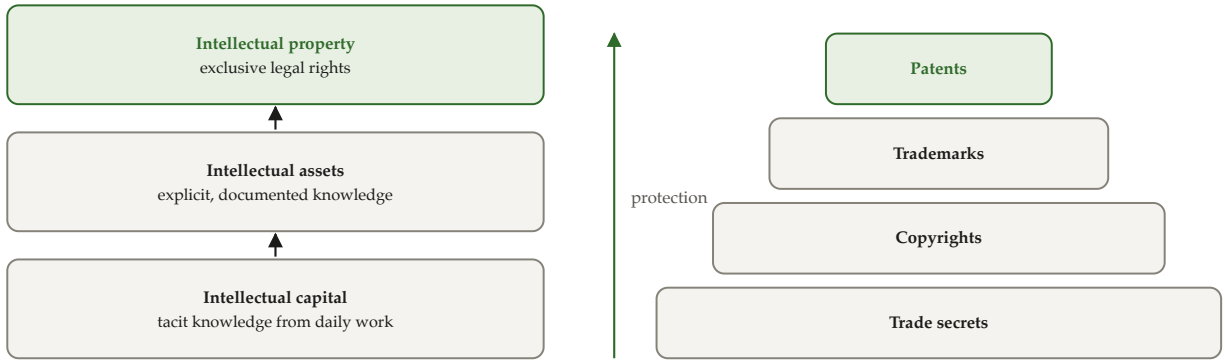


FIGURE 26.1 Left: knowledge rises from tacit intellectual capital to explicit intellectual assets to intellectual property with legal rights. Right: within IP, the degree of protection rises from trade secrets through copyrights and trademarks to patents.

Three categories of knowledge

1 Intellectual capital
The most common form; essentially **tacit knowledge** acquired in the daily activity of doing business.

2 Intellectual assets
Explicit knowledge, documented in physical form; easy to communicate and share.

3 Intellectual property
The highest form of protection and most valuable; exclusive legal rights with court remedies for protecting intangible assets.

The nature of intellectual property rights

- **Who qualifies**: a unique device, novel process or service, or other proprietary item may qualify for IP rights.
- **Examples in every business**: a trademark on the business or brand name; copyrights on advertising design; patents on an invented device; trade secrets such as the customer list.
- **Like personal property**: can be bought, sold, donated, licensed or exchanged; the owner has the right and duty to defend it.
- **Unlike physical property**: intangible, a right under the law, but must be put into some physical form to be exercised.

The IP pyramid (degree of protection, low to high)

Trade secrets → copyrights → trademarks → patents.

Trade secrets

Under the Uniform Trade Secrets Act, a **trade secret** is a formula, device, idea, process, pattern or compilation of information that (1) gives the owner a competitive advantage in the marketplace, (2) is novel in the sense of not being common knowledge, and (3) is kept in a reasonably confidential state.

Examples

- Survey methods used by professional pollsters
- Customer lists
- Source codes for computer chips
- Customer discounts
- Inventions for which no patent will be applied

Protecting trade secrets

- No legal means under patent and trademark law; the only way is **confidentiality agreements or contracts**.
- People who regularly work with entrepreneurs and inventors generally will not sign confidentiality agreements, because doing so puts them in legal jeopardy.
- Remedies after misappropriation by a signatory: **injunctive relief**, **damages** and **attorney's fees**.
- A statute of limitations applies to claims and varies by state.

> **Update:** Since the Defend Trade Secrets Act of 2016, owners in the United States can also bring a federal civil claim for trade secret misappropriation, with a three-year limitation period, in addition to state law. The course's point stands: there is no registration system, so confidentiality agreements remain the main protection.

> **Exam tip:** When advising a small food or service venture, start at the base of the pyramid: the recipe or process is a trade secret protected by confidentiality agreements, the brand is a trademark, the packaging and content are copyright, and only a genuinely new invention justifies a patent.

Link to next topic → Above trade secrets in the pyramid come the two forms almost every venture uses: trademarks for its brand and copyrights for its creative work.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which form of intellectual property sits at the base of the pyramid, with the least protection?**
   - A. Patents
   - B. Trademarks
   - C. Trade secrets
   - D. Copyrights

2. **Documented, explicit knowledge that is easy to share is called…**
   - A. intellectual capital
   - B. intellectual property
   - C. trade secrets
   - D. intellectual assets

3. RECALL **How trade secrets are protected, and the remedies**

Answers 1. C **2.** D **3.** Only by confidentiality agreements or contracts; remedies are injunctive relief, damages and attorney's fees, within a statute of limitations that varies by state.

CHAPTER 27 · WEEK 7 · SESSIONS 13–14 · CILO 2

Protecting the brand and the content: trademarks and copyrights

PROBLEM
A brand or creative work that others can copy loses its value, and protection rules differ by country and language.

→

BIG IDEA
Trademarks protect the signs that identify a business in commerce for as long as they are used; copyrights protect the tangible form of original works for a fixed term.

→

HOW (TOOLS)
Trademark definition, registration steps and limits, infringement and dilution; copyright rights, terms, fair use, the Digital Millennium Copyright Act and the Berne Convention.

→

RESULT
A registered, distinctive brand tested in each target language, and creative work marked and registered for full protection.

IN PLAIN WORDS

A **trademark** is a symbol, logo, word, sound, color, design or other device used to identify a business or product in commerce: the FedEx logo, L'Oréal's slogan "Because you're worth it," Coca-Cola's bottle shape. The term also covers service marks, which identify services. A color can be a trademark if it has secondary meaning, as pink has for one brand of insulation, but a logo's background color alone cannot (the green of Starbucks' logo cannot be trademarked; the whole logo can). A trademark lasts as long as it is used and renewal fees are paid, unless it becomes generic, as "aspirin" and "thermos" did.

In the United States a trademark cannot be registered until it is in use, though an intent-to-use application can be filed with the United States Patent and Trademark Office (USPTO); until registration the owner places the trademark symbol (TM), or the service mark symbol (SM) for services, after the name, and after registration the ® symbol. Registration is not required but gives enhanced rights: national scope, a place in the USPTO database, the ability to record the mark with United States Customs and Border Protection to block counterfeit imports, and a basis for registering abroad. For an international venture the most practical step is to test the mark's translation in the languages of target countries.

A **copyright** protects original works of authors, composers, screenwriters and programmers. It protects not the idea but its tangible form, which cannot be copied

without permission. The course lists six rights of the copyright owner, a term of life plus 70 years, and limits such as fair use. Digital content brings new problems, addressed in the United States by the Digital Millennium Copyright Act (DMCA) of 1998. Across borders, copyright is fairly consistent thanks to treaties, above all the Berne Convention.

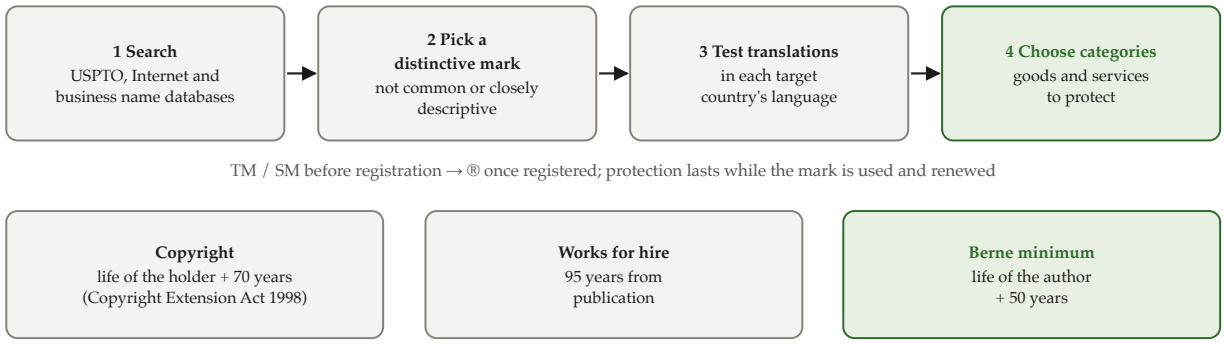


FIGURE 27.1 Top: the four registration steps in order, ending with registered status and the ® symbol (TM or SM before registration). Bottom: copyright terms taught in the course; the Berne Convention sets a floor of life plus 50 years.

Trademarks

- **Definition**: a symbol, logo, word, sound, color, design or other device that identifies a business or product in commerce. Examples: FedEx logo; L'Oréal slogan; Coca-Cola bottle shape.
- **Service mark**: identifies services, activities performed for the benefit of others, for pay or otherwise.
- **Color**: protectable with **secondary meaning** (people associate the color with a product, such as pink insulation); a logo's background color alone is not.
- **Life**: exclusive right while actively used and renewal fees are paid; lost if the mark becomes generic (aspirin, thermos).
- **Use requirement**: cannot be registered in the United States until in use; cannot be stockpiled and sold; file an intent-to-use application with the USPTO and use TM or SM until registered; ® means registered.

Marks that cannot be trademarked

- Anything immoral or deceptive
- Official symbols of the United States or any state or municipality, such as the flag
- A person's name or likeness without permission

Infringement, dilution and counterfeiting

- **Infringement**: a mark likely to cause confusion with an existing mark; identical marks can coexist where goods or services are unrelated. A strong mark is "inherently distinctive" and "identifies the source of goods."
- **Dilution**: the mark's value is substantially reduced through competition or likely confusion with another mark.
- **Counterfeiting**: deliberate copying of a mark, subject to civil and criminal penalties.

Why register, and the four steps

Registration gives national scope for enforcement, a USPTO database entry that warns others, recording with United States Customs and Border Protection against counterfeit imports, and help when registering abroad.

1. **Search** existing marks at the USPTO site and in Internet and business name databases.
2. **Pick a distinctive mark** not common or closely descriptive; descriptive marks are weak and costly to protect.
3. **Test the translation** in the languages of every country where the mark will be protected.
4. **Choose the categories** of products and services to protect.

Copyrights

Copyright protects original works of authors, composers, screenwriters and computer programmers; it protects the tangible form, not the idea.

The six rights (taught as the First Sale Doctrine, Section 106 of the 1976 Copyright Act)

1. **Reproduction**
2. **Preparation of derivative works**
3. **Distribution**
4. **Public performance**
5. **Public display**
6. **Digital transmission performance**

Update: In the Copyright Act itself, Section 106 lists these six exclusive rights, while the first-sale doctrine is a separate provision (Section 109) that limits the distribution right once a lawful copy has been sold. Learn the six rights as the slides list them, and know that "first sale" is technically the limit, not the grant.

Duration and limits

RULE	CONTENT
Copyright Extension Act of 1998	Life of the copyright holder plus 70 years, then public domain
Works for hire and anonymous works	95 years from publication
Doctrine of Fair Use	Reproduction is "fair" for criticism, comment, news reporting, teaching, scholarship and research
Digital Millennium Copyright Act (DMCA) of 1998	Prohibits falsifying, altering or removing copyright management data on digital copies; makes circumventing encryption, and making or selling circumvention tools, illegal; safe harbor protects Internet service providers that unknowingly transmit, store or link to infringing material

Update: United States law measures the basic term from the life of the *author* (plus 70 years); for works made for hire the term is 95 years from publication or 120 years from creation, whichever ends first. The slides' wording ("copyright holder") is a simplification.

Obtaining protection

- The work must be in a **fixed and tangible form**: someone must be able to see or hear it.
- Notice is not legally required, but registering at the Copyright Office of the Library of Congress in Washington, District of Columbia (DC) gives full protection by creating a document trail.
- Notice format: the word "copyright" or ©, the year of first publication, and the owner's full name, for example "© 2018 Kathleen Allen."
- **Berne Convention**: members (more than 100 nations, per the slides) must protect authors from any member country for at least the life of the author plus 50 years.
- On discovering infringement, put the party on notice with a **cease and desist letter**, or take stronger action if the infringement will damage the company.

Update: The Berne Convention now has more than 180 contracting parties, so "more than 100 nations" understates its reach today.

Exam tip: For a brand going abroad, the high-value points are: register rather than rely on use, choose a distinctive (not descriptive) mark, test its translation in each target language, and record it with customs to block counterfeits. EuroDisney's first work-bid adverts in English only show how language choices can backfire locally.

Link to next topic → At the top of the pyramid sits the strongest and most demanding form of protection: the patent.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which step in registering a trademark matters most for an international venture?**
   - A. Choosing a descriptive name
   - B. Using the ® symbol before registration
   - C. Stockpiling marks to sell later
   - D. Testing the mark's translation in the languages of target countries

2. **Under the Berne Convention, member countries must protect authors' works for at least…**
   - A. 20 years from filing
   - B. 14 years from issuance
   - C. the life of the author plus 50 years
   - D. the life of the author plus 10 years

3. RECALL **Definition of a trademark, with three examples**

Answers 1. D **2.** C **3.** A symbol, logo, word, sound, color, design or other device identifying a business or product in commerce: FedEx logo, L'Oréal "Because you're worth it," Coca-Cola bottle shape.

CHAPTER 28 · WEEK 7 · SESSIONS 13–14 · CILO 2

Protecting inventions: patents, from criteria to infringement

PROBLEM
Bringing an invention to market takes time and money, and without protection imitators can copy it as soon as it appears.

→

BIG IDEA
A patent gives a temporary, exclusionary right (usually 20 years from application) to stop others making, using or selling the invention, in exchange for full public disclosure.

→

HOW (TOOLS)
When to patent, economic life, the four criteria, three patent types, provisional and nonprovisional applications, the America Invents Act (AIA), the utility patent process, maintenance fees and infringement.

→

RESULT
A patent decision timed to the invention's economic life, with claims broad enough to resist design-arounds.

IN PLAIN WORDS

A **patent** is the primary means of protecting an original invention. It lets the holder defend the invention against anyone who would make, use or sell it during the patent period, for most patents 20 years from the date of application. The right is exclusionary: the holder can "exclude others from making, using, offering for sale, or selling" the invention in the United States. When the patent ends, the invention enters the public domain.

Not every invention deserves a patent. The course gives four signals: the invention solves a significant problem and changes how things are done; it falls under United States Food and Drug Administration (FDA) regulation; it will earn more than the potential cost of enforcing the patent; and there is a plan to license it. The deciding idea is **economic life**, the period in which the invention can generate revenue. In a fast-changing field, a patent may outlive the invention's economic life and waste money; for inventions needing years of development and regulatory approval, patents are essential.

To qualify, an invention must meet four United States Patent and Trademark Office (USPTO) criteria: it fits a statutory class, has utility, is novel (no prior art) and is not obvious. There are three patent types (utility, plant and design). Inventors often file a cheap provisional application first, which allows "patent pending" for 12 months, and then the nonprovisional application that can actually issue. Since the

AIA, the United States is a first-inventor-to-file country, so the filing date decides disputes. A patent protects only within the country that grants it, which is why international filing under the Patent Cooperation Treaty (PCT) matters for international ventures.

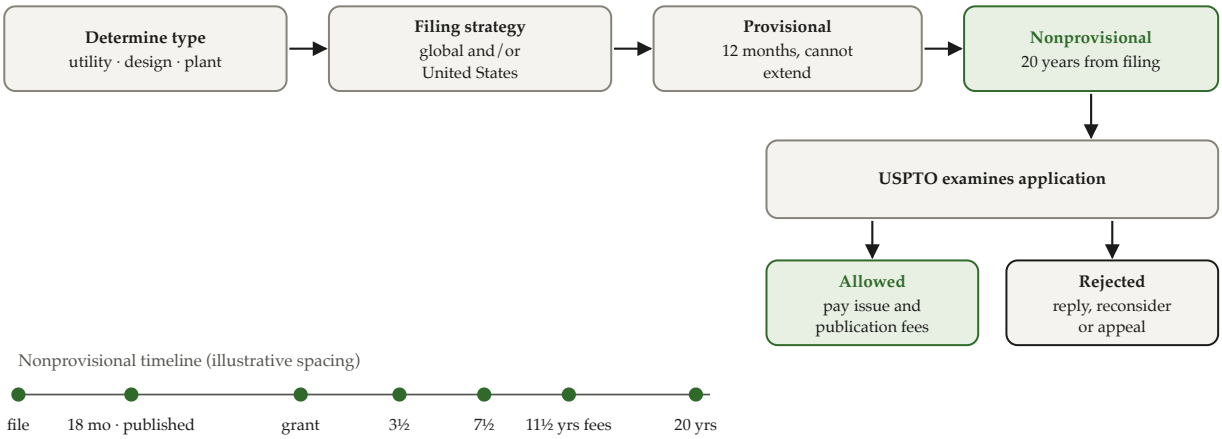


FIGURE 28.1 File a provisional application for a one-year "patent pending" window, then the nonprovisional application that starts the 20-year term. Publication follows at about 18 months; maintenance fees fall due 3½, 7½ and 11½ years after grant.

Signals that a patent may be needed

1. Does the invention solve a significant problem and change the way things are done?
2. Does it fall under FDA regulations?
3. Will revenues exceed the potential cost of patent enforcement?
4. Is there a plan to license it to a third party?

Economic life (the ability to generate revenue) is critical: in rapidly changing fields the patent may outlive it; for long, regulated development, filing is essential.

Four criteria for patentability

1 Statutory class
Fits one of four classes (or is a new use of one): machine (moving parts or circuitry: fax, rocket, photocopier, laser, electronic circuit); process or method (chemical reaction, method for producing products);

2 Utility
It must be useful, and the utility must be real, not speculative, and described in the application.

3 Novelty (no prior art)
Prior art is knowledge publicly available or published before the filing date. Novelty means physical differences, new combinations of components or new uses.

4 Nonobviousness
Not obvious to someone of ordinary skill in the field; it must show "new and unexpected results," not the next logical step.

article of manufacture (furniture, transistor, diskette, toy); composition of matter (gasoline, food additive, drug, genetically altered life form).			

Three types of patent

TYPE	PROTECTS	EXAMPLES	TERM (AS TAUGHT)
Utility (most common)	The functional part of machines or processes	Toys, film processing, protective coatings, tools, genetically modified organisms	20 years from the application date
Plant	A new variety of plant invented or asexually reproduced		20 years from the filing date
Design	New, original ornamental designs for manufactured articles: appearance only, not structure or function; must be nonfunctional and not hidden, offensive or a copy of a well-known or natural object or person	Gilding, an item of apparel, jewelry	14 years from issuance; relatively easy to obtain, very hard to protect

Update: For United States design patent applications filed on or after 13 May 2015, the term is 15 years from the date of grant, not 14. The 14-year figure in the slides applies to older applications.

Provisional or nonprovisional?

Provisional application

- A first filing at lower cost than a formal application
- Allows the term **patent pending**; protects small inventors while they talk to manufacturers
- Lasts **12 months** from filing; cannot be extended
- The 12 months do not count toward the 20-year term, so it effectively extends protection by one year
- If no nonprovisional is filed in time, it is abandoned and the earlier date is lost

Nonprovisional application

- Required for any patent to issue; lasts 20 years from filing
- A complete description: what the invention does, how it differs from prior art, its scope
- Detailed drawings and specifications so a person of ordinary skill could build it
- **Claims**: the novel parts to be patented, with at least one claim showing novelty, utility and nonobviousness; specific enough to show uniqueness, broad enough to stop slight-modification copies
- The invention must be **reduced to practice**: described so someone could build it and prove it works

The America Invents Act

The America Invents Act (AIA) of 2013 made the United States a **first-inventor-to-file** country instead of first-to-invent. The focus moved from the date of conception to the filing date: barring prior art, whichever of two inventors files first wins.

> **Update:** The AIA was signed into law in September 2011; its first-inventor-to-file provisions took effect on 16 March 2013, which is the date the slides refer to.

The patent process

- **Publication**: most applications are published 18 months after filing. Until then the inventor may market and sell the product labeled "patent pending." Once issued, the application and patent become public record.
- **Appeals**: if the USPTO rejects a modified claim, the inventor can appeal to a Board of Patent Appeals within the USPTO, then to the United States Court of

Appeals for the Federal Circuit; this may take years.

- **Maintenance fees**: due at **3½, 7½ and 11½ years** after grant; failure to pay can end the patent.

> **Update:** Since September 2012 the USPTO's appeal board is the Patent Trial and Appeal Board (PTAB), which replaced the Board of Patent Appeals and Interferences.

Patent infringement

- **Infringement**: someone other than the holder or a licensee makes and sells a product containing every element of a claim.
- **Doctrine of equivalents**: protects inventors against infringers who make small, insignificant changes to the claims.
- Infringement actions are costly and difficult; courts tend to favor the inventor and may issue injunctions before trial; willful infringement can bring **triple damages**.

Patent granted in January 2026: fees due at
3½ years → July 2029 · 7½ years → July 2033
11½ years → July 2037
Term ends 20 years after the nonprovisional filing date

> **Exam tip:** In "should this venture patent?" questions, test the four signals, then economic life, then the four criteria. Recommend a provisional filing if the founder must talk to manufacturers soon, and stress that under first-to-file, waiting risks losing novelty.

Link to next topic → Knowing each form of protection is half the battle; the other half is strategy, deciding when to protect and how to extend protection beyond the home country.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which is one of the four USPTO criteria for patentability?**
   - A. The invention must not be obvious to someone with ordinary skill in the field
   - B. The invention must already be on sale
   - C. The invention must be registered as a trademark
   - D. The invention must be at least 20 years old

2. Since the America Invents Act, which date decides between two inventors of the same invention?

A. The date of conception
B. The date of the first sale
C. The filing date of the patent application
D. The date of publication

3. RECALL **Three patent types and their terms (as taught)**

Answers 1. A **2.** C **3.** Utility: 20 years from application. Plant: 20 years from filing. Design: 14 years from issuance (15 years from grant for applications since May 2015).

CHAPTER 29 · WEEK 7 · SESSIONS 13–14 · CILO 2

Intellectual property strategy and protecting assets abroad

PROBLEM
Rights granted in one country stop at its border, and waiting too long to file can destroy novelty or priority.

→

BIG IDEA
An intellectual property (IP) strategy decides what to protect, with which right, and when, and extends protection to target markets through international routes.

→

HOW (TOOLS)
Timing under first-to-file, intent-to-use trademark filings, three patent strategies, and international filing under the Patent Cooperation Treaty (PCT), plus copyright treaties and trademark translation checks.

→

RESULT
A protection plan matched to the business model and to every country the venture plans to enter.

IN PLAIN WORDS

Understanding what to protect and with which type of protection is half the battle; knowing when to protect and enforce IP is critical to an effective long-term strategy. Patents are the most time-sensitive form, especially now that the United States uses first-to-file: the longer an entrepreneur waits, the greater the chance the invention is no longer novel. Trademarks work similarly. The first to file holds the presumptive right to stop confusing marks, and because intent-to-use applications can be filed before a mark is in use, the earliest filing date usually wins a dispute.

Research finds three patent strategies that align with particular business models. A proprietary strategy acquires the patents needed to cover the opportunity and defends the market position. A defensive strategy gives freedom to design around existing patents or builds a portfolio to use as bargaining chips in cross-licensing agreements. A leveraging strategy suits firms that do not seek freedom to operate or for which proprietary protection is not critical.

For an international venture, geography is the final issue. A United States patent has no effect in any foreign country, so someone could make and sell the product abroad without consequence. The PCT allows one international application covering all member countries; filed within 12 months of the first filing, it keeps that first date, and the applicant then has 30 months to choose countries for the national phase, paying fees and following each country's rules. Copyright is more uniform

thanks to the Berne Convention, and trademarks need registration in each market, with the mark's translation tested in each language. Week 6's warning applies too: outsourcing to regions where piracy is rampant makes protection much harder.

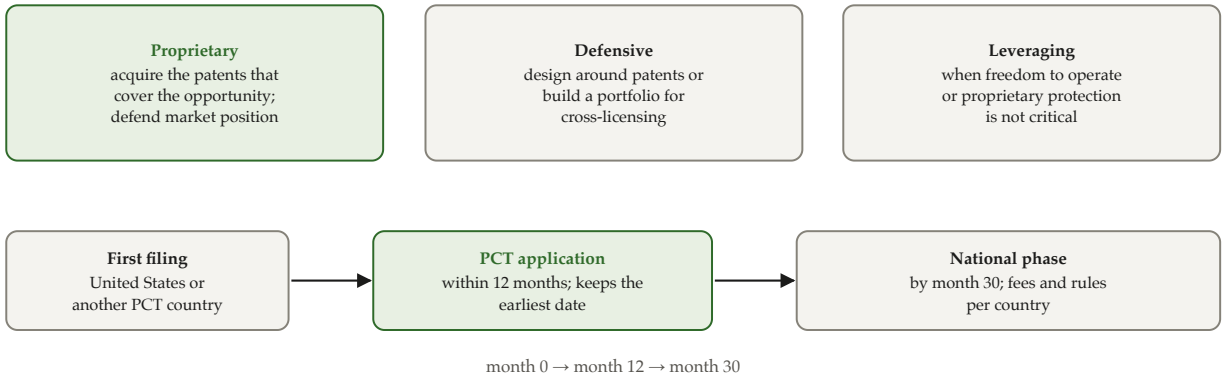


FIGURE 29.1 Choose the patent strategy that fits the business model, then protect abroad: a United States patent stops at the border, so file a PCT application within 12 months of the first filing and pick countries for the national phase by month 30.

Timing

- **Patents**: the most time-sensitive form under first-to-file; delay risks loss of novelty.
- **Trademarks**: the first to file holds the presumptive right to stop confusing marks; intent-to-use applications allow filing before use; the earliest filing date usually wins.

Three patent strategies

STRATEGY	GOAL	FITS WHEN
Proprietary	Defend market position by acquiring the patents needed to cover the opportunity and defend the rights	The invention is the core of the business model
Defensive	Freedom to design around existing patents, or a portfolio used as bargaining chips in cross-licensing	The industry is crowded with others' patents
Leveraging	Use IP without seeking freedom to operate	Proprietary protection is not critical

Filing for foreign patents

1 First filing
In the United States or another PCT country; this sets the earliest date.

2 International application
File under the PCT within 12 months to keep that first date for all member countries (191 countries, per the slides).

3 National phase
Within 30 months, choose the countries to enter; pay each country's fees and follow its rules.

First filing: 1 March 2026
PCT application due by: 1 March 2027 (month 12)
National phase decisions by: 1 September 2028 (month 30)

Update: The PCT has about 158 contracting states, not 191; the larger figure is close to the membership of the World Intellectual Property Organization (WIPO), which administers the treaty. The 12-month and 30-month deadlines taught in the slides are correct.

A checklist for protecting assets abroad

ASSET	HOME PROTECTION	ABROAD
Trade secrets	Confidentiality agreements and contracts	Same agreements, enforceable locally; extra care when outsourcing to regions where piracy is rampant
Trademarks	Register; use the trademark (TM) or service mark (SM) symbol, then ®	Register in each market; test the mark's translation; the home registration helps foreign applications; record with customs to stop counterfeit imports
Copyrights	Fixed, tangible form; notice and registration	Berne Convention: at least life of the author plus 50 years in member countries
Patents	Provisional, then nonprovisional	PCT application within 12 months; national phase by month 30

Exam tip: A strong answer on protecting a venture abroad names a right for each asset, a timing rule for each right, and the international route. Link the patent strategy to the business model (proprietary for an invention-based model, leveraging where speed and brand matter more than the technology).

Link to next topic → With the last framework in place, the synthesis chapter shows how all seven weeks combine in a single exam answer.

CHECK YOURSELF

Answer from memory, then check below.

1. **Under the Patent Cooperation Treaty, how long after the first filing does an applicant have to enter the national phase?**
   - A. 30 months
   - B. 12 months
   - C. 18 months
   - D. 20 years

2. **A firm builds a patent portfolio to use as bargaining chips in cross-licensing. Which strategy is this?**

   A. Proprietary
   B. Defensive
   C. Leveraging
   D. Opportunistic

3. RECALL **Three patent strategies**

Answers 1. A **2.** B **3.** Proprietary (acquire patents to cover the opportunity and defend position); defensive (design around patents or build a portfolio for cross-licensing); leveraging (when freedom to operate or proprietary protection is not critical).

CHAPTER 30 · SYNTHESIS · ALL WEEKS

Putting it together: how the frameworks combine in an exam answer

PROBLEM
Case questions rarely name the framework to use, and answers that list frameworks without connecting them score poorly.

→

BIG IDEA
The course's frameworks form one chain, from opportunity to protected launch, and each case question enters the chain at a different point.

→

HOW (TOOLS)
A seven-step answer chain, a question-to-framework map, and a worked outline for an international expansion question.

→

RESULT
Answers that diagnose with evidence, recommend with reasons and propose a test before scaling.

IN PLAIN WORDS

All three cases in the course end the same way: a decision is needed and the evidence is incomplete. EuroDisneyland must decide how to turn around, LocalBite whether and how to start, FreshMart which model change to make. A good answer moves through the course in order. It names the opportunity or problem (Weeks 1 to 3), tests it against the industry and the market (Week 4), lays out the business model and its numbers (Week 5), judges feasibility and states the riskiest assumption (Week 5), proposes how to validate it with a prototype, minimum viable product (MVP) or pilot (Week 6), and protects what makes the venture hard to copy (Week 7). It ends with a clear recommendation.

Two habits lift an answer from adequate to excellent. The first is quantifying: the spend-to-admission ratio at EuroDisney, the break-even basket at FreshMart, the break-even point you recalculate on current costs. The second is sequencing: EuroDisney's turnaround must fix cash before product before reinvestment; FreshMart must test in two stores before 25; LocalBite must test with 30 to 50 customers before writing a plan. The recurring message of the course is to test before you scale.

Finally, the international angle should be explicit. A model that works at home is a hypothesis abroad: Tokyo welcomed an American copy, France resisted one. Culture, climate, income, holiday patterns, language and law all change the business model, which is why the course places validation "across cultures" and asset protection "abroad" at its end.

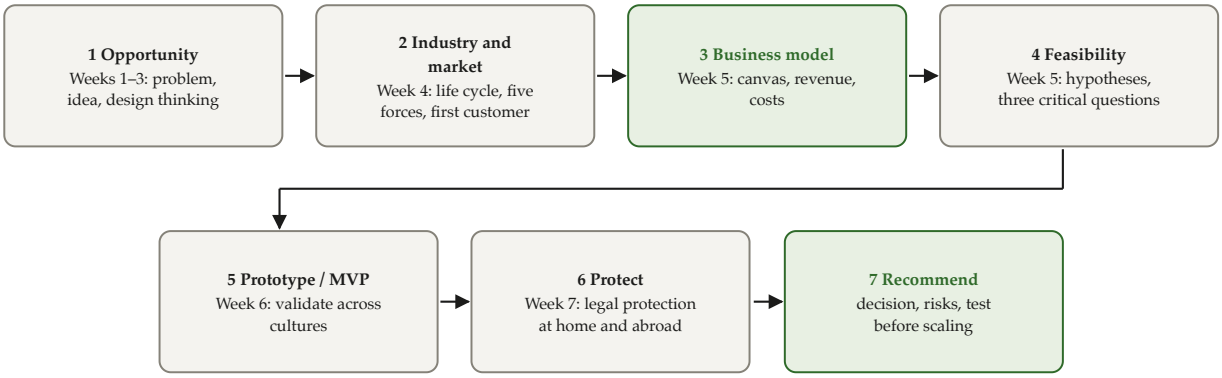


FIGURE 30.1 A strong case answer walks this chain: name the opportunity, test it against industry and market, lay out the business model, judge feasibility, validate with a prototype or MVP, and protect what makes the venture hard to copy abroad.

Which framework answers which question

IF THE QUESTION ASKS...	USE	CHAPTER
What is entrepreneurship? Is this venture entrepreneurial?	Stevenson's definition, mindset, three high-impact traits	Entrepreneurial process
Why did the venture fail or struggle?	Four failure reasons; fuzzy front end; create versus capture	Risk and failure
Should the founder start, and how should they prepare?	Six myths; six preparation steps; weak ties and brokers	Preparing
Where is the opportunity?	Design thinking, discovery versus creation, problem statement, Schumpeter	Opportunity
Is the industry attractive? Who is the first customer?	Life cycle, value chain, five forces, customer discovery hierarchy, customer matrix	Five forces
What is the business model? How does it make money?	Canvas; value proposition versus model; revenue models; cost drivers	Business model
Is it feasible? How would you test it?	Feasibility areas, six-step hypothesis testing, three critical questions, barbell	Feasibility
How should the product be developed and validated?	Eight-task cycle, new product checklist, MVP and innovation spectrum, outsourcing rules	Development cycle
How should the venture protect itself abroad?	Intellectual property (IP) pyramid, trademark steps, copyright terms, patent criteria, Patent Cooperation Treaty (PCT) route, three patent strategies	IP strategy

Your exam: two essay cases

The exam has two essay case questions, answered with the theories given or with practical, proven methods. Build each answer from five moves, one or two paragraphs each.

1 Answer first
State the decision or diagnosis in the opening two lines.

2 Name the theory
Give the framework by name and its course definition (for example Stevenson's definition, Porter's five forces, Drucker's five questions, the business model canvas).

3 Apply it with case evidence
Use the case's own numbers and facts; one calculation beats three adjectives.

4 Add a proven method
Show how you would check or act: the six-step hypothesis test with a test card, a customer test or pilot with a control group, an MVP, a break-even calculation, the new product checklist, or a trademark and patent filing route.

5 Recommend and sequence
Give the steps in order, the main risk, and how the result will be judged.

PROVEN METHOD FROM THE SLIDES	USE IT TO SHOW
Five whys and the four-part problem statement (Week 3)	You found the real problem before proposing a fix
Five forces and the customer matrix (Week 4)	The industry can pay and you know the first customer
Business model canvas, revenue models and cost drivers (Week 5)	How the venture creates, delivers and captures value
Six-step hypothesis testing and the three critical questions (Week 5)	How feasibility will be proved before money is committed
Blue ocean four actions and Taleb's barbell (Week 5)	Where to compete differently, and how much risk to take
New product checklist, prototype, MVP and innovation spectrum (Week 6)	How the product will be validated and launched
Trademark translation check, provisional patent, PCT filing (Week 7)	How the venture is protected in each country it enters

Worked outline: "Should this venture expand to a new country, and how?"

1 Restate the opportunity
Name the unmet need in the new country and whether it was discovered (market shift) or created.

2 Test the environment
Industry life-cycle stage, five forces, macro factors (economy, regulation, infrastructure), and the culture and climate differences that matter.

3 Re-draw the model
Value proposition, segment and first customer, channel (direct or through a partner), revenue model and cost drivers in the new market.

4 Name the riskiest assumption
Write it as a hypothesis with a measure and a pass condition.

5 Validate small
Prototype, MVP or pilot with local users; keep about 90 percent of the business safe (barbell).

6 Protect
Register the trademark locally after a translation check; file under the PCT within 12 months if there is an invention; use confidentiality agreements for trade secrets.

7 Recommend
A clear decision, the sequence of steps and the reason for the order.

> **Exam tip:** Spend the first two lines answering the question directly ("Yes, but only after…"). Then build the chain. Examiners reward a decision with reasons over a survey of frameworks without a verdict.

CHECK YOURSELF

Answer from memory, then check below.

1. **A case asks whether a venture should expand abroad. According to the synthesis chapter, how should the answer open?**
   - A. With a list of every framework from the course
   - B. With the venture's history
   - C. With a direct decision in the first lines, then the framework chain
   - D. With a definition of entrepreneurship

2. **Which sequencing lesson is common to all three cases?**
   - A. Raise capital before testing
   - B. Test small before scaling
   - C. Patent before talking to customers
   - D. Expand to many markets at once

3. RECALL The seven-step answer chain for a case question

Answers 1. C **2.** B **3.** Opportunity; industry and market; business model; feasibility; prototype or MVP; protect; recommend.

APPENDIX · REFERENCE

Glossary of abbreviations

SHORT	STANDS FOR / MEANING
3D	Three-dimensional: used of printing technology and of physical prototypes
AI	Artificial intelligence: machine-learning solutions that complete specific tasks and augment human decisions
AIA	America Invents Act: United States law that made the country first-inventor-to-file (effective 16 March 2013)
B2B	Business-to-business: sales to organizations rather than consumers
BINUS	Bina Nusantara: the university running the course (BINUS University, BINUS Higher Education)
BPOM	Badan Pengawas Obat dan Makanan: Indonesia's food and drug authority, which registers packaged food
BRIC	Brazil, Russia, India and China: large emerging economies
CEO	Chief executive officer
CGT	Confédération Générale du Travail: the communist-led French labor federation in the EuroDisneyland case
CILO	Course intended learning outcome: CILO 1 identify international market opportunities and the business environment; CILO 2 analyze a business model and strategic plan for international expansion
COGS	Cost of goods sold: the direct cost of producing what is sold
CRISPR	Clustered regularly interspaced short palindromic repeats: a gene-editing technology for changing the genome of living cells
DC	District of Columbia: Washington, DC, home of the Copyright Office of the Library of Congress
DMCA	Digital Millennium Copyright Act (1998): bans removing copyright management data and circumventing encryption; safe harbor for Internet service providers
FDA	Food and Drug Administration: the United States regulator of food, drugs and medical devices
FFr	French francs: France's currency before the euro, used in the EuroDisneyland case
GEM	Global Entrepreneurship Monitor: annual study that groups countries as factor-, efficiency- or innovation-driven economies

IDR	Indonesian rupiah (currency code); also written Rp
IEEE	Institute of Electrical and Electronics Engineers: publisher of the systematic review on cultural-based product business models
IoT	Internet of Things: everyday devices connected to the Internet
IP	Intellectual property: legally protected intangible assets (trade secrets, copyrights, trademarks, patents)
MVP	Minimum viable product: the version with just enough functionality and value to attract early adopters who give feedback
NPD	New product development
PCT	Patent Cooperation Treaty: lets one international application cover all member countries; file within 12 months of the first filing, national phase by month 30
PIRT	Pangan Industri Rumah Tangga: Indonesian permit for home-industry food production
PO	Pre-order: an order placed and usually paid before the product is made
PTAB	Patent Trial and Appeal Board: the USPTO appeal body since 2012, replacing the Board of Patent Appeals and Interferences
R&D	Research and development
Rp	Rupiah: Indonesian currency (code IDR)
SAM	Serviceable available market: the part of the total market the venture can reach
SBA	Small Business Administration: United States agency that reported 52 percent of small businesses were home-based (2014)
SEC	Securities and Exchange Commission: United States regulator whose filings give information on public companies
SKU	Stock-keeping unit: one distinct product variant held in stock
SM	Service mark: symbol used after a service brand before it is registered
SOM	Serviceable obtainable market: the share of the serviceable market the venture can realistically win
SWOT	Strengths, weaknesses, opportunities and threats
TAM	Total addressable market: total demand for the product category
TM	Trademark: symbol used after a brand before it is registered (® after registration)
USPTO	United States Patent and Trademark Office
VAT	Value added tax: cut from 18.6% to 7% on EuroDisneyland tickets

WIPO	World Intellectual Property Organization: the United Nations agency that administers the PCT

APPENDIX · REFERENCE

Numbered lists and frameworks to memorize

LIST	ITEMS, IN THE COURSE'S ORDER	WEEK
Entrepreneurial process	Phase 1 find problem and research; Phase 2 validate hypotheses; Phase 3 design and plan	1
Dynamic environment	Economy; competition; new laws and regulations; labor supply; sources of capital	1
Technological change signals	Emerging segments; new needs; unsatisfied needs; new ways to make and distribute	1
Global Entrepreneurship Monitor (GEM) economy types	Factor-driven; efficiency-driven; innovation-driven	1
High-impact venture traits	Innovative; value-creating; growth-oriented	1
Reasons for failure	Solution looking for a problem; me-too; poor value proposition communication; untested model	1
Six myths	Lots of money; great idea; bigger risk bigger reward; business plan required; young and reckless; cannot be taught	2
Corporate venturing models	Opportunistic; enabler; advocate; producer	2
Preparation steps	Mentor; network; learn about entrepreneurs; personality and preferences; skills; study an industry	2
Barriers to self-employment	Confidence; financial needs; startup logistics; personal or family issues; time; skills	2
Wallas	Preparation; incubation; illumination; verification	3
Seeff	Hearing the call; fear and resistance; resolution; turning point; creation; manifestation; fulfillment	3
Problem statement	How question; who is responsible; action verb; target outcome	3
Schumpeter	New product; new process; new market; new supply source; new industrial organization	3
Industry life cycle	Emerging; growth; differentiation; shakeout; maturity; decline	4
Barriers to entry	Economies of scale; brand loyalty; capital; switching costs; distribution access; proprietary factors; regulation	4

Customer discovery hierarchy	Gatekeepers; influencers; deciders; purchasers; users	4
Ethnographic steps	Observe; explain; hypothesize; test; conclude	4
Competitor types	Direct; indirect or substitute; emerging or potential	4
Drucker's questions	Mission; customer; customer value; results; plan	5
Revenue models	Subscription; volume; licensing and syndication; transaction fee; advertising	5
Critical success factors	Market size; capital requirements; founding team	5
Blue ocean actions	Eliminate; reduce; raise; create	5
New product development (NPD) resource problems	Poor execution; longer time to market; missed first-to-market; simpler projects; lower morale	6
Commercialization options	License; start a business; sell; joint venture	6
Knowledge categories	Intellectual capital; intellectual assets; intellectual property	7
Copyright rights	Reproduction; derivative works; distribution; public performance; public display; digital transmission performance	7
Patent criteria	Statutory class; utility; novelty; nonobviousness	7
Patent strategies	Proprietary; defensive; leveraging	7

APPENDIX · REFERENCE

Formula and numbers sheet

ITEM	FORMULA OR FIGURE	WORKED EXAMPLE
Gross margin	Gross profit ÷ sales	($19.95 − $10) ÷ $19.95 ≈ 49.9%
Break-even units	Fixed costs ÷ (price − variable cost)	Rp 3,000,000 ÷ Rp 19,000 ≈ 158
Break-even delivery basket	Delivery cost ÷ gross margin	Rp 12,000 ÷ 25% = Rp 48,000
Spend-to-admission ratio	Total spend ÷ adult ticket	EuroDisney $37.50 ÷ $47 ≈ 0.80×
Leisure budget share	Cost of visit ÷ (income × leisure share)	$177 ÷ ($23,026 × 4.6%) ≈ 16.7%
Market share of SAM	SOM ÷ SAM	Rp 101.2m ÷ Rp 394.3bn ≈ 0.026%
Design's share of cost	Up to 80 percent of final cost	
New product failure rate	70–90 percent of consumer products	
Outsourcing gains	Risk, cost and cycle time cut by 60–90 percent	
Patent terms	Utility and plant 20 years; design 14 years (as taught); provisional 12 months	
Patent milestones	Publication at 18 months; fees at 3½, 7½, 11½ years	
PCT deadlines	12 months to file; 30 months for national phase	Filed 1 March 2026 → 1 March 2027 → 1 September 2028
Copyright terms	Life + 70; works for hire 95 years; Berne minimum life + 50	

Abbreviations in this sheet: SAM is serviceable available market, SOM is serviceable obtainable market, and PCT is the Patent Cooperation Treaty.

From Idea to Market

A 3D animated explainer (13:17): the EuroDisney story, entrepreneurship, business models, new product development and Raka's worked example. Captions are built into the picture.



0:00	Paris, 1992	**5:10**	The Machine
1:19	The Opportunity	**8:07**	The Product
3:08	The Problem	**10:07**	Raka
4:15	The Market	**12:04**	Back to Paris

Watch or download it from the Watch tab of the online notebook.

Flashcards

Cover the right-hand column and answer from memory.

Course map and synthesis 12 cards

The two course intended learning outcomes (CILOs) of International New Venture	CILO 1: identify international market opportunities and the international business environment (Weeks 1–5). CILO 2: analyze a business model and strategic plan suitable for international expansion (Weeks 6–7).
The seven weekly topics in order	(1) Understanding international entrepreneurship; (2) preparing for the global entrepreneurial journey; (3) global opportunity recognition and ideation; (4) industry and market analysis; (5) business models for international markets; (6) prototyping and validation across cultures; (7) legal consideration and asset protection abroad.
The three cases and the week each sits beside	EuroDisneyland (Week 1, a proven model failing abroad); LocalBite (Week 2, a student founder held back by myths); FreshMart (Week 5, separating business model from value proposition and choosing a model change).
The format of case work shown by the FreshMart case	A short case followed by three questions worth 30, 40 and 30 points: the business model, value creation and capture, and business model development with a risk and a test.
Main textbook behind the slide decks	Launching New Ventures (Chapters 1, 2, 3, 5 and 7), supported by Entrepreneurship: Theory, Process, Practice.
Why the order of the weeks matters	Each week supplies what the next needs: a framed problem (Week 3) before industry and market tests (Week 4), those before the business model (Week 5), a validated product (Week 6) before protecting it (Week 7).
The seven-step answer chain for a case question	Opportunity; industry and market; business model; feasibility; prototype or MVP; protect; recommend.

Two habits that lift a case answer from adequate to excellent	Quantifying with case numbers or calculations, and sequencing the recommendation with a reason for the order.
The recurring message of the course	Test before you scale: a model that works at home is only a hypothesis abroad.
Sequencing examples from the three cases	EuroDisney: cash, then product, then reinvestment. FreshMart: 2 stores before 25. LocalBite: 30–50 customers before a detailed plan.
Factors that change a business model abroad	Culture, climate, income and leisure budgets, holiday patterns, language and law.
How to open a decision answer	Answer the question directly in the first two lines ("Yes, but only after…"), then build the framework chain.

Week 1 · Understanding international entrepreneurship 31 cards

Stevenson's definition of entrepreneurship	"The process by which individuals, either on their own or inside organizations, pursue opportunities without regard to the resources they currently control."
The four traits of the entrepreneurial way of thinking	Opportunity-focused, risk-taking, innovative and growth-oriented.
Phase 1 of the entrepreneurial process	Find a significant problem or need; do preliminary research on the industry, market and any intellectual property, regulatory or product development issues; develop hypotheses.
Phase 2 of the entrepreneurial process	Validate the hypotheses about the customer, the solution and the business model; the results show potential revenue sources and major cost drivers.
Phase 3 of the entrepreneurial process	Once Phases 1 and 2 give sufficient confidence, design the business and plan execution: the right team and partners, and the best time to launch.
The five environmental variables a new venture keeps responding to	The economic environment, competition, new laws and regulations, labor supply, and sources of capital.

Why the entrepreneurial process is called a dynamic system	It is not linear: phases loop back when hypotheses fail, and testing continues after launch because the environment keeps changing.
Four signals that lead to technological change	New customer segments emerging; new customer needs; existing needs not satisfied; new ways of manufacturing and distributing products and services.
How new industries are born	When technological change produces a novel opportunity that enterprising entrepreneurs seize.
The Week 1 description of the industry life cycle	Industries are born, grow, decline and die, like humans.
The three Global Entrepreneurship Monitor (GEM) economy types	Factor-driven (unskilled labor, natural resources, necessity entrepreneurship), efficiency-driven (improving production and quality), innovation-driven (compete on innovation and entrepreneurship).
Why factor-driven economies show very high entrepreneurial activity	Businesses are often created out of necessity.
The age group with the most intention to start a business (GEM)	People aged 25 to 34, across all types of economies.
Three characteristics of high-impact ventures	Innovative (something new), value-creating (new jobs not drawn from existing firms; unserved needs), growth-oriented (regional, national or global ambition).
The fuzzy front end	The period before launch and startup, when activities are unclear and change as more information is obtained; much new venture risk sits here.
Three things nascent entrepreneurs estimate in the fuzzy front end	The probability of success; what success means as a return on time, money and effort; the risk or cost of failure.
How entrepreneurs reduce subjective risk estimates	Gather sufficient information and test the business model.
Four reasons new businesses fail	A solution looking for a problem; a "me-too" solution that is not unique; value proposition not communicated effectively; no tested business model that works.

When "entrepreneur" came into popular use in the United States	The 1980s, called the decade of entrepreneurship.
The four trends of the 2016 textbook edition	Digital anonymity, domestic manufacturing, big data and the lean startup movement.
Three technology trend headings for 2018 and beyond	Intelligent technology (artificial intelligence), the digital environment (immersive experiences, digital twins), and disruption (synthetic biology and genomics, quantum computing).
A digital twin	A digital replica of a human or real-world entity, fed by connected sensors, allowing advanced simulation, operation and analysis.
EuroDisneyland's first-year headline numbers	Net loss of FFr188 million for fiscal 1992; about $500 million cumulative losses by April 1993; about 10 million visitors against an 11 million target; French only 29% of visitors (forecast 50%); hotel occupancy 37%.
Why EuroDisney lost money despite beating its stated break-even	The 7–8 million visitor break-even was set for the $1 billion plan; construction cost estimates rose to $4.4 billion and the break-even was never updated.
Spend-to-admission ratio: EuroDisney versus Tokyo	EuroDisney $37.50 ÷ $47 ≈ 0.80×; Tokyo $77.50 ÷ $38 ≈ 2.04×. EuroDisney charged the highest ticket but collected the lowest in-park spend (Exhibit 6's spend column excludes the ticket).
How Disney's deal differed in Tokyo and Paris	Tokyo: no equity, a license paying 10% of admissions, 5% of food and merchandise, plus fees. Paris: 49% equity for $160 million, management control, the same royalties plus management fees and 49% of profits.
Why Disney earned while EuroDisney shareholders lost	Royalties (10% admissions, 5% food, merchandise and hotels) and base management fees were charged on revenue, not profit.
Three cultural misfits in EuroDisneyland	No alcohol in a wine-drinking country; mainly American food; a strict United States appearance code challenged under French labor law. Intellectuals called it a "cultural Chernobyl."

One defensible turnaround sequence for EuroDisney (Option E)	Fix the financial model first (capital, debt rescheduling, freeze Phase Two), then fix the product (prices, wine and beer, menus), then reinvest in a major new attraction.
Why Tokyo Disneyland succeeded as a copy of Anaheim	Japanese visitors wanted the "real thing" American experience; 30 million people lived within 30 miles; omiage gift-giving drove spending (over $1 billion in 1988).
Five lessons from EuroDisneyland for international ventures	Product-market fit first; past success does not travel automatically; recalculate break-even on the latest cost; set price to the segment; heavy debt plus high operating cost is risky.

Week 2 · Preparing for the global entrepreneurial journey 28 cards

What research says about the "entrepreneur type"	No psychological or sociological characteristics predict with any certainty who will become an entrepreneur or who will succeed.
The six myths of entrepreneurship	(1) It takes a lot of money; (2) it takes a great idea; (3) the bigger the risk, the bigger the reward; (4) a business plan is required for success; (5) entrepreneurship is for the young and reckless; (6) entrepreneurship cannot be taught.
Reality behind Myth 2 (it takes a great idea)	Most businesses successful for 50+ years started with a great team wanting an enduring company; usually the execution plan, not the idea, makes the business a success.
Reality behind Myth 3 (bigger risk, bigger reward)	Risk is relative; entrepreneurs and investors aim to reduce it. Investors expect founders to test the market, acquire the first customer and invest their own capital.
Current thinking that replaces Myth 4 (business plan required)	(1) Get in front of customers to test the idea, and (2) have a plan in order to grow the business.
Drucker's quotation against Myth 6	"It's not magic, it's not mysterious, and it has nothing to do with the genes. It is a discipline. And, like any discipline, it can be learned."

Reality behind Myth 5 (young and reckless)	Entrepreneurs' ages are fairly evenly distributed across all decades; entrepreneurship can be a lifetime endeavor.
Two basic motives for starting a business	Necessity or opportunity.
Four conditions under which people choose the startup process	Low industry entry barriers; uncertainty in the job market; plentiful investment capital; a breakthrough or disruptive technology that will make previous technology obsolete.
Serial versus portfolio entrepreneur	Serial: starts one business, then moves on to start another. Portfolio: owns minority or majority stakes in several ventures at once.
The profit rule for nonprofit ventures	They can and should make a profit, but the profit must stay within the organization rather than go to owners.
The four corporate entrepreneurship models in order	Opportunistic (waits for champions), enabler (spreads resources with clear selection criteria), advocate (assigns ownership plus modest seed funding), producer (formal unit, dedicated funds, autonomy; once called a skunkworks).
Three things corporate entrepreneurs need to do	Align with key decision makers; work with only the best, most motivated people; do any job needed to make the project work.
Share of small businesses that were home-based (Small Business Administration, 2014)	52 percent.
Five challenges of the entrepreneurial career (any five)	Finding the right opportunity; long unpaid hours; uncertainty and high risk; decisions affecting others; relying on others; no previous experience; facing failure; finding the right people; raising capital; isolation and disillusionment.
The six steps to prepare for entrepreneurship	Find a mentor; build a professional network; learn about entrepreneurs; understand personality and business preferences; improve or acquire critical skills; study an industry.
Three reasons startups expose founders to more risk	They are typically undercapitalized, poorly managed and undifferentiated from competitors.

Definition of networking	The exchange of information and resources among individuals, groups or organizations whose common goals are to mutually benefit and create value for the members.
Strong ties versus weak ties	Strong ties: close friends and family. Weak ties: acquaintances and business contacts, who are not biased by prior history and so give objective advice that helps entrepreneurs move faster.
Network brokers	Opinion leaders who exert influence between groups and serve as gateways to other networks.
Six barriers to becoming self-employed	Lack of confidence; financial needs; startup logistics; personal or family issues; time constraints; lack of skills.
The two groups of critical entrepreneurial skills	Analysis and critical thinking (calculated risk taking, embracing uncertainty, opportunity creation, organization and time management, resource gathering); written and oral communication (storytelling, vision, persuasion and negotiation, decision making, leadership).
Why studying an industry is the best route to opportunity	The best opportunities come from experience and knowledge of an industry, and opportunities can be found anywhere along its value chain, not only in products.
LocalBite's three key concerns	He thinks he needs a large amount of money; he feels the idea must be completely unique; he has no business experience and fears failure.
LocalBite's recommended first step	Test the product with 30–50 customers before investing more money.
The four pieces of support and advice in the LocalBite case	Find a mentor; build a network with entrepreneurs and potential customers; study the food industry and develop digital marketing skills; test the market before writing a detailed business plan.
Which myths LocalBite's worries match	Money: Myth 1. Unique idea: Myth 2. Fear of failure without experience: Myths 3 and 6. Testing before a detailed plan reflects Myth 4.

Suggested starting approach for LocalBite	Start from home and sell through Instagram, TikTok and online marketplaces, using savings of 5 million Indonesian rupiah.

Week 3 · Opportunity recognition and ideation 30 cards

Idea versus opportunity	Ideas are a commodity everyone has; an opportunity is an idea with commercial potential that can turn into a business. Opportunity is the intersection of an idea and a customer.
Definition of design thinking	A process and approach that looks at the world from the customer's perspective, moving from inspiration (creativity) to ideation (opportunity development) to implementation (innovation and commercialization).
Four things design thinking does	Define a problem; create and consider multiple options; refine them through iteration; settle on a winning solution.
The heart of design thinking	Empathy: a deep understanding of what customers want, gained by embedding in their world.
Four characteristics of design thinkers besides empathy	Integrative thinking, optimism, experimentation and collaboration.
Tools of the innovation/implementation group	Rapid prototyping, hypothesis testing and launch to learn.
Questions asked in the opportunity/ideation group	What is possible? What problem is being solved? Are there customers for a solution?
Creativity, invention and innovation	Creativity: using imagination to produce original ideas. Invention: discovering something that did not exist. Innovation: a new way to do something or an improvement to an existing product or service.
Wallas's four stages of the creative process	Preparation; incubation; illumination; verification.
Seeff's seven stages of the creative process	Hearing the call; fear and resistance; resolution; turning point; creation; manifestation; fulfillment.

Two types of roadblock to creativity, with an example of each	Environmental (multitasking lowers productivity) and personal (needing ideas to seem acceptable or rational to others).
Three actions to build creative confidence	Set manageable goals for small wins; learn everything about the idea; know when to stop improving and move into action mode.
Four rules of thumb for generating ideas	Generate individually first in a group; quantity over quality at first; capture every idea; piggyback on ideas only after individual generation.
Brainwriting	Brainstorming in which everyone writes ideas on sticky notes, which are organized into themes and unusual combinations, so all members feel comfortable contributing.
Journey mapping	Depicting all touch points a company has with a customer, from awareness of need and purchase through use, service and final disposal.
The five ways to develop creative skills	Design a creative environment; log ideas; put the familiar in a new context; use your personal network; visualize something.
Discovery theory of opportunity	Opportunities arise from shifts in external factors (regulation, technology, customer preferences); entrepreneurs spot them through alertness.
Three attributes that make up entrepreneurial alertness	Risk preference; cognitive differences; information asymmetries.
Creation theory of opportunity	Entrepreneurs create opportunities through actions, reactions and experiments; there are no seeds in the market, and any seeds lie within the entrepreneur.
Affirmative judgment	Looking for the strengths or positive aspects of a problem first, instead of killing "crazy" ideas quickly.
Four components of an effective problem statement	A "how" question; who is responsible for dealing with the problem; an action verb for the positive course of action; the target or desired outcome.

Final problem statement in the mobile ultrasound device example	"How can we speed up our product development process?" (reached by asking why five times from "How can we sell more mobile ultrasound devices?").
Attribute identification versus force fitting	Attribute identification breaks a problem into elements and modifies each; force fitting applies the characteristics of a random object to the problem.
Explicit versus implicit criteria for solutions	Explicit: formal, such as time limits and budgets. Implicit: unstated, such as intuition, team culture, preferences, prejudices and experience-based perspectives.
Schumpeter's five categories of innovation	A new product or substantial change; a new process; a new market; new sources of supply; changes in industrial organization.
Definition of commercialization	The process that moves an innovation from the laboratory to the market by executing a business strategy.
Six research areas that start commercialization	The industry; the target market; intellectual property and regulatory requirements; the customer; the business model; the business design.
The outcomes and execution decisions of commercialization	Outcomes: startup capital requirements, revenue sources and cost drivers. Execution: makeup of the management team and market timing.
Incremental versus disruptive innovation, with examples	Incremental improves an existing base to differentiate (Apple iPad). Disruptive or radical makes previous technology obsolete (the Internet, the birth control pill, artificial intelligence).
Eight sources of innovation	Customers; online news and magazines; observation; demographic shifts; new laws and regulations; emerging industries; trends; business operations.

Week 4 · Industry and market analysis 33 cards

Industry versus market	An industry is defined by a product or service (businesses in a common value chain or channel); a market is defined by customers, those who pay for the benefits.
Primary market	The customers with the most need for what the venture offers; identifying it and the first customer is a key feasibility task.
Two reasons to study the industry	It is the business's external environment, which no business is independent of; and it shows whether a profit can be made and whether it is worth the effort.
Gross margin formula and meaning	Gross profit ÷ sales; it shows how much is left to pay overhead and make a profit, so how much room there is for mistakes.
Why primary field data are needed after secondary research	Secondary sources rarely give the most current information because of the lead time from data gathering to print.
Six sources of primary industry data	Industry observers and analysts; suppliers and distributors; customers; employees of key firms; professionals from service organizations; trade shows.
The six stages of the industry life cycle	Emerging; growth; differentiation; shakeout; maturity; decline.
What happens in the shakeout stage	Dominant firms emerge as weaker firms leave.
The value chain and why it matters	All companies contributing to the development and distribution of an industry's products; locating the venture on it shows who pays whom and helps set costs and prices.
Porter's five forces	Barriers to entry (threat of new entrants); threat of substitutes; buyers' bargaining power; suppliers' bargaining power; rivalry among existing firms.
Seven barriers to entry	Economies of scale; brand loyalty; capital requirements; switching costs for the buyer; access to distribution channels; proprietary factors; government regulations.

Forward integration by suppliers	Suppliers buying the outlets for their goods and services, so they control the final selling price.
Three ways suppliers exert power	Threatening to raise prices; limiting quality or quantity supplied; changing the quality of products supplied (and integrating forward).
Profile of an attractive industry	High barriers to entry; weak supplier and buyer power; few substitutes; not highly competitive.
How a new venture should enter a highly competitive market	Identify a niche that serves an unmet customer need and enter quietly to gain a foothold, avoiding price wars and costly advertising battles.
Porter's basic premise	Sustaining high performance requires a well-thought-out strategy and implementation plan based on how the industry works and how attractive its markets are.
Three goals of market research for a new company	Identify and profile the first customer; estimate their potential demand; identify subsequent segments for growth.
The first customer	The customer with a significant problem the venture can solve; often an unserved niche rather than the biggest market.
The four-step process for gathering market data	Assess information needs; research secondary sources first; measure the target market with primary research; forecast demand.
The customer discovery hierarchy	Gatekeepers (control access and information); influencers (approval often required); deciders (final decision, usually on budget); purchasers (authority to buy); users (ultimate beneficiaries).
Four ways to collect primary customer data	Ethnographic observation; interviews; informal focus groups; online or in-person surveys.
Five steps of the ethnographic approach for entrepreneurs	Learn from observation; explain what was observed; develop a hypothesis; test the theory; draw conclusions.

Five advantages of personal interviews	More clarification and discussion; nonverbal cues show truthfulness; high response rate; open-ended questions for depth; networking and contacts.
Four rules for questionnaire design	Keep it short with white space; no leading or biased questions; easy questions first; demographic questions last.
Why survey samples should be random	To avoid bias: the researcher should have as little control as possible over who is selected.
What a customer matrix lays out for each segment	Pain, benefit, distribution channel, product or service and potential competition.
Six items in a customer profile	Age; income level; education; buying habits (when, where, how much); where they find such products; how they would like to buy them.
Why demand questions should seek outcomes	Customers describe problems and desired outcomes well but solutions poorly, so outcome questions lead to better solution design.
Four reasons entrepreneurs underestimate competition	Incomplete information; underestimating resources and skills needed; missing roadblocks; not knowing what they do not know.
Three types of competitor	Direct (same needs, same resources); indirect or substitute (same needs, different resources or channels); emerging or potential (could move in quickly).
Good versus bad competition	Good: competitors performing badly with unhappy customers, an opening. Bad: competitors doing everything right with happy customers, hard to displace.
Three checks for threats from outside the industry	What the competitor must do to succeed in its core business; whether it has a competency in your area; which core competencies transfer to your business.
Four ways to find competitor information	Visit websites and outlets; buy their products; read customer comments online; use Hoover's Online, the Securities and Exchange Commission and OneSource for public companies.

Week 5 · Business models 37 cards

Drucker's five business model questions	What is our mission? Who is our customer? What does our customer value? What are our results? What is our plan?
The essence of a business model	The strategic decisions and trade-offs entrepreneurs make to earn a profit (also described as a blueprint or an analytical device for evaluation and action).
Value proposition	The benefit the customer derives, the reason they will buy: the unique mix of product, price, service, relationship and image, explaining what the company does better or differently.
Features versus benefits	Benefits are intangibles (better health, saving time and money, reliability); features are product attributes (design, physical characteristics, functions).
Segmenting a market	Dividing it into meaningful and measurable parts based on needs, buyer behaviors and demographics.
Three advantages of selling direct to the customer	Large upside potential; control over branding, pricing and relationship; management of user data and experience.
Three advantages of selling through an intermediary	Partner does the build-out and capital investment; partner handles billing and service; more predictable cash flow with a licensing agreement.
The most common type of strategic partnership	The buyer–supplier relationship, used to cut costs or share facilities such as manufacturing or warehousing.
The blocks of the entrepreneur's business model canvas	Problem; solution; key metrics; unique value proposition; unfair advantage; channels and strategic partners; customer segments; cost structure; revenue streams.
Five revenue models	Subscription or membership; volume or unit-based; licensing and syndication; transaction fee; advertising.
What makes a revenue model healthy	Revenue from multiple types of customers and multiple products and services.

Three kinds of cost driver	Fixed (rent), variable (manufacturing), nonrecurring (one-time expense).
Five cost structures	Marketing or advertising; inventory; office or retail space; support center; direct cost structure.
Cost-driven versus value-driven model	Cost-driven keeps costs as low as possible because margins are narrow; value-driven creates premium experiences with personalized service and luxury facilities.
Five ways business models change	Incremental expansion (geography, markets, pricing, lines, channels); revitalizing an established model; taking a model into new areas; adding models by acquisition; building new models on core competencies.
Break-even units formula	Fixed costs ÷ (price − variable cost per unit).
Definition of feasibility analysis	The testing, evaluation and validation of a proposed business model for a new venture; a tool to assess and reduce risk at startup.
Four things to understand when assessing an opportunity	Your capabilities; competitors' capabilities and intentions; customers' needs and desires; your bargaining power in the value chain.
The four areas of feasibility analysis	Industry and market/customer; product/service; founding team; financial needs assessment.
Six steps to validate a business model	Develop hypotheses for each component; design an experiment for each; test with customers in the field; consider the impact on all components; change the model; retest until fully validated.
Three critical success factors tested in feasibility analysis	Is the market big enough to be viable and grow? Do capital requirements to reach positive cash flow make sense? Can an appropriate founding team be assembled?
Three groups of macro environmental factors	Industry factors and trends; market factors and trends; global economic factors.
Taleb's antifragile business	One that guards what it cannot afford to lose (about 90 percent) and takes risks with about 10 percent, benefiting from positive uncertainty without suffering the negative side.

The waiting-in-line app's initial unvalidated model	Value proposition: save time, avoid lines; segment: students; channel: direct; partners: concession stands, food trucks; revenue: advertising and partner subscriptions; costs: software development, sales force.
Blue ocean strategy	Kim and Mauborgne's idea of seeking white spaces where no one is playing, at the intersection of value and cost.
The four blue ocean actions	Eliminate something the industry has always done; reduce something below the standard; raise something above the standard; create something the industry has never done.
Two contexts with challenging business models	Where the customer does not want to pay, and where the startup faces dominant players.
Three ways to monetize a platform whose users will not pay	Advertising (under attack from advertisers and users); freemium (basic free, paid enhanced features); sponsorship (an entity funds free access).
Two-sided platform	A platform acting as intermediary where users upload and share content and so become the content providers who add to its value.
How startups facing dominant players often compete	By acquiring intellectual property and know-how they control and developing it until it is attractive to a dominant firm.
FreshMart's main business model	A store-based omnichannel reseller living on margin: buy well (bulk, own brand), place stock close to demand (25 stores, three channels), sell volume.
FreshMart's three problems	High delivery cost on small orders; unsold fresh food; customers switching for discounts.
FreshMart's value proposition versus business model	Value proposition (the promise): affordable, close and convenient, rewarding. Business model (the machine): purchasing creates, channels deliver, revenue captures value.
Target segment chosen in the FreshMart analysis, and why	Young working adults: steadier income, they buy time rather than discounts, and the case names their need for ready-to-eat meals.
Break-even delivery basket (FreshMart example, assuming a 25% margin and Rp 12,000 per trip)	Rp 12,000 per trip ÷ 25% gross margin = Rp 48,000; smaller delivered orders lose money.

Main risk of a free-delivery membership for a store-based grocer (FreshMart example)	Members move store trips into free delivery: a Rp 100,000 basket earns Rp 25,000 walked in but Rp 13,000 delivered, so profit roughly halves.
A test plan before expanding a new membership (example from your FreshMart assignment)	Weeks 1–2 fake-door test; weeks 3–10 pilot in 2 stores with 2 control stores; week 11 decide to scale, adjust or stop.

Week 6 · Prototyping and validation 25 cards

Goal of the product development process	Bring new products to market at the right time and cost, so customers pay a price reflecting the value they perceive.
Definition of product design	The activity that transforms a set of requirements into an integrated whole or system.
The seven elements of the product design system	Form; texture; color; fit; user interfaces; production and assembly processes; methods for joining the parts.
Share of final cost determined by design	As much as 80 percent.
Failure rate of new consumer products, and the principal reason	Between 70 and 90 percent; the principal reason is lack of good market and industry analysis.
Creating versus capturing value	Innovators may create value for customers but, unless they capture enough that customers will pay for, imitators and complementary providers take the returns.
Industry architecture as a cause of failure	Firms that offer only part of a solution (system integrators, such as independent film studios) may see the product earn money while they do not, because they do not own content or proprietary technology.
Five problems caused by too few new product development resources	Poor execution; longer time to market; missed first-to-market opportunities; projects simplified; declining team morale.
The three categories of the product development cycle and their questions	Customer identification or discovery (who is the customer, what do they need?); customer validation and design (how to design, develop and test product, market and model?); business creation (what launch strategy?).

The eight product development tasks	Discovery; opportunity recognition; feasibility; intellectual property and regulatory requirements; prototype development; market and customer tests; launch strategy; execution plan.
Six questions when validating a solution	Does it already exist? Does it solve the problem? Can it be produced? Can it be protected? What will it cost? How long to market?
Four sections of the new product checklist	The market; strengths, weaknesses, opportunities and threats; design, development and manufacturing; financial.
Three uses of physical prototypes	Communicate form, fit and function to customers; give a vendor an example to quote on; allow quick design changes.
Prototypes for non-manufacturing businesses	A design, storyboard or flowchart of how the business will deliver its service or product.
Four ways to commercialize a technology	License it; start a business to make and distribute it; sell it; form a joint venture with a company that has the resources.
Five factors traded off in product development	Product features; cost; capital expenditures; development costs; timing.
Features versus product cost trade-off advice	Put most product cost into the features that matter most to customers and cut features that add no value.
Definition of a minimum viable product (MVP)	The version of a product with just enough functionality and value proposition to attract early adopters who give feedback and help develop the final mass-market product.
Goal of the MVP versus goal of the final product	MVP: attract initial customers who guide the product. Final product: attract passionate users who refer it to others.
MVP approach at the incremental end of the innovation spectrum	Customers have real problems and alternatives from major players, so build more than a simple MVP; a complete product may make more sense.
MVP approach at the disruptive end of the innovation spectrum	No direct competition and customers forgive flaws, so build the MVP in stages based on customer feedback.

What produces a viable product, according to the slides	Not the number of MVP iterations, but how well you recognize when customers tell you the product is viable.
Gains from outsourcing product development	Risk, cost and cycle time can fall by 60 to 90 percent, plus access to a network of expertise a young firm could not afford.
Three rules of thumb for development service firms	Do not give design and development to the same firm unless it specializes in both; spend enough time on design before building; break development into parts for cheap early tests.
Four cautions on outsourcing	Never choose on price alone; keep core research and development close to the customer; distance management is harder and costlier; intellectual property is hard to protect where piracy is rampant.

Week 7 · Legal protection abroad 34 cards

Three categories of knowledge	Intellectual capital (tacit knowledge from daily work); intellectual assets (explicit, documented knowledge); intellectual property (exclusive legal rights).
Four examples of intellectual property every business has	A trademark on its name or brand; copyrights on advertising design; patents on an invented device; trade secrets such as the customer list.
How intellectual property resembles and differs from personal property	Like property, it can be bought, sold, donated, licensed or exchanged and must be defended; unlike it, it is intangible, a right under law that must be put into physical form to be exercised.
The intellectual property pyramid from least to most protection	Trade secrets; copyrights; trademarks; patents.
Trade secret definition (Uniform Trade Secrets Act)	A formula, device, idea, process, pattern or compilation of information that gives a competitive advantage, is not common knowledge, and is kept reasonably confidential.
Five examples of trade secrets	Pollsters' survey methods; customer lists; source codes for computer chips; customer discounts; inventions that will not be patented.

How trade secrets are protected, and the remedies	Only by confidentiality agreements or contracts; remedies are injunctive relief, damages and attorney's fees, within a statute of limitations that varies by state.
Definition of a trademark, with three examples	A symbol, logo, word, sound, color, design or other device identifying a business or product in commerce: FedEx logo, L'Oréal "Because you're worth it," Coca-Cola bottle shape.
When a color can be trademarked	When it has secondary meaning (people associate it with a specific product, such as pink insulation); a logo's background color alone cannot be.
How long a trademark lasts, and how it is lost	As long as it is actively used and renewal fees are paid; lost if it becomes generic (aspirin, thermos).
Three kinds of mark that cannot be trademarked	Immoral or deceptive marks; official symbols such as flags; a person's name or likeness without permission.
Trademark dilution versus counterfeiting	Dilution: the mark's value is substantially reduced through competition or likely confusion. Counterfeiting: deliberate copying, subject to civil and criminal penalties.
Four steps to register a trademark	Search existing marks; pick a mark that is not common or closely descriptive; test its translation in target languages; choose product and service categories.
Six rights of a copyright owner (as taught)	Reproduction; derivative works; distribution; public performance; public display; digital transmission performance.
Copyright terms taught in the course	Life of the copyright holder plus 70 years (Copyright Extension Act of 1998); works for hire and anonymous works 95 years from publication; Berne Convention minimum life of the author plus 50 years.
Doctrine of Fair Use	Reproduction is "fair" for criticism, comment, news reporting, teaching, scholarship and research.

Digital Millennium Copyright Act (1998)	Bans falsifying or removing copyright management data and circumventing encryption, and making tools to do so; a safe harbor protects Internet service providers that infringe unknowingly.
Three parts of a copyright notice	The word "copyright" or ©; the year of first publication; the owner's full name.
What a patent gives its holder	The exclusionary right to stop others making, using, offering for sale or selling the invention, usually for 20 years from application; then it enters the public domain.
Four signals that a patent may be needed	Solves a significant problem and changes how things are done; falls under Food and Drug Administration regulation; revenues exceed enforcement cost; a plan to license it.
Economic life and the patent decision	The period the invention can generate revenue; in fast-changing fields a patent may outlive it, but for long, regulated development patents are essential.
Four criteria for patentability	Fits a statutory class; has utility; is novel (no prior art); is not obvious to someone of ordinary skill.
The four statutory classes	Machine; process or method; article of manufacture; composition of matter.
Three patent types and their terms (as taught)	Utility: 20 years from application. Plant: 20 years from filing. Design: 14 years from issuance (15 years from grant for applications since May 2015).
Provisional patent application	A lower-cost first filing allowing "patent pending" for 12 months (no extension); the nonprovisional must follow, and the 12 months do not count toward the 20-year term.
Effect of the America Invents Act	The United States became first-inventor-to-file: the filing date, not the date of conception, decides between two inventors.
Patent publication and maintenance timing	Most applications are published 18 months after filing; maintenance fees are due 3½, 7½ and 11½ years after grant.

Doctrine of equivalents	Protects inventors against infringers who make small, insignificant changes to the claims.
Why patents are the most time-sensitive form of protection	Under first-to-file, the longer an entrepreneur waits, the greater the chance the invention is no longer novel.
Who wins a trademark dispute under intent-to-use filing	Usually the party with the earliest intent-to-use filing date; the first to file holds the presumptive right.
Three patent strategies	Proprietary (acquire patents to cover the opportunity and defend position); defensive (design around patents or build a portfolio for cross-licensing); leveraging (when freedom to operate or proprietary protection is not critical).
Reach of a United States patent	Only within United States borders; it has no effect in any foreign country.
Patent Cooperation Treaty deadlines	File the international application within 12 months of the first filing to keep that date; enter the national phase in chosen countries within 30 months.
How a trademark is protected abroad	Register in each target market (the home registration helps), test the mark's translation, and record it with customs to block counterfeit imports.

Abbreviations 41 cards

3D	Three-dimensional: used of printing technology and of physical prototypes
AI	Artificial intelligence: machine-learning solutions that complete specific tasks and augment human decisions
AIA	America Invents Act: United States law that made the country first-inventor-to-file (effective 16 March 2013)
B2B	Business-to-business: sales to organizations rather than consumers

BINUS	Bina Nusantara: the university running the course (BINUS University, BINUS Higher Education)
BPOM	Badan Pengawas Obat dan Makanan: Indonesia's food and drug authority, which registers packaged food
BRIC	Brazil, Russia, India and China: large emerging economies
CEO	Chief executive officer
CGT	Confédération Générale du Travail: the communist-led French labor federation in the EuroDisneyland case
CILO	Course intended learning outcome: CILO 1 identify international market opportunities and the business environment; CILO 2 analyze a business model and strategic plan for international expansion
COGS	Cost of goods sold: the direct cost of producing what is sold
CRISPR	Clustered regularly interspaced short palindromic repeats: a gene-editing technology for changing the genome of living cells
DC	District of Columbia: Washington, DC, home of the Copyright Office of the Library of Congress
DMCA	Digital Millennium Copyright Act (1998): bans removing copyright management data and circumventing encryption; safe harbor for Internet service providers
FDA	Food and Drug Administration: the United States regulator of food, drugs and medical devices
FFr	French francs: France's currency before the euro, used in the EuroDisneyland case
GEM	Global Entrepreneurship Monitor: annual study that groups countries as factor-, efficiency- or innovation-driven economies

IDR	Indonesian rupiah (currency code); also written Rp
IEEE	Institute of Electrical and Electronics Engineers: publisher of the systematic review on cultural-based product business models
IoT	Internet of Things: everyday devices connected to the Internet
IP	Intellectual property: legally protected intangible assets (trade secrets, copyrights, trademarks, patents)
MVP	Minimum viable product: the version with just enough functionality and value to attract early adopters who give feedback
NPD	New product development
PCT	Patent Cooperation Treaty: lets one international application cover all member countries; file within 12 months of the first filing, national phase by month 30
PIRT	Pangan Industri Rumah Tangga: Indonesian permit for home-industry food production
PO	Pre-order: an order placed and usually paid before the product is made
PTAB	Patent Trial and Appeal Board: the USPTO appeal body since 2012, replacing the Board of Patent Appeals and Interferences
R&D	Research and development
Rp	Rupiah: Indonesian currency (code IDR)
SAM	Serviceable available market: the part of the total market the venture can reach
SBA	Small Business Administration: United States agency that reported 52 percent of small businesses were home-based (2014)
SEC	Securities and Exchange Commission: United States regulator whose filings give information on public companies
SKU	Stock-keeping unit: one distinct product variant held in stock

SM	Service mark: symbol used after a service brand before it is registered
SOM	Serviceable obtainable market: the share of the serviceable market the venture can realistically win
SWOT	Strengths, weaknesses, opportunities and threats
TAM	Total addressable market: total demand for the product category
TM	Trademark: symbol used after a brand before it is registered (® after registration)
USPTO	United States Patent and Trademark Office
VAT	Value added tax: cut from 18.6% to 7% on EuroDisneyland tickets
WIPO	World Intellectual Property Organization: the United Nations agency that administers the PCT

Self-check quiz

Pick an answer for each question, then check yourself against the answers and explanations that follow.

1. **Which pair of weeks serves CILO 2 (analyzing a business model and strategic plan for international expansion)?**
   A. Weeks 1 and 2
   B. Weeks 6 and 7
   C. Weeks 3 and 4
   D. Weeks 4 and 5

2. **Which case is set beside Week 5 to test business model concepts?**
   A. FreshMart
   B. EuroDisneyland
   C. LocalBite
   D. Astro

3. **In Stevenson's definition, entrepreneurs pursue opportunities…**
   A. only after securing the resources they need
   B. only when working on their own
   C. only inside large organizations
   D. without regard to the resources they currently control

4. **In which phase of the entrepreneurial process are hypotheses about the customer, solution and business model tested?**
   A. Phase 1
   B. Phase 3
   C. Phase 2
   D. After launch only

5. **Which is NOT one of the environmental variables the slides say a new venture keeps responding to?**
   A. Labor supply
   B. Brand loyalty
   C. Sources of capital
   D. New laws and regulations

6. **Technological change happens when an entrepreneur identifies all of the following EXCEPT…**
   A. a competitor's falling share price
   B. new customer segments that appear to be emerging
   C. existing customer needs that have not been satisfied
   D. new ways of manufacturing and distributing

7. **In which Global Entrepreneurship Monitor (GEM) economy type are businesses most often created out of necessity?**
   A. Efficiency-driven
   B. Innovation-driven
   C. Knowledge-driven
   D. Factor-driven

8. **A venture that creates jobs not drawn from existing businesses and serves currently unserved needs shows which high-impact trait?**
   A. Innovative
   B. Growth-oriented
   C. Value-creating
   D. Necessity-driven

9. **What is the "fuzzy front end"?**
   A. The first year after launch, when cash flow is uncertain
   B. The period before launch, when activities are unclear and change as information arrives
   C. The decline stage of the industry life cycle
   D. The point at which investors join the venture

10. **A founder builds an app nobody asked for and no customer will pay for. Which failure reason is this?**
    A. A solution looking for a problem
    B. A "me-too" solution
    C. Poor communication of the value proposition
    D. Too much early market testing

11. According to the slides, when did the word "entrepreneur" come into popular use in the United States?

A. The 1960s
B. The 1970s
C. The 2000s
D. The 1980s

12. EuroDisneyland drew about 10 million visitors, above its 7–8 million break-even, yet lost money. The best explanation is that…

A. attendance fell short of the break-even in the first year
B. Disney took no royalties from the park
C. the break-even was set for the $1 billion plan and never updated as costs rose to $4.4 billion
D. the French government withdrew its loans

13. EuroDisney's spend-to-admission ratio was about 0.80×, against Tokyo's 2.04×. What does this show?

A. EuroDisney charged the lowest ticket of all Disney parks
B. Visitors paid the highest ticket but spent the least inside the park
C. Tokyo visitors paid more for admission than EuroDisney visitors
D. EuroDisney's visitors spent more on food than on tickets

14. Why could Disney earn money from EuroDisneyland while other shareholders lost money?

A. Its royalties and management fees were charged on revenue, not profit
B. It owned 100% of the park
C. It sold its stake before opening
D. French law guaranteed Disney a minimum profit

15. What do the slides say research has found about the "typical entrepreneur"?

A. Most successful entrepreneurs share a high tolerance for risk
B. Entrepreneurs are usually aged 18 to 25
C. Successful entrepreneurs usually come from business families
D. No psychological or sociological traits predict with certainty who will become or succeed as an entrepreneur

16. A founder says: "I cannot start until I have a perfect, formal business plan." Which myth is this, and what is the current thinking?

A. Myth 1: raise more money before planning
B. Myth 3: take bigger risks for bigger rewards
C. Myth 4: first get in front of customers to test the idea, then have a plan to grow
D. Myth 6: hire someone who already knows entrepreneurship

17. Peter Drucker is quoted against which myth?

A. It takes a lot of money to start a business
B. Entrepreneurship cannot be taught
C. Entrepreneurship is for the young and reckless
D. The bigger the risk, the bigger the reward

18. A company assigns ownership of a new business idea to a manager and gives modest seed funding to test it. Which corporate entrepreneurship model is this?

A. Advocate model
B. Opportunistic model
C. Enabler model
D. Producer model

19. What distinguishes a portfolio entrepreneur from a serial entrepreneur?

A. A portfolio entrepreneur only invests and never manages
B. A serial entrepreneur runs several businesses at the same time
C. A serial entrepreneur only works inside corporations
D. A portfolio entrepreneur holds stakes in several ventures at once

20. Which statement about nonprofit ventures matches the slides?

A. They are not allowed to make any profit
B. Their profit is distributed to donors
C. They can and should make a profit, but the profit stays in the organization
D. They cannot seek tax-exempt status

21. Why do entrepreneurs rely on weak ties for advice?

A. Weak ties are usually wealthier than strong ties
B. Weak ties are not biased by a prior history with the entrepreneur, so their advice is more objective
C. Strong ties refuse to give advice
D. Weak ties are bound by confidentiality agreements

22. In networking, what is a broker?

A. An opinion leader who acts as a gateway between groups or networks
B. A close family member who funds the venture
C. A lawyer who drafts partnership agreements
D. An investor who buys shares in the venture

23. Which is one of the six barriers that keep people from becoming self-employed?

A. Too many mentors
B. An overly large network
C. Excessive industry knowledge
D. Startup logistics

24. What does the LocalBite case recommend as the first step?

A. Write a detailed business plan before selling anything
B. Raise a large amount of capital from investors
C. Test the product with 30–50 customers before investing more money
D. Develop a completely unique snack before launching

25. The LocalBite founder believes his idea must be completely unique. Which Week 2 lesson answers this?

A. Unique ideas reduce the need for customers
B. Execution, usually led by a strong team, matters more than a great idea
C. Only patented ideas can succeed
D. Investors fund only unique ideas

26. According to the course, what turns an idea into an opportunity?

A. Writing it down in a journal
B. Patenting it
C. Sharing it with friends and family
D. Matching it to a customer, so it has commercial potential

27. What is at the heart of design thinking?

A. Cost reduction
B. Rapid scaling
C. Empathy with what customers want
D. Competitive rivalry

28. Rapid prototyping and hypothesis testing belong to which group of design thinking activity?

A. Creativity / inspiration
B. Innovation / implementation
C. Opportunity / ideation
D. Observation / research

29. In Wallas's model, which stage involves letting the problem lie in the subconscious?

A. Incubation
B. Preparation
C. Illumination
D. Verification

30. When generating ideas in a group, the slides advise that you should…

A. start by combining others' ideas
B. judge each idea for quality as it is suggested
C. discard outlandish ideas early to save time
D. generate ideas individually first, then combine them

31. Which tool depicts all touch points a company has with a customer, from purchase to end of product life?

A. Brainwriting
B. Force fitting
C. Journey mapping
D. Attribute identification

32. Creation theory holds that opportunities…

A. arise from shifts in regulation and technology
B. are created by the entrepreneur's own actions and experiments
C. are found by reading industry reports
D. exist only in mature industries

33. Which is NOT one of the four components of an effective problem statement?

A. A budget limit
B. A "how" question
C. An action verb
D. The target or desired outcome

34. Intuition, team culture and preferences used to judge solutions are examples of…

A. explicit criteria
B. affirmative judgment
C. information asymmetries
D. implicit criteria

35. Which of these is one of Schumpeter's five categories of innovation?

A. Lower advertising spend
B. Higher share price
C. New sources of supply
D. Larger management team

36. The slides give the Apple iPad as an example of…

A. disruptive innovation
B. incremental innovation
C. creation theory
D. a statutory class

37. Commercialization research guides which two critical execution decisions?

A. The makeup of the management team and market timing
B. The company logo and slogan
C. The office location and dress code
D. The share price and dividend policy

38. How does the course distinguish an industry from a market?

A. An industry is local; a market is global
B. An industry includes only manufacturers; a market includes only retailers
C. They are two names for the same thing
D. An industry is defined by a product or service; a market is defined by customers who pay for its benefits

39. A retailer buys an item at $10 and sells it at $19.95. What is its gross margin?

A. About 99.5%
B. About 50.1%
C. About 49.9%
D. About 33.3%

40. In which life-cycle stage do dominant firms emerge as weaker firms leave?

A. Emerging
B. Shakeout
C. Growth
D. Decline

41. Which is NOT one of the barriers to entry listed in the slides?

A. A large number of substitutes
B. Economies of scale
C. Switching costs for the buyer
D. Government regulations

42. A supplier buys the shops that sell its goods to control final prices. This is…

A. backward integration
B. a substitute threat
C. dilution
D. forward integration

43. Which profile describes an attractive industry under the five forces?

A. Low entry barriers, strong buyers, many substitutes
B. High rivalry and many substitutes
C. High entry barriers, weak buyer and supplier power, few substitutes, mild rivalry
D. Strong suppliers and weak barriers

44. In the customer discovery hierarchy, who makes the final purchase decision, usually based on a budget?

A. Gatekeepers
B. Deciders
C. Influencers
D. Users

45. Which questionnaire practice do the slides recommend?

A. Ask demographic questions last
B. Ask demographic questions first
C. Use leading questions to save time
D. Make the questionnaire long and detailed

46. Why might the first customer NOT be the biggest potential market?

A. Large markets never buy new products
B. The first customer is always a government agency
C. Large markets are illegal to target first
D. It may be an unserved niche that allows entry without direct competition for a time

47. A firm not serving your customers today, but with the resources to move in quickly, is…

A. a direct competitor
B. an indirect competitor
C. an emerging or potential competitor
D. good competition

48. "Good competition" in the course means competitors that…

A. are profitable and well run
B. perform badly and leave customers unhappy
C. are small and local
D. sell substitute products

49. Why should demand questions ask about outcomes rather than solutions?

A. Customers describe problems and desired outcomes well but solutions poorly
B. Outcomes are easier to patent
C. Customers refuse to talk about problems
D. Solutions questions are illegal in surveys

50. Which is one of Drucker's five business model questions?

A. What is our share price?
B. Who are our suppliers?
C. What is our logo?
D. What does our customer value?

51. "Saves two hours a week" is an example of a…

A. feature
B. channel
C. benefit
D. cost driver

52. Which is an advantage of selling through an intermediary rather than direct?

A. The entrepreneur controls branding and pricing
B. The partner does the build-out and capital investment
C. The entrepreneur owns the user data
D. The entrepreneur keeps the full upside

53. A software firm charges users a monthly fee for access. Which revenue model is this?

A. Subscription or membership
B. Volume or unit-based
C. Transaction fee
D. Licensing and syndication

54. Rent is an example of which kind of cost?

A. Variable
B. Nonrecurring
C. Direct marketing
D. Fixed

55. A business offering personalized service and luxury facilities follows a…

A. cost-driven model
B. freemium model
C. value-driven model
D. leveraging strategy

56. Which is NOT one of the three critical success factors tested in feasibility analysis?

A. Whether the market is large enough to be viable and grow
B. Whether the founder has a registered patent
C. Whether capital requirements to reach positive cash flow make sense
D. Whether an appropriate founding team can be assembled

57. In Taleb's barbell, an antifragile business…

A. guards about 90 percent of the business and takes risks with about 10 percent
B. takes large risks with the whole business
C. avoids all risk
D. splits the business evenly between safe and risky activities

58. After testing a hypothesis with customers in the field, what is the next step in validating the business model?

A. Launch the full business immediately
B. Write the final business plan
C. Design a new logo
D. Consider the impact of the results on all components of the model

59. Which is one of Kim and Mauborgne's four blue ocean actions?

A. Copy the market leader
B. Cut prices below cost
C. Create something the industry has never done
D. Merge with a competitor

60. A platform offers basic features free and charges a subscription for enhanced features. This is…

A. a sponsorship model
B. a freemium model
C. an advertising model
D. a licensing model

61. Startups facing dominant players often focus on…

A. acquiring intellectual property and know-how attractive to a dominant firm
B. starting price wars
C. building the largest factory
D. avoiding all partnerships

62. In the FreshMart example, with an assumed 25% gross margin and Rp 12,000 per delivery trip, what is the break-even basket for delivery?

A. Rp 12,000
B. Rp 25,000
C. Rp 75,000
D. Rp 48,000

63. Why does the analysis choose young working adults as FreshMart's target?

A. They buy the smallest baskets
B. They are the largest group near campuses
C. They have steadier income and pay to save time rather than hunting discounts
D. They prefer near-expiry discounts

64. Your FreshMart assignment proposes a paid membership with free delivery. What is the biggest risk of that kind of offer?

A. Students cancel their free membership
B. Members move store trips into free delivery, halving profit on those baskets
C. Suppliers refuse own-brand orders
D. Delivery partners raise their fees to zero

65. According to the slides, design determines as much as what share of a product's final cost?

A. 80 percent
B. 20 percent
C. 50 percent
D. 95 percent

66. What is the principal reason for new product failure, according to research cited in the slides?

A. Poor packaging design
B. Too many patents
C. Excessive customer testing
D. Lack of good market and industry analysis

67. Which is one of the five problems caused by a lack of new product development resources?

A. Higher team morale
B. Shorter time to market
C. Missed first-to-market opportunities
D. More complex projects

68. Prototype development belongs to which category of the product development cycle?

A. Customer identification or discovery
B. Customer validation and design
C. Business creation
D. Post-launch review

69. Which is NOT one of the four ways to commercialize a technology listed in the slides?

A. Give it away to competitors
B. License it to another company
C. Start a business to make and distribute it
D. Form a joint venture

70. For a service business, the prototype is usually…

A. a three-dimensional physical model
B. a patent application
C. a finished product sold at full price
D. a design, storyboard or flowchart of how the service is delivered

71. For a product near the incremental end of the innovation spectrum, the slides suggest…

A. building a very minimal MVP in stages
B. skipping customer feedback entirely
C. building more than a simple MVP, perhaps a complete product, because customers have alternatives
D. waiting for competitors to launch first

72. Outsourcing product development can cut risk, cost and cycle time by up to…

A. 5 to 10 percent
B. 60 to 90 percent
C. 20 to 30 percent
D. 100 percent

73. Which outsourcing rule appears in the slides?

A. Never choose an outsourced partner based solely on price
B. Always give design and development to the same firm
C. Keep research and development far from customers
D. Outsource first, design later

74. Documented, explicit knowledge that is easy to share is called…

A. intellectual capital
B. intellectual property
C. trade secrets
D. intellectual assets

75. Which form of intellectual property sits at the base of the pyramid, with the least protection?

A. Patents
B. Trademarks
C. Trade secrets
D. Copyrights

76. How are trade secrets protected, according to the slides?

A. By registering them with the patent office
B. Only through confidentiality agreements or contracts
C. By trademark registration
D. Automatically for 20 years

77. Why can "aspirin" no longer be trademarked?

A. It has become part of the generic language
B. It was never used in commerce
C. Its renewal fees were too high
D. It uses an official state symbol

78. Which step in registering a trademark matters most for an international venture?

A. Choosing a descriptive name
B. Using the ® symbol before registration
C. Stockpiling marks to sell later
D. Testing the mark's translation in the languages of target countries

79. Under the Berne Convention, member countries must protect authors' works for at least…

A. 20 years from filing
B. 14 years from issuance
C. the life of the author plus 50 years
D. the life of the author plus 10 years

80. What does a copyright protect?

A. The idea itself
B. The tangible form in which an idea is expressed
C. A functional invention
D. A brand name

81. Which is one of the four USPTO criteria for patentability?

A. The invention must not be obvious to someone with ordinary skill in the field
B. The invention must already be on sale
C. The invention must be registered as a trademark
D. The invention must be at least 20 years old

82. A provisional patent application lasts…

A. 20 years
B. 18 months and can be renewed
C. 14 years from issuance
D. 12 months and cannot be extended

83. Since the America Invents Act, which date decides between two inventors of the same invention?

A. The date of conception
B. The date of the first sale
C. The filing date of the patent application
D. The date of publication

84. A firm builds a patent portfolio to use as bargaining chips in cross-licensing. Which strategy is this?

A. Proprietary
B. Defensive
C. Leveraging
D. Opportunistic

85. Under the Patent Cooperation Treaty, how long after the first filing does an applicant have to enter the national phase?

A. 30 months
B. 12 months
C. 18 months
D. 20 years

86. Within which borders does a United States patent give protection?

A. In all Patent Cooperation Treaty countries automatically
B. In all World Trade Organization countries
C. Worldwide
D. Only within the United States

87. A case asks whether a venture should expand abroad. According to the synthesis chapter, how should the answer open?

A. With a list of every framework from the course
B. With the venture's history
C. With a direct decision in the first lines, then the framework chain
D. With a definition of entrepreneurship

88. Which sequencing lesson is common to all three cases?

A. Raise capital before testing
B. Test small before scaling
C. Patent before talking to customers
D. Expand to many markets at once

Answers and explanations

1. **B.** Weeks 1–5 serve CILO 1; Prototyping and Validation (Week 6) and Legal Consideration and Asset Protection Abroad (Week 7) serve CILO 2.
2. **A.** FreshMart asks students to separate business model from value proposition and choose a model change. Astro is only a benchmark inside your FreshMart assignment.
3. **D.** The definition stresses opportunity first and resources second, and it covers people working alone or inside organizations.
4. **C.** Phase 1 forms the hypotheses; Phase 2 validates them and reveals revenue sources and cost drivers; Phase 3 designs and plans execution.
5. **B.** The five variables are the economy, competition, new laws and regulations, labor supply and sources of capital. Brand loyalty is a barrier to entry in Porter's model.
6. **A.** The four signals are customer-side: emerging segments, new needs, unsatisfied needs and new ways to make and distribute.
7. **D.** Factor-driven economies rely on unskilled labor and natural resources, so necessity drives very high entrepreneurial activity. "Knowledge-driven" is not a GEM category.
8. **C.** Value-creating is defined by new jobs that do not draw from existing firms and by serving unserved needs; innovative means bringing something new, growth-oriented means regional to global ambition.
9. **B.** The fuzzy front end precedes launch and startup; it is where much new venture risk sits.
10. **A.** A "me-too" solution copies what exists; here there is no real need at all, which is the first failure reason.
11. **D.** The 1980s are called the decade of entrepreneurship; the 1960s were "bigger is better."
12. **C.** Attendance exceeded the stated break-even, so the stale break-even calculation is the key; Disney did take royalties, and the loans were provided.
13. **B.** Adult tickets: EuroDisney $47, Tokyo $38; in-park spend (excluding the ticket) EuroDisney $30–45, Tokyo $70–85.
14. **A.** Disney held 49%, and its 10% admission and 5% food and merchandise royalties plus fees came off revenue.
15. **D.** Research has failed to identify a stereotypical entrepreneur; the other options are exactly the stereotypes the week dismisses.
16. **C.** Myth 4 says a plan is required for success; the slides say test with customers first, then plan for growth.

17. **B.** Drucker: "It is a discipline. And, like any discipline, it can be learned."
18. **A.** The advocate acts as evangelist with ownership and modest seed money; the producer sets up a formal unit with dedicated funds and autonomy.
19. **D.** Serial entrepreneurs start one business after another; portfolio entrepreneurs own minority or majority stakes in several ventures simultaneously.
20. **C.** Contrary to popular belief, nonprofits can profit; the profit is retained, not distributed to owners.
21. **B.** Weak ties (acquaintances, contacts) offer objective advice that helps entrepreneurs move faster; strong ties share a history that colors their view.
22. **A.** Brokers exert influence between networks and connect the entrepreneur to new ones.
23. **D.** The six barriers: lack of confidence, financial needs, startup logistics, personal or family issues, time constraints and lack of skills.
24. **C.** The case recommends a small market test first; the other options repeat the founder's myths.
25. **B.** Myth 2: great businesses usually started with a great team and an execution plan, not a great idea.
26. **D.** Opportunity is the intersection of an idea and a customer; ideas alone are a commodity.
27. **C.** Design thinking requires embedding in the customer's world to see needs from their perspective.
28. **B.** Implementation asks how we know and how we can test; its tools are rapid prototyping, hypothesis testing and launch to learn.
29. **A.** Preparation views the problem from many angles; incubation lets it rest; illumination finds the solution; verification brings it to an outcome.
30. **D.** The rules are individual first, quantity over quality, capture everything, and piggyback only after individual generation.
31. **C.** Journey mapping traces touch points from awareness of need to final disposal.
32. **B.** Discovery theory points to external shifts; creation theory says any seeds lie within the entrepreneur.
33. **A.** The four are a how question, who is responsible, an action verb and the target outcome. A budget is a solution criterion.
34. **D.** Explicit criteria are formal (time limits, budgets); implicit ones are known but unstated.

35. **C.** Schumpeter: new product, new process, new market, new sources of supply and changes in industrial organization.
36. **B.** The iPad improved on an existing product base; the Internet and artificial intelligence are the disruptive examples.
37. **A.** Research outcomes drive capital needs, revenue sources and cost drivers; execution decisions are team and timing.
38. **D.** Industry analysis looks at businesses in a value chain; market research looks at the customers.
39. **C.** Gross margin = gross profit ÷ sales = $9.95 ÷ $19.95 ≈ 49.9%. Dividing by cost (99.5%) gives the markup, and 50.1% is the cost share of the price; both are common mistakes.
40. **B.** Emerging has many entrants and no dominant players; shakeout is where dominance appears; decline has falling demand.
41. **A.** Substitutes are a separate force; the seven barriers are scale, brand loyalty, capital, switching costs, distribution access, proprietary factors and regulation.
42. **D.** Suppliers integrating forward purchase their outlets and so control the prices at which output is sold.
43. **C.** An attractive industry protects profit potential on every force; the other options describe unattractive features.
44. **B.** Gatekeepers control access, influencers affect the decision, deciders make it, purchasers buy and users benefit.
45. **A.** Keep it short, avoid leading questions, start easy and put demographics last when attention may have waned.
46. **D.** The first customer has a significant problem the venture can solve, often in an unserved niche.
47. **C.** Direct competitors use the same resources for the same need; indirect ones use different resources; emerging ones could enter fast.
48. **B.** Good competition is an opening; bad competition is firms doing everything right with happy customers.
49. **A.** Outcome questions ("How do you want to use…?") lead to better solution design and better demand data.
50. **D.** The five: mission, customer, what the customer values, results and plan.
51. **C.** Benefits are intangibles such as saving time or money; features are product attributes like design or functions.

52. **B.** Going indirect shifts investment, billing and service to the partner but gives up upside, control and data.
53. **A.** A recurring access fee is subscription; per-unit sales are volume-based; a charge per transaction is a transaction fee.
54. **D.** The slides give rent as fixed, manufacturing as variable and one-time expenses as nonrecurring.
55. **C.** Value-driven models create premium experiences; cost-driven models keep costs low because margins are narrow.
56. **B.** The three are market, capital and team; patents are a product and intellectual property question.
57. **A.** The barbell plays safe where losses would be catastrophic and makes small bets to catch positive surprises.
58. **D.** The six steps: hypothesize, design experiments, test, consider impact on all components, change the model, retest.
59. **C.** The four actions are eliminate, reduce, raise and create.
60. **B.** Freemium mixes free basic use with paid upgrades; sponsorship has an outside entity fund free access.
61. **A.** With little negotiating power, startups build controllable assets a dominant firm will want.
62. **D.** Rp 12,000 delivery cost ÷ 25% gross margin = Rp 48,000. Smaller delivered orders lose money.
63. **C.** Students buy small baskets and switch for deals; working adults score 21 of 25 and match the ready-meal line.
64. **B.** A Rp 100,000 basket earns Rp 25,000 walked in but Rp 13,000 delivered free, so cannibalization is the key risk.
65. **A.** Design decides features, reliability, price and appeal, and up to 80 percent of final cost.
66. **D.** Failure rates run 70–90 percent, mainly because of weak market and industry analysis.
67. **C.** Resource shortfalls cause poor execution, longer time to market, missed first-to-market chances, simpler projects and declining morale.
68. **B.** Validation and design covers feasibility, intellectual property and regulation, prototype development and market tests.
69. **A.** The four: license, start a business, sell the technology, or joint venture.

70. **D.** Non-manufacturing businesses still prototype, but not always physically.
71. **C.** Incremental products face strong rivals and customers who quickly judge solutions; staged MVPs suit disruptive products.
72. **B.** The slides cite reductions by factors of 60 to 90 percent.
73. **A.** The slides warn that the lowest prices often carry the highest risk, and advise splitting design and development unless one firm specializes in both.
74. **D.** Intellectual capital is tacit; intellectual assets are explicit; intellectual property carries legal rights.
75. **C.** The pyramid rises from trade secrets through copyrights and trademarks to patents.
76. **B.** No patent or trademark law covers trade secrets; contracts are the only route.
77. **A.** A trademark lasts while used and renewed, unless it becomes generic.
78. **D.** Descriptive marks are weak, ® is only for registered marks and marks cannot be stockpiled.
79. **C.** The Berne minimum is life plus 50; the United States term taught is life plus 70.
80. **B.** Copyright protects the form, not the idea; inventions are patents and brands are trademarks.
81. **A.** The four: statutory class, utility, novelty (no prior art) and nonobviousness. USPTO is the United States Patent and Trademark Office.
82. **D.** The provisional allows "patent pending" for 12 months; the nonprovisional must follow.
83. **C.** The United States moved from first-to-invent to first-inventor-to-file.
84. **B.** Proprietary acquires patents to defend market position; defensive designs around or cross-licenses; leveraging applies when protection is not critical.
85. **A.** File the international application within 12 months; choose national-phase countries within 30 months.
86. **D.** Patent rights stop at the border; foreign protection needs foreign filing, for example via the Patent Cooperation Treaty.
87. **C.** Examiners reward a decision with reasons over a survey of frameworks without a verdict.
88. **B.** EuroDisney (cash before growth), FreshMart (2 stores before 25) and LocalBite (30–50 customers first) all test before scaling.

Mock exam

A full practice paper to answer in 120 minutes. Answer all six questions. Marks are shown for each question and total 100. Use the course's frameworks by name, support claims with figures from the cases, and draw a diagram where it helps your answer. The real exam is two essay case questions. Sections B and C are the best practice for it: answer each with a named theory from the slides, apply it to the case with evidence, and add a practical or proven method such as a test card, a pilot or a break-even calculation. Write your answer on paper first, then turn to the model answers and compare. Each question links to the chapters it draws on.

Section A · Concepts (30 marks)

Q1. Define entrepreneurship using Stevenson's definition and explain why the course describes the entrepreneurial process as a dynamic system rather than a linear sequence. Refer to the three phases and to the environment a new venture operates in. [15 marks]

Q2. Apply Porter's five forces to FreshMart's industry (neighborhood grocery retail with app pickup and delivery). Rate each force and conclude whether the industry is attractive for a new entrant, and how such an entrant should compete. [15 marks]

Section B · Case: EuroDisneyland (40 marks)

Q3. Using the exhibits in the EuroDisneyland case, explain why the park lost money in its first year even though attendance of about 10 million exceeded the stated break-even of 7 to 8 million visitors. Support at least three causes with calculations or figures. [20 marks]

Q4. As Philippe Bourguignon, recommend a turnaround plan for EuroDisneyland. Compare at least three options, choose one, and justify the order in which its actions should be taken. [20 marks]

Section C · Validation and protection abroad (30 marks)

Q5. After a successful home launch, LocalBite plans to sell its frozen chili-level snack in Malaysia and Singapore. Design a validation plan before full expansion. Use feasibility analysis, the innovation spectrum and the MVP concept, and state the riskiest assumption as a testable hypothesis. [15 marks]

Q6. Advise LocalBite on protecting its brand, recipe and packaging design as it expands to Malaysia and Singapore. Identify the appropriate form of intellectual property for each asset, explain the timing issues, and say whether a patent is worthwhile. [15 marks]

Model answers

Q1

Howard Stevenson defines entrepreneurship as "the process by which individuals, either on their own or inside organizations, pursue opportunities without regard to the resources they currently control." Three parts of the definition matter. It is a process that unfolds over time, not a single decision. It can happen inside existing organizations as well as in startups. And it starts from the opportunity: entrepreneurs do not limit themselves to the money, people and equipment they already have, but gather resources once the opportunity is clear. The course adds that entrepreneurship is also a mindset, opportunity-focused, risk-taking, innovative and growth-oriented, and a set of behaviors that follow from it.

The entrepreneurial process runs in three phases. In Phase 1 the entrepreneur finds a significant problem or need, researches the industry, the market and any intellectual property, regulatory or product development issues, and turns what was learned into hypotheses. In Phase 2 those hypotheses about the customer, the solution and the business model are tested, which reveals the likely revenue sources and the major cost drivers. Only when Phases 1 and 2 give sufficient confidence that the business is feasible does Phase 3 begin: designing the business, putting the right team and partners in place, and choosing the time to launch.

The process is dynamic rather than linear for two reasons. First, the phases loop back on each other. Most hypotheses are proven wrong when tested with real customers, so a failed test in Phase 2 sends the entrepreneur back to reframe the problem or the customer in Phase 1, and the cycle may repeat several times. Second, testing does not end at launch. The new venture lives in an environment it cannot control: the economic environment, competition, new laws and regulations, labor supply and sources of capital. When any of these shifts, the business must test and adapt again. A diagram of three boxes linked by forward arrows, with a return arrow from Phase 2 to Phase 1 and the whole set inside a box labeled with the five environmental variables, captures this. EuroDisneyland illustrates the cost of treating the process as linear: a model validated in Anaheim and Tokyo was carried to France without retesting its price and cultural assumptions, and the venture lost money from its first year.

Revise: What entrepreneurship is: the definition and the entrepreneurial process · Risk, failure and the changing climate: the fuzzy front end and current trends

Q2

Porter argues that five forces set an industry's long-run profit potential, so a venture's strategy must be based on how the industry works. Applied to neighborhood grocery retail with app ordering, the picture is as follows.

Threat of new entrants: medium. Opening a single store or a delivery-only service needs modest capital, but scale economies in purchasing, brand loyalty built through membership points, and access to good locations near homes and campuses are real barriers. FreshMart's own analysis notes that its proximity and own brand are easy to copy, which suggests barriers are not high. Threat of substitutes: high. Customers can meet the same need through traditional markets, supermarkets, minimarket chains and quick-commerce apps that deliver in minutes, or by cooking less and ordering ready meals elsewhere. Buyer power: high. Individual customers buy small amounts, but switching costs are close to zero and the case states that customers switch for discounts, so buyers can force price promotions. Supplier power: low to medium. Fresh food and household goods are available from many suppliers, and FreshMart reduces dependence further with own-brand products, although large branded suppliers retain some power. Rivalry among existing firms: high. Minimarket chains and quick-commerce firms compete on price, promotions and speed; the analysis cites Paris dark stores that needed about 1,500 orders a day to break even but averaged 150 to 250, a sign of intense, loss-making competition.

On the course's profile, an attractive industry has high entry barriers, weak buyers and suppliers, few substitutes and mild rivalry. Grocery retail shows the opposite on three of the four, so it is unattractive for a newcomer that tries to compete head-on on price. The course's advice for such markets is to avoid price wars and costly advertising battles and instead find a niche that serves an unmet need and enter quietly to gain a foothold. For a grocery entrant, that niche could be time-pressed young working adults who value fast, reliable ready meals more than discounts, the same segment the FreshMart analysis selects, served with differentiated products such as own-brand ready meals that are harder for rivals to copy than prices.

Revise: Why some industries pay better: Porter's five forces · Case study: FreshMart's retail business model

Q3

EuroDisneyland opened near Paris in April 1992 and reported a net loss of FFr188 million for fiscal 1992, with cumulative losses of about $500 million by April 1993.

The apparent paradox, attendance above break-even yet a loss, dissolves once the exhibits are read together. Four causes stand out.

First, the break-even target was out of date. Exhibit 5 shows construction cost estimates rising from $1.0 billion in 1985 to $4.4 billion in 1991 and $4.4 to 4.5 billion in 1992, an increase of about 4.4 times. The 7 to 8 million visitor break-even belonged to the original $1 billion plan and was never recalculated. Contributing factors in the case include construction costs about 20% above comparable United States jobs, six coats of paint on facades against one in the United States parks, $8 to 10 million of extras on Le Visionarium, and delays and modifications. In effect the project became unprofitable during construction.

Second, visitors spent too little once inside. Exhibit 6 shows EuroDisney charged the highest adult ticket of the four parks ($47) but collected the lowest in-park spend per person ($30 to 45, a column that excludes the ticket). Using midpoints, the spend-to-admission ratio was $37.50 ÷ $47 ≈ 0.80×, against Tokyo's $77.50 ÷ $38 ≈ 2.04×, Anaheim's 1.81× and Orlando's 1.50×. Counting the ticket as well, a EuroDisney visitor brought in about $84.50 against about $115.50 in Tokyo; a gap of about $31 across 10 million visitors is roughly $310 million of revenue a year. That is lost revenue rather than lost profit, but it is large next to a loss of about $500 million. The likely mechanism is that an expensive ticket used up the visitor's budget before food and merchandise.

Third, the price did not fit European budgets and holiday habits. Exhibit 10 shows French income per head of $23,026 with 4.6% available for leisure, a budget of about $1,059 a year. A day at the park plus a hotel night of about $177 takes roughly 16.7% of that budget. French workers also take about five weeks of holiday, typically in long blocks spent traveling away from home, while Japanese and United States visitors take two to three weeks and favor short trips. Tokyo also had 30 million people within 30 miles and the omiage gift-giving custom; EuroDisney's market of 300 million was a day's travel away, so transport costs ate into in-park spending. The hotels' 37% occupancy shows the result.

Fourth, the deal paid Disney before profit was measured. Exhibit 8 shows Disney received 10% of admissions, 5% of food, merchandise and hotel revenue, and base management fees of 3% of revenues for five years, all charged on revenue, plus 49% of net income. Disney earned even as other shareholders lost, and cash left the business when it was most needed.

Cultural misfit reinforced all four: no alcohol in a wine-drinking country, mainly American food, a United States appearance code challenged under French labor law, and a winter climate (Paris averages 32–42°F in January against Orlando's 49–70°F) that shortened the season. Tokyo had wanted an American copy; France called the park a "cultural Chernobyl." A diagram with four cause boxes (costs, low spend, price misfit, fees on revenue) all pointing to one loss box summarizes the diagnosis.

Revise: Case study: why EuroDisneyland lost money in its first year

Q4

Five options are available. Option A is to do nothing and wait, following Michael Eisner's view that the park will grow into the culture over time. It costs nothing now, but with cash of about FFr1.1 billion in May 1993, heavy debt and Phase Two estimated at FFr8 to 10 billion, waiting risks running out of money before the culture changes. Option B fixes the financial model: new capital, rescheduled debt and a pause on Phase Two. It buys time but leaves the product misfit untouched, so losses would return. Option C fixes the product: lower prices, wine and beer, cheaper menus and an offer adapted to European habits. It addresses the root of the low spend-to-admission ratio, but without new cash the park may not survive long enough to see the benefit. Option D sells or licenses the park, copying the Tokyo arrangement in which Disney took no equity and earned fees. It limits Disney's exposure but abandons its investment ($160 million of direct capital; $539.5 million on Disney's books in Exhibit 1) and the long-term upside, and a buyer would demand a deep discount. Option E combines B, then C, then reinvestment.

Option E is recommended because it treats both the cash crisis and its cause. The order matters, consistent with retrenchment-then-recovery turnaround thinking: a firm must stop the cash drain before it can grow, because a firm that invests while still losing cash risks running out of it. It also follows the course's message from feasibility analysis that a business model must be retested and changed when it meets the market.

Step 1, stabilize cash. Ask Disney to waive royalties and management fees for a period, since these are charged on revenue and drain cash regardless of profit. Use the fact that Disney put in only $160 million of direct capital while lenders and French authorities had far more at stake as leverage to reschedule debt and raise new capital. Freeze Phase Two without cancelling it, to preserve it as a future attraction. Step 2, fix the offer. Cut adult ticket and hotel prices and introduce winter pricing to fit a 4.6% leisure budget and the Paris climate; serve wine and beer and

add cheaper menus to remove cultural friction and raise spend per visitor; adapt employment practices so the appearance code complies with French law. Rename and market the park around its real asset, Paris, 20 miles away with 300 million people within a day's travel. Step 3, reinvest. Once cash flow is stable and spend per visitor is rising, build a major new attraction, for example from the frozen Phase Two plans, to give visitors a reason to return.

Success should be measured with the case's own indicators: spend-to-admission ratio moving from 0.80× toward the 1.5× to 2× range of other parks, hotel occupancy rising from 37%, French share of visitors rising from 29%, and a break-even recalculated on the actual $4.4 billion cost. The lesson for an international new venture is that a proven model is only a hypothesis in a new country, and price, product and financial structure must be tested against the local customer before scaling.

Revise: Case study: why EuroDisneyland lost money in its first year · Testing the model: feasibility analysis and the macro environment · Making money: revenue models, cost drivers and changing models

Q5

Feasibility analysis tests, evaluates and validates a proposed business model to reduce risk before committing resources, and the course's rule is that a model proven at home is only a hypothesis abroad. LocalBite should therefore treat each block of its business model in the new markets as a hypothesis to test.

The first task is to restate the model for the new markets. The value proposition (traditional Indonesian flavor, modern presentation, customer-chosen chili level) may travel, but segments, channels, prices and costs will change. Young professionals were the primary segment at home; in Kuala Lumpur and Singapore the first customer might instead be Indonesian students and workers living abroad, a niche with a strong existing need. Channels change too: frozen food needs cold-chain delivery and local platforms, and import and food registration rules apply in each country. The three critical success questions must be answered for each market: is the segment large enough to be viable and grow, do the capital needs to reach positive cash flow make sense, and can a team or partner be assembled locally?

On the innovation spectrum the product is incremental: frozen snacks are known and rivals exist, so customers can compare and have alternatives. The course advises that near the incremental end a very simple MVP will not produce useful feedback; the test product should be close to complete, with real packaging, price

and delivery. The MVP should therefore be a small, real offer rather than a mock-up: a limited batch sold through one channel in one city.

The riskiest assumption is demand at a price that covers the higher cost of export and cold-chain delivery. As a testable hypothesis: "We believe Indonesian students and young professionals in Kuala Lumpur will buy at least two packs a month at a price that gives at least our home gross margin after shipping and platform fees." The experiment runs in two stages, mirroring FreshMart's approach. In weeks 1 to 2, a fake-door test: an order page and pre-order (PO) list promoted through Indonesian student associations, counting sign-ups before shipping anything. In weeks 3 to 10, a pilot: one shipment sold through direct orders and one local delivery platform, with Singapore held back as the comparison market. The measures are conversion from sign-up to purchase, repeat purchase in month two, and contribution per pack after shipping and commission. The pass condition is positive contribution per pack and a majority of buyers reordering. Following the six-step validation loop, the results are then traced across the whole model (for example, a weak margin may require a higher price or a local co-packer), the model is changed, and the test is rerun before entering Singapore. This keeps most of the business safe, in line with Taleb's barbell, while a small bet tests the upside.

Revise: Testing the model: feasibility analysis and the macro environment · Building a minimum viable product and outsourcing development · Case study: LocalBite, from idea to action

Q6

The course ranks intellectual property (IP) by degree of protection in a pyramid: trade secrets at the base, then copyrights, trademarks and patents. Each LocalBite asset fits a different level, and each has its own timing rule.

The recipe and process, including the method of mixing chili into the dough and the portioning that creates eleven chili levels from one batch, are best protected as trade secrets. Under the Uniform Trade Secrets Act definition taught in the course, a trade secret is a formula, process or compilation of information that gives a competitive advantage, is not common knowledge and is kept reasonably confidential. There is no registration; protection comes only from confidentiality agreements or contracts. LocalBite should therefore have any co-packer, distributor or employee in Malaysia or Singapore sign confidentiality agreements before seeing the recipe, and limit who knows the full process. If a signatory misappropriates it, remedies include injunctive relief, damages and attorney's fees. Week 6's caution applies: outsourcing production to places where enforcement is weak makes secrets harder to protect.

The brand name and logo should be protected as trademarks. A trademark identifies a business or product in commerce and lasts as long as it is used and renewed. Registration gives enhanced rights, and because the first to file generally holds the presumptive right to a mark, LocalBite should file in Malaysia and Singapore before launching there; its home registration helps applications abroad. Before filing, it should search existing marks, check that the name is distinctive rather than merely descriptive, test the name's translation and connotations in Malay, Chinese and Tamil, and choose the product categories to protect, such as frozen snacks. After registration it can record the mark with customs authorities to block counterfeit imports.

The packaging artwork, photographs and social media content are protected by copyright, which covers the tangible form of original work rather than the idea. Protection exists once the work is fixed, and the Berne Convention means member countries protect works from other members for at least the life of the author plus 50 years. LocalBite should still mark its packaging with ©, the year and the owner's name, keep records of creation, and use cease and desist letters against copiers.

A patent is unlikely to be worthwhile. The course's signals for patenting are an invention that solves a significant problem and changes how things are done, falls under food and drug regulation, earns more than enforcement would cost, or will be licensed. A snack recipe change is probably not novel or nonobvious enough to meet the patentability criteria, the product's economic life in a fast-moving snack market may be short, and filing would publish the method, destroying its value as a trade secret. If LocalBite did develop a genuinely new process, the timing rule is strict: under first-to-file, it should file promptly, and to cover Malaysia and Singapore it would file a Patent Cooperation Treaty application within 12 months of its first filing and enter the national phase in chosen countries by month 30. In strategy terms, LocalBite fits a leveraging approach to patents, where proprietary patent protection is not critical, while relying on trade secrets for the recipe and trademarks for the brand.

Revise: What a venture knows and owns: knowledge, intellectual property and trade secrets · Protecting the brand and the content: trademarks and copyrights · Protecting inventions: patents, from criteria to infringement · Intellectual property strategy and protecting assets abroad